

CALIFORNIA ESSAY ROADMAPS

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Issue spotting approach:

1. Identify the **agency relationship (creation)**
2. Determine whether it **has terminated** (if so, look for apparent authority and/or ratification)
3. Discuss **liability of the principal** for the agent's actions:
 - If in **contract**, look for **actual authority**, **apparent authority**, or **ratification**
 - If in **tort**, look **for vicarious liability** and exceptions, **apparent authority**, **direct liability**
4. Address any **liability of the agent** to the third party (breach of contract, tort)
5. Discuss any breach of **fiduciary duties** owed by the agent **and duties** owed by the principal

Note: Agency principles often apply in essays testing **partnerships and corporations**.

- I. CREATION**—an agency relationship is created when one (principal) manifests intent that another (agent) act on his behalf and be subject to his control
 - A. Elements:** three components (**ABC**)
 - 1. Assent**—agent (A) and principal (P) must manifest assent through words or conduct;
 - 2. Benefit**—A agrees to work on behalf of P and for P's benefit; and
 - 3. Control**—A's actions are subject to P's control.
 - B. Formalities**—no consideration is required; some states require a writing if it relates to an interest in real property (equal dignities rule)
 - C. Parties**—any individual or entity with contractual capacity can be a P; only minimal capacity is required to be an A

Elements: **A**ssent
 Benefit
 Control

Look for common Principal-Agent factual scenarios: Employer - employee
 Corporation - director/officer
 Partnership - partner

+

Exertion of control: Less control ←-----→ More control
 (Independent contractor) (Employee)

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B. Limitations—if A's power is coupled with an interest, P's death does not revoke A's authority

III. LIABILITIES TO THIRD PARTIES

A. Contract Liability—depends upon A's authority to bind P; P is contractually liable to a third party (3P) for acts of an A with actual or apparent authority

1. Actual authority—P causes A to reasonably believe A has authority to act

- **Express**—through written or spoken words
 - A must reasonably believe (subjective) she is doing what the P wants her to do (objective); P's actual contrary intent is ineffective
- **Implied**—allows A to take whatever reasonable steps are necessary to achieve P's objective, within the accepted business practice or custom
 - By position—can arise by P placing A in a position that has authority to act (e.g., VP)
 - By acquiescence—when P accepts or stays silent

2. Apparent authority—P causes a 3P to reasonably believe the A has authority to act

- 3P's reasonable belief can bind P based upon past dealings, trade customs, etc.; an A without authority acting in the ordinary course of business can bind P if 3P lacks notice
- Inherent authority from placing A in a position of the type that has authority (e.g., VP)
- Imposter without authority can bind P if P is negligent in creating appearance of authority

3. Ratification—with knowledge of material facts, P affirms the contract made on P's behalf

4. Estoppel—P may be barred from denying an agency relationship or A's authority if 3P detrimentally relied and P's negligence caused the belief or P failed to correct the mistake

Tip: Always begin by looking for actual authority before analyzing the existence of apparent authority.

Actual authority will arise through conduct or communication **between the P and A.**

Apparent authority will arise through the conduct or communication **between the P and a 3P.**

5. Liability of Agent—whether A will also be liable to the 3P depends upon P's status

- **Disclosed principal**—if 3P had notice and knew the identity of the P, **A is not** liable
- **Partially disclosed principal**—if 3P had notice but did not know P's identity, **A is** liable
- **Undisclosed principal**—if 3P did not know of agency relationship at all, **A is** liable
- **Warranty of authority** breached if A lacks the power to bind P; A liable for damages

B. Tort Liability

1. Respondeat Superior: A P may be vicariously liable for the tortious acts of his A committed within the scope and course of employment.

- **Employer-employee relationship**—P has the right to control the manner and means of A's performance (unlike an independent contractor), e.g., provides tools, structures pay, directs the way the agent is to complete the tasks
 - **Independent contractor** cannot bind P unless the task is inherently dangerous, P was negligent in hiring, or P retains control over specific tasks related to the injury
- **Acting within the scope**—performing assigned work or acting subject to P's control
 - **Exceptions:**
 - Frolic (not a minor detour)
 - Use of physical force, unless it was necessary to complete the assigned task
 - Intentional torts, unless acting for P's purpose and closely connected to the task

- A acts independent of P's purpose or benefit
- 2. **Apparent Authority**—P is liable for A's tortious act committed with apparent authority
- 3. **Direct liability**—P may be directly liable to a 3P for the following:
 - Authorizing or ratifying tortious conduct of A
 - Negligent hiring or supervision of A
 - Delegating a non-delegable duty (legal responsibility remains with P)

Exceptions = delegating
inherently dangerous
- 4. **Liability of Agent**—A is liable to the 3P for her own torts but not those committed by P

IV. DUTIES OWED BETWEEN AGENT AND PRINCIPAL

- A. Duties of the Agent** *CLONA*
1. **Duty of loyalty** to work only for P's benefit and to not compete, usurp P's business opportunity nor take secret profits
 2. **Duty of reasonable care** to perform with reasonable diligence and skill
 3. **Duty of obedience** to obey reasonable instructions
 4. **Duty of notification and accounting**—must keep P informed and account for funds
- B. Duties of the Principal**
1. **Duty to compensate** per express or implied agreement
 2. **Duty to deal fairly and in good faith** and provide a safe work environment
 3. **Duty to cooperate** and not interfere with A's work
 4. **Duty to indemnify** and reimburse for losses if not resulting from A's wrongful conduct
- C. Remedies for Breach of Duty**
1. **For agent:** A's available remedies include:
 - Breach of contract
 - Action for compensation
 2. **For principal:** P's available remedies include:
 - Breach of contract
 - Rescission
 - Injunctive relief
 - Tort damages
 - Restitution
 - Accounting
 - Recovery of secret profits
 - Forfeiture of compensation

ESSAY ROADMAP: CIVIL PROCEDURE

CA distinctions from the Federal Rules of Civil Procedure (FRCP) are marked as "CA" if the amended complaint, cross-complaint, or answer is filed and served no later than the date for filing an opposition to the demurrer or motion to strike. Memorize and organize the issues according to the six categories below.

ISSUE CATEGORIES:

- Forum choice** (personal and subject matter jurisdiction, venue, service of process)
- Scope of the action** (choice of law, pleadings and motions, joinder of claims/parties)
- Discovery**
- Adjudication** (with and without trial)
- Appeal**
- Preclusion of Claims/Issues**
- Handwritten notes:* FQ → PCP → SQD - 75K + CD
Personality: Personal (Specific) / General
Consent

I. SUBJECT MATTER JURISDICTION (SMJ)—power of the court over the subject matter

A. FEDERAL QUESTION—plaintiff's claim is based upon federal law

B. DIVERSITY: When the complaint is filed, there must be complete diversity of citizenship between plaintiffs (P) and defendants (D) and an amount in controversy exceeding \$75,000.

1. Citizenship determines diversity; citizenship on P's side must be diverse from D's side

- Individuals—the (one) state where a party is domiciled (resides with intent to remain)
- Corporations—state(s) where incorporated and the state with principal place of business
- Partnerships/LLCs—based upon domicile of each individual partner

2. Amount in controversy—must be greater than \$75,000

- Determined when action commenced in or removed to federal court
- Measured by a good-faith estimate excluding interest and costs
- Can include punitive damages as well as attorney's fees if recoverable by contract/statute

C. SUPPLEMENTAL—discretionary power of the court to exercise jurisdiction over added claims

1. Rule: A court with SMJ over a claim may hear other claims if they share a common nucleus of operative fact (CNOF).

2. Federal Question cases—court has discretion to hear state law claims if they share CNOF

3. Diversity cases—use of supplemental jurisdiction depends upon the type of claim

- Counterclaims—compulsory yes; permissive no, unless they meet diversity requirements
- Cross claims—yes, if they arise out of the same transaction or occurrence
- Joinder of parties—claims from permissive joinder cannot destroy complete diversity

4. Supplemental jurisdiction does not extend to claims against defendants joined as necessary parties or as a result of impleader under Rule 14, or to claims by intervenors

D. REMOVAL (a means by which a defendant may get the action out of state court)

1. Rule: A defendant may remove a case from state to federal court if plaintiff's claim could have been originally filed in federal court (because federal SMJ is satisfied).

2. Procedure: File a notice of removal within 30 days of service; all defendants must consent

3. Limitations if the claim is based upon diversity:

- Cannot remove if any defendant is a citizen of the state where the claim is filed
 - Notice to remove must be filed within one year after action is commenced unless D acted in bad faith
 - Notice to remove need include only a plausible allegation that the amount in controversy exceeds \$75,000
4. Remand is the move of a case from federal to state court

Removal issue approach (note the multiple issues triggered by a request to remove):

Procedure: Is notice timely? Do all Ds consent? Does any D reside in the forum state (if diversity case)?

SMJ: Would the court have federal question or diversity jurisdiction (diversity is the more common basis)

Applicable law: Do the facts present competing laws triggering choice-of-law or *Erie* doctrine analysis?

Venue: In removal actions venue is proper in the federal district where the state court sits

E. **CA:** Superior court has either "limited" (\$25k or under) or "unlimited" (over \$25k) jurisdiction

II. PERSONAL JURISDICTION (PJ)—power of the court over the persons or property

Tip: Focus on the defendant because the plaintiff consents to PJ upon filing a claim.

Personal Jurisdiction Approach:

Is the exercise of PJ authorized by statute? What is the basis?

Presence, domicile, consent or through a long-arm statute

Is the exercise constitutional, meeting the standards of the Due Process Clause?

The constitutional analysis is the same whether in federal or state court because the federal court will use the long arm statute of the state in which it sits.

The test: Due process requires sufficient minimum contacts between a party and the forum state so as not to offend traditional notions of fair play and substantial justice.

Minimum contacts? Briefly identify and describe the contacts:

Purposeful availment? (purposeful and substantial contact)

Foreseeability? (reasonably anticipate being sued in the forum state)

Relatedness? (specific vs. general; if general, domicile or continuous and systematic contacts?)

Fair play and substantial justice? Consider factors:

Interest of forum state

Burden on D to appear

Interest in judicial efficiency

Shared interest of the states in promoting common policy

Note: Jurisdiction based on presence, domicile or consent is straight forward, whereas claims based on long-arm jurisdiction require a detailed analysis of D's conduct and connection with the forum.

A. GENERAL VS. SPECIFIC JURISDICTION

General personal jurisdiction requires D to be domiciled in the state or have continuous and systematic contacts with the forum state, whereas specific personal jurisdiction is when the claim arises out of, or is closely related to, D's contact with the forum state

B. BASES FOR IN PERSONAM JURISDICTION—identify the basis for PJ over the defendant:

1. **Presence**—physically present and served with process; cannot be a result of fraud
2. **Domicile**—resides in the state with intent to remain, even if temporarily away
3. **Consent**—by authorized agent to accept service of process, failure to timely challenge by motion to dismiss, voluntary appearance or implied consent (e.g., driving a vehicle in the state, filing a counterclaim)
4. **Long arm statute**—most states have a statute authorizing PJ over non-residents who engage in activity or cause action to occur within the state; exercise of **CA's** long arm statute is authorized to the extent permitted by the Due Process Clause

C. OTHER TYPES OF PERSONAL JURISDICTION

1. **In Rem**—action against real or personal property to settle property rights
2. **Quasi-In-Rem**—determines only the interests of the parties to the action regarding property located in the forum state; rare issue on exams

D. DUE PROCESS: Due process requires sufficient minimum contacts between a party and the forum state so as not to offend traditional notions of fair play and substantial justice.

1. Minimum contacts

- **Purposeful availment**—purposeful and substantial contacts with the forum state
- **Foreseeability**—D should reasonably anticipate being taken to court there
- **Relatedness**—between cause of action and forum state (general or specific PJ)

2. Fair play and substantial justice (fairness)

- **Interest of forum state**
- **Burden on D to appear** (convenience)
- **Interest in judicial efficiency**
- **Shared interest of the states in promoting common social policies**

III. NOTICE AND SERVICE OF PROCESS

A. RULE: Due process requires notice reasonably calculated to apprise D of the pendency of the action. The service of process (a summons and a copy of the complaint) must meet court rules.

B. WHO MUST SERVE: Service may be made by any nonparty who is at least 18 years old

C. TIME LIMIT: Service of process must occur within 90 days after P files the complaint.

D. METHODS

1. Service on individuals

- Personal "in hand" service;
- Leaving it at D's usual place of abode with a person of suitable age and discretion residing therein;
- Delivering it to D's agent; or

- Other methods allowed by state law. (**CA** allows service by publication and service on a nonresident who enters the state to participate in another judicial proceeding)
- 2. Service on corporations and associations**
 - Delivering it to an officer or agent of the corporation or association;
 - Delivering it to an agent appointed or authorized by law to receive service; or
 - Following state law in the state where the district court is located or where service is made.
 - 3. Service by registered mail is very limited (U.S. government or persons outside of U.S.);**
CA allows for nonresident subject to personal jurisdiction

E. FEDERAL EXCEPTIONS

- 1. Nationwide personal jurisdiction** allowed by federal statute, e.g., Federal Interpleader Act
- 2. The "Bulge Provision"** allows the area for service of process to "bulge" to within 100 miles of the federal courthouse, even if it crosses state lines; see VII.C.2.

- F. WAIVER**—P may send a form via first class mail or other reliable means, requesting D waive service by returning the form within a reasonable time limit (usually 30 days unless a foreign D); D's waiver extends the period to serve an answer to 60 days after the request was sent (**CA**) does not extend time

Tip: Do not confuse a request for waiver of service, achieved via U.S. mail, with the service of process itself. A plaintiff may mail a request for waiver of service, but may not generally serve a defendant via mail. Service of process by mail is very limited (per III.D.3. above).

- G. OBJECT TO INSUFFICIENT SERVICE** by filing a 12(b) motion to dismiss

IV. VENUE—the proper place for trial considering fairness and convenience to the parties

- A. FEDERAL RULE:** Venue in a federal action is proper **in a district in which any D resides** (if all Ds reside in the same state) **or where a substantial part of the claim arose**. If there is no other option, venue can lie in a district in which any D is subject to personal jurisdiction.
Tip: Venue where P chooses or resides is not part of the federal rule.
- 1. Residence of individual**—same as his domicile
 - 2. Residence of a business entity**—where it is subject to personal jurisdiction
- B. STATE RULE (CA):** Venue is proper in the county in which any D resides but if none, where the contract was executed or performed, where the tort injury occurred or where the land is located.
- C. REMOVAL CASES**—venue in an action removed from state court is proper in the district court for the district and division where the state court sits
- D. OBJECT TO IMPROPER VENUE** by a 12(b) motion to dismiss or in the first responsive pleading
- E. WAIVER**—objection to venue is deemed waived if not asserted in a timely manner
- F. TRANSFER** (from one federal district to another)
- 1. If venue is proper**, the court can transfer to another proper venue based on convenience of the parties and witnesses and in the interest of justice

- Forum non conveniens—the court will dismiss an action when the forum would be too inconvenient for the parties and a foreign (not a federal) court more appropriate; **(CA)** allowed to stay or dismiss in the interest of justice if another state or foreign court is more appropriate
- **(CA)** transfer also allowed if a fair trial cannot be had in the original county or there is no judge of the court qualified to act
- 2. If venue is **improper**, the court must dismiss or transfer to a district where venue is proper
- 3. **Forum Selection Clause**—followed unless unreasonable and unjust or a result of fraud; **(CA)** does not enforce unless it reasonably provides that the action be tried in another state

V. CHOICE OF LAW (*ERIE* DOCTRINE)

- A. RULE:** A federal court sitting in diversity will apply its own procedural rules but will apply the substantive law of the state in which it sits (if no federal law is on point).
- B. SUBSTANTIVE VS PROCEDURAL**—determine whether the law is clearly substantive or procedural
1. **Substantive** laws include statutes of limitation (under *Erie*), elements of a claim or defense and rules regarding choice of law and burden of proof.
 2. **Procedural** laws include FRE, FRCP, and whether attorney's fees are assessed and whether an issue is equitable or legal.
- C. FEDERAL COMMON LAW**—when applying federal law under *Erie*, the court may look to federal statutes, constitutional provisions, and federal common law
1. **Federal question cases**—admiralty, cases in which the U.S. is a party, interstate disputes, cases implicating relations with foreign countries, cases in which the government acts in a proprietary role
 2. **Diversity cases**—"uniquely federal interest" is at and a significant conflict exists between that and interest and operation of state law
 3. **State court cases**—if state jurisdiction is concurrent with federal question jurisdiction and federal common law would have applied in federal court, then it will also apply in state court
- D. TEST:** When there is a conflict between federal and state law and no federal statute or rule on point, the court will apply state law if it is outcome determinative, if the state's interest outweighs the federal interest or if it would prevent forum shopping
- E. CA CHOICE OF LAW RULES**—federal court in CA will apply CA choice-of-law rules
1. **Tort actions**—CA applies the government interest approach to resolve conflicts of law
 2. **Contract actions**—CA applies the government interest approach absent a choice of law clause in the contract; any provision in a contract regarding choice of law will not be applied unless the chosen state has a substantial relationship to the parties or the transaction, and is consistent with CA public policy

VI. PLEADINGS

- A. TIMING:** To calculate a time period, exclude the day of the trigger event and count every day in-between. If the last day of the period falls on a weekend or holiday, extend to the next non-weekend or non-holiday day.

B. COMPLAINT—an action is commenced by filing a complaint (includes cross-claim, 3P complaint)

1. Purpose

- **Notice pleading**—short and plain statement to provide notice to the opposing party;
CA requires fact pleading
- **Special pleading**—pleading with specificity required in some circumstances (e.g., fraud or special damages)

2. Contents—the complaint must include a short and plain statement with the following:

- Subject matter jurisdiction grounds;
- Statement of the claim and entitlement to relief; and
- Demand for judgment for the relief sought

3. Joinder of claims (Rule 18 permissive)—as between the same P and D, the parties may join as many claims of whatever nature against the opposing party; **CA** requires at least one common question of law or fact and the court can sever to avoid undue delay or prejudice

4. Cross-claim is a claim against a co-party arising from the same transaction or occurrence

C. RESPONSE TO A COMPLAINT

1. Timing—D must respond by answer or motion within 21 days of service of process

2. Answer—D's response must admit or deny and raise affirmative defenses or counterclaims

- **Affirmative defenses** include Statute of Frauds, statute of limitations, contributory negligence, fraud, and res judicata; **(CA)** objecting to personal jurisdiction in an answer is deemed as a general appearance (object instead by motion to quash)
- **Counterclaims**
 - Compulsory (arise from the same transaction or occurrence as P's claim)
 - Permissive (do not arise from the same transaction or occurrence as P's claim)
 - **(CA)** D files a cross complaint instead of alleging her own claim in the answer

3. Motion to Dismiss (Rule 12(b))

- **Bases**
 - Lack of subject matter jurisdiction (may raise at any time, even on appeal);
 - Lack of personal jurisdiction (waived if not included in first response);
 - Improper venue (waived if not included in first response);
 - Insufficient process or service of process (waived if not included in first response);
 - Failure to state a claim (may raise at any time through trial); and
 - Failure to join a necessary party (may raise at any time through trial).
- **(CA)** object with a demurrer (general or special) or motion to quash (parties must meet and confer before filing a demurrer in an attempt to resolve the objections to be raised)

4. Motion for a judgment on the pleadings (**CA** requires the parties to meet and confer prior to filing the motion)

5. Motion for a more definite statement

6. Motion to strike (**CA** requires the parties to meet and confer prior to filing the motion)

D. AMENDMENTS TO THE PLEADINGS

1. As of right

- Allowed once within 21 days if no responsive pleading is required
- If a responsive pleading is required, within 21 days of service of whichever is received first (i.e., the responsive pleading or 12(b) motion) if the amended complaint, cross-

complaint, or answer is filed and served no later than the date for filing an opposition to the demurrer or motion to strike

- **(CA)** allowed at any time before an answer, demurrer, or motion to strike is filed, or, in some cases, after a demurrer or motion to strike is filed but before the demurrer is heard if the amended complaint, cross-complaint, or answer is filed and served no later than the date for filing an opposition to the demurrer or motion to strike
- 2. **By leave of court** when justice requires and no undue prejudice to the opposing party
- 3. **After statute of limitations has run**
 - **Relation Back Doctrine:** An amended pleading will relate back to the date of the original pleading if it involves the **same transaction or occurrence** and **provides notice** to the opposing party.
 - **Adding a claim** will relate back if it arose out of the same transaction or occurrence
 - **Changing a party** must involve the same transaction or occurrence and the party must know or have reason to know the action should have been brought against him
 - **CA** allows for “Doe” defendants with three years to identify and serve the D if conditions met; when applicable, the amended pleading must involve the same accident and injuries and refer to the same offending instrumentality

E. CERTIFICATION (Rule 11)

1. **Signature**—required of attorney or pro se party on every pleading or motion
2. **Certification**—by signing, the signer certifies the filing was made after reasonable inquiry and for a proper purpose, and certifies the legal basis and evidentiary support of the claim
3. **Sanctions**
 - Sanctions may be initiated by motion or by the court on its own motion
 - Sanctions are discretionary and can include monetary and non-monetary directives
 - **CA** also determines whether the party seeking sanctions has exercised due diligence

VII. MULTIPLE PARTIES AND CLAIMS

A. JOINDER OF PARTIES

1. **Generally**—the requirements of SMJ, PJ, and venue must be met to join a party
2. **Permissive**—unless the party would destroy diversity, a party may join if her claim arises from the same transaction and occurrence and raises a common question of law or fact
3. **Compulsory**
 - **Necessary party**—unless the party would destroy diversity, a party whose joinder is necessary for a just adjudication will be joined if feasible; service of process (PJ) may be had under the Bulge Provision (see III.E.2)
 - **Indispensable party**—the action may be dismissed if joinder is not feasible, thereby making the non-joined party indispensable

Tip: Necessary or Indispensable? Label a party as necessary or indispensable only after analyzing whether the court can feasibly join the compulsory party or must dismiss the action.

B. INTERVENTION—nonparty files a timely motion to join the lawsuit

1. **As of right**—nonparty has an interest in the subject matter that is not adequately represented and it will be impaired unless the nonparty is allowed to intervene

2. **Permissive**—nonparty's claim or defense has a common question of law or fact with the pending claim; allowed within the discretion of the court considering prejudice to the parties; **(CA)** the nonparty's interest must be direct and immediate
 3. **Subject matter jurisdiction** must exist for the intervenor's claim; supplemental jurisdiction does not apply if the case is based on diversity jurisdiction
- C. IMPLEADER**—nonparty is joined by D based on a claim of indemnity or contribution
1. **Personal and subject matter jurisdiction** must be satisfied; supplemental jurisdiction is available if the claim arises from the same transaction and occurrence
 2. **Service of process** on the nonparty allowed under federal Bulge Provision (see III.E.2.)
 3. **Related claims** and defenses of the nonparty against P and D may be joined
- D. INTERPLEADER**—forces all claimants to a property into a single lawsuit to settle property rights
1. **Rule 22**—if the court already has SMJ and PJ over all parties (and venue is proper)
 2. **Statutory**—jurisdiction requirements lessened to allow interpleader action
- E. CLASS ACTION**
1. **Types**
 - Risk of prejudice to defending party if individual actions allowed to proceed
 - Final injunctive or declaratory relief sought by class that shares a general claim
 - Common legal or factual questions predominate and class action promotes efficiency; notice to the individual members of the class action is required
 2. **Requirements:** Remember you CAN'T have a class action unless you have the following:
 - **Commonality**—common questions of law or fact support the claim;
 - **Adequacy**—the representatives must adequately and fairly protect the class;
 - **Numerosity**—the class size is so large that joinder is impracticable; and
 - **Typicality**—the claims or defenses of the representative are typical of the class.
 3. **Subject Matter Jurisdiction** based on diversity requires diverse citizenship between class representatives and opposing parties; one representative must have a claim exceeding \$75,000
 4. **Class Action Fairness Act (CAFA)** allows very large actions involving 100+ members with \$5 million+ at stake to proceed with minimal diversity (i.e., any member of a class of Ps is a citizen of a state different from any D)
 5. **CA** uses different terminology—there must be an ascertainable class and a well-defined community of interest among the members; claims are aggregated to meet amount in controversy

VIII. DISCOVERY

- A. MANDATORY DISCLOSURES**—must be produced without request
1. **Initial disclosures** must include:
 - Names and addresses of persons with discoverable information
 - Copies or descriptions of documents and items
 - Computation of damages and insurance agreement
 2. **Expert disclosures**—qualifications, publications, compensation, opinion and its basis for such, and list of cases expert has testified at trial or deposition in past four years
 3. **Pretrial disclosures**—list of all witnesses and exhibits to be used at trial

4. **CA** has no automatic initial mandatory disclosures

B. SCOPE OF DISCOVERY

1. **General rule:** Any non-privileged matter relevant to a claim or defense is discoverable, proportional to the needs of the case. **CA** has broader standard, “any matter relevant to the subject matter”
2. **Exceptions**—the following items are not discoverable:
 - **Privileged** information (e.g. protected by attorney-client privilege); **CA** right to privacy may expand protection
 - **Work product**—documents and things prepared in anticipation of litigation
 - Need not be created by an attorney; can be by the party or its representative; **CA** protects only the work product of the attorney or his investigator
 - An exception is made upon showing of substantial need and no other resource
 - No exception for attorney’s mental impressions, legal theories, and opinions
3. **Experts**—no discovery if expert retained in anticipation of trial but not expected to testify
4. **Protective order**—for good cause to protect against embarrassment or undue burden

- C. DISCOVERY CONFERENCE**—the parties must meet and agree on a discovery plan; **CA** requires a case management conference within 180 days of filing the complaint

D. DEVICES

1. **Depositions**
 - Allowed at any time after initial disclosures
 - Limited to 10 depositions of one day in duration unless otherwise ordered by the court
 - Notice to a party is required; nonparty must be subpoenaed to appear
 - Oral depositions are most frequently used; written depositions rare
 - **CA** does not limit the number but are limited to seven hours of testimony per witness
2. **Interrogatories**—limited to 25 and may only be sent to a party; **CA** limits individually drafted to 35 but does not limit Judicial Council form interrogatories
3. **Requests to produce and permit inspection**—must be described with particularity
 - Applies to documents and land under the control of a party
 - May be sent to nonparty only if pursuant to a subpoena
4. **Physical/mental examination**
 - Allowed if physical or mental condition of a party (not a witness) is at issue
 - Court order upon showing of good cause required
 - **CA** allows the attorney to attend a physical exam
5. **Requests for admission**—allowed of a party but cannot be used in any other proceeding; **CA** limits number to 35 absent good cause, though admission of documents is unlimited

- E. USE AT TRIAL**—is not automatic; the rules of evidence govern admissibility at trial

F. ENFORCEMENT AND SANCTIONS

1. **Motion to compel** (prerequisite to seeking sanctions unless complete failure to cooperate)
 - Grounds include evasive, incomplete, or nonexistent disclosure
 - Must certify an attempt in good faith to obtain the discovery
 - Fees and expenses are recoverable if the motion is granted

2. Sanctions

- Immediate sanctions available upon complete default of a party to attend her deposition, respond to a request for interrogatories or to produce and permit inspection
- After a motion to compel, the court may award sanctions including disallowing the evidence, directing the matter as established, striking the pleadings, dismissing the action in whole or part and staying the proceedings until the order is obeyed

G. PRE-TRIAL CONFERENCE—to promote case management and facilitate settlement

IX. INTERLOCUTORY INJUNCTIONS

A. TEMPORARY RESTRAINING ORDER (TRO)

1. Urgent order to stop conduct for short time in order to preserve the status quo pending a preliminary injunction hearing; can be issued ex parte
2. Payment of a security bond is preferred
3. The length of a TRO is generally 14 days maximum in federal court though state court may limit it to 10 days
4. **Elements:**
 - **Immediate irreparable harm** will result prior to hearing the adverse party's opposition
 - **Certification** of any efforts made to give notice and the reason why notice should not be required

B. PRELIMINARY INJUNCTION

1. To preserve the status quo pending trial; payment of security bond preferred
2. D is entitled to notice and an opportunity to be heard
3. **Elements:**
 - **Likelihood P will succeed on the merits**
 - **Irreparable harm** for which there is no remedy at law (inadequate remedy at law)
 - **Balance of the hardships** on both sides and considering the public interest favors P
 - Consider the feasibility of enforcement and the difficulty of supervision
 - A negative injunction (an order to refrain from conduct) is easier to enforce

C. PERMANENT INJUNCTION

1. After P has achieved success on the merits, the court can award a permanent injunction; no bond is required
2. **Elements**—the same as for a preliminary injunction

X. ADJUDICATION WITHOUT TRIAL

A. JUDGMENT ON THE PLEADINGS (rare)—the pleadings fail to show a dispute (**CA** requires the parties to meet and confer prior to filing the motion)

B. DEFAULT—a party has failed to plead or defend an action

1. Must be **shown by affidavit**, after which the court clerk must **enter default**
2. After an entry of default is made, the plaintiff may seek a **default judgment**
3. An entry of default may be **set aside for good cause**

C. DISMISSAL

1. **Voluntary**—P may dismiss once before a responsive pleading or motion by D; P can also request dismissal by motion asking for a court order; the dismissal is without prejudice (**CA** dismissal is with prejudice unless parties agree otherwise or good cause is shown)
2. **Involuntary**—dismissal by the court if P fails to comply; with prejudice unless order specifies otherwise

D. SUMMARY JUDGMENT

1. Standard: There is **no genuine issue of material fact** thereby entitling moving party to judgment as a matter of law.
2. A motion for summary judgment may be filed up until 30 days after the close of discovery (**CA** 60 days after the general appearance with papers served by 75 days before the hearing)
3. Court will construe all evidence **in the light most favorable to the nonmoving party**
4. **Evidence considered**—includes discovery (e.g., depositions and interrogatories) and affidavits, so long as the facts are admissible at trial

XI. TRIAL

A. TRIAL BY JURY—guaranteed under the Seventh Amendment for a civil action at law (e.g., money damages) but not for an action in equity (e.g., specific performance); **CA** state constitution guarantees in all actions at law

1. **Demand**—must be in writing and served within 14 days after service of the answer or other pleading directed at the issue; must specify the issues for which a jury is demanded; may be withdrawn with the consent of the other parties; **CA** when first set for trial or within five days after notice
2. **Jury Size**—must have at least six and no more than 12 members; **CA** must have 12 members; no federal provision for alternate jurors
3. **Selection**—each side has three peremptory challenges (but no elimination based on race or gender allowed) and unlimited challenges for cause; (**CA**) a party may not use a peremptory challenge on an assumption that a juror is biased because of the juror's protected category (e.g., race, religion, etc.)
4. **Instructions**—parties file proposed instructions at the close of evidence; objections must be raised before jury is instructed

B. MOTION FOR JUDGMENT AS A MATTER OF LAW ("Directed Verdict"; **CA** "nonsuit")

1. **Standard**: The evidence could not support a contrary verdict thereby entitling the moving party to judgment as a matter of law.
2. Akin to motion for summary judgment but made after P's case and again at close of evidence
3. Court will construe all evidence in the light most favorable to the nonmoving party

C. RENEWED MOTION FOR JUDGMENT AS A MATTER OF LAW (formerly JNOV)

1. If a motion for Judgment as a Matter of Law (JML) was filed and the jury returned a contrary verdict, the party may file a renewed motion; filing a motion for JML is a prerequisite
2. The renewed motion must be filed within 28 days after the entry of judgment
3. **CA**: made after the decision before judgment; no prerequisite to file motion for nonsuit first

D. JUDGMENT

1. A decree or order by a court that resolves the parties' rights and demands for relief in a manner that permits it to be appealed
2. Should grant a party the relief to which the party is entitled, even if the party has not demanded such relief in its pleadings

E. MOTION FOR A NEW TRIAL

1. A motion for new trial must be made within 28 days after the entry of judgment
2. Whether a new trial is granted is within the discretion of the court
3. **Grounds for a new trial** include:
 - Trial error resulting in an unfair judgment
 - Newly discovered evidence
 - Prejudicial misconduct by counsel, parties, judge, or jury
 - Verdict is excessive or inadequate
 - Court can reduce an excessive verdict (remittitur), and grant a new trial if the lowered award is not accepted
 - Court cannot increase an award but can grant a new trial
4. **Harmless error rule**—the court will disregard errors that do not affect the party's rights
5. Grant of a new trial must include reasons for the order

XII. POST-TRIAL PROCEDURE

A. RELIEF FROM JUDGMENT—if appeal not pending and enforcement would cause injustice

1. **Timing**—within a reasonable time (up to one year) following the entry of judgment
2. **Grounds**—mistake, inadvertence, surprise, excusable neglect newly discovered evidence, fraud, misrepresentation, or misconduct by an opposing party; **CA** requires mandatory relief if default or dismissal was caused by attorney mistake or neglect
3. **Exception**—there is no time limit for special grounds, e.g., judgment is void, based on a vacated judgment, applying judgment is no longer equitable; or any other reason justifying relief

B. ENFORCING A JUDGMENT—the Full Faith and Credit clause governs

1. **State courts**—a state court must give full faith and credit to valid final judgments of other state courts and federal courts
2. **Federal courts**—a federal court must give full faith and credit to valid final judgments of state courts

C. APPEAL

1. **Timing**—notice of appeal must generally be filed within 30 days after the judgment/order is entered
2. **Standard of Review**—matters of law are reviewed de novo; findings of a jury are affirmed if supported by substantial evidence and findings of a judge are overturned only if clearly erroneous
3. **Final Judgment Rule**—only a final judgment on the merits may be appealed
 - **Collateral order rule**—allows a court of appeals to hear and rule on a district court order if it: (i) conclusively determines the disputed issue, (ii) resolves an important issue that is completely separate from the merits of the case, and (iii) is effectively unreviewable on appeal from final judgment

- **Interlocutory orders**—some equitable non-final orders may be appealed immediately

XIII. CLAIM AND ISSUE PRECLUSION

Tip: If a claim or issue might be barred because it has already been litigated, analyze claim preclusion first before any relevant issue preclusion.

A. CLAIM PRECLUSION (*Res Judicata*)

1. **Rule:** A final judgment on the merits precludes the parties from litigating the claims again.

2. **Elements:**

- **Valid**—product of court with PJ and SMJ that afforded due process to the defendant
- **Final judgment**—there is nothing further to do but enter judgment; **CA** when the appeal concludes or once the time for appeal has expired
- **On the merits**—not if made on technical grounds (e.g., procedural error)
- **Same cause of action**—the new cause of action must be sufficiently identical to the original cause of action (arising from the same transaction or series of transactions); **CA** follows minority “primary rights” approach, narrowing scope of what will be barred
- **Same parties or privies**—the parties must be the same as before or successors

B. ISSUE PRECLUSION (*Collateral Estoppel*)

1. **Rule:** A final judgment on the merits precludes relitigation of issues that were necessarily determined in an earlier claim.

2. **Elements:**

- **Valid final judgment on the merits** (see above)
- **Same issue**—the relevant facts and applicable law (but not parties) must be identical
- **Actually litigated**—actually and necessarily decided, e.g. not from a default judgment (**CA** default judgment given issue preclusion as to material issues raised in the pleadings)
- **Essential to the judgment**—necessary to the decision

3. **Due Process limitations**

- **Mutuality**—can **only be used against or by** one who was a party (or in privity with a party) to the earlier claim
- **Nonmutual use**—when issue preclusion is used by a party in the later claim who was not a party in the earlier claim
 - (i) **Defensive use** is allowed when asserted by a defendant against a party who had a full opportunity to litigate in the earlier case
 - (ii) **Offensive use** is permitted at the court’s discretion; if P could have joined in the earlier action, the court should not allow offensive collateral estoppel

ESSAY ROADMAP: COMMUNITY PROPERTY

Begin your essay with the basic definitions and presumptions that apply:

California is a community property state. All property, earnings, or debt acquired during marriage are presumed community property (CP). Property acquired before marriage or after divorce, or at any time by gift or inheritance is presumed separate property (SP).

The definitions above are purposely simple to save time. Add more detail *if* the fact pattern triggers a related issue, such as defining when the community ended or characterizing an item as quasi-community property.

Analytical approach to Community Property essays:

1. Identify any issues that affect all assets (invalid marriage, prenuptial agreement, transmutation)
2. Organize the essay by each item or asset
3. Characterize the item or asset by applying the presumption of CP, SP, or QCP
 - a. **WHEN** was the asset acquired?
 - b. Identify the **SOURCE** of the asset, i.e., what funds were used to acquire the asset?
 - c. What **PRESUMPTION** applies, and will the presumption be rebutted?
4. What **ACTIONS** took place after it was acquired?
5. Consider any **SPECIAL RULES** or presumptions that might apply (due to dates, title, or death)

I. VALID MARRIAGE

A. DEFINED:

1. **Consent**—both parties agree
2. **Capacity**—18 or older; any party under the age of consent must obtain a court order and written consent of a parent or guardian
3. **Compliance** with legal formalities
 - License
 - Solemnization
 - Authentication

B. REGISTERED DOMESTIC PARTNERS are subject to Community Property laws

1. **Defined:** A domestic partnership consists of two adults (if under 18 must have court and parental consent) who share one another's lives (need not reside together) in an intimate and committed relationship and would otherwise have the capacity to marry

C. COMMON-LAW MARRIAGE is not valid in CA but a marriage valid elsewhere when entered will be given full faith and credit as required by the U.S. Constitution.

D. PUTATIVE SPOUSE—a putative spouse is one who believed in good faith that a void or voidable marriage was valid; subjective inquiry based on the totality of the circumstances, but the reasonableness of one's belief is also considered; property acquired before notice of the

invalid marriage that would be CP or QCP is treated as quasi-marital property and divided as CP or QCP

- E. VOID MARRIAGE**—a marriage null from its inception due to grounds such as incest or bigamy
- F. VOIDABLE MARRIAGE**—a marriage valid until declared void after a challenge by either party
 - 1. Grounds include nonage, unsound mind, fraud, duress, bigamy based upon error about death
 - 2. Voidable marriages can be validated, e.g., underage spouse stays in marriage after reaching age of consent
- G. UNMARRIED COHABITANTS**—CP does not apply; apply contract principles (express or implied)

II. PRESUMPTIONS AND TITLE

- A. COMMUNITY PROPERTY** is presumed as all property acquired during marriage while domiciled in California and before divorce or living separate and apart, except that designated as separate property; CP includes the payment or earnings for the labor, talents, or skills of a spouse
- B. SEPARATE PROPERTY** is presumed as all property acquired before marriage or after divorce or permanent separation (physically separated and one or both spouses intends not to remain married), and all property acquired by gift, bequest, devise, or descent; the rents issues and profits of SP remains SP
- C. QUASI-COMMUNITY PROPERTY (QCP)** is property acquired by the spouses in another state that would have been CP were it acquired while the spouses were living in CA; QCP is treated as CP at death and divorce
- D. MARRIED WOMAN'S SPECIAL PRESUMPTION (MWSP)**—before 1/1/75, only the husband (H) had management and control over CP, so property titled in the name of the wife (W) or the W and a third party (3P) is presumed as her SP (that H knew and gifted it to W)
- E. SPECIAL PRESUMPTION OF TITLE**—at death, the form of title is the presumptive form of ownership
- F. SPECIAL PRESUMPTION OF COMMUNITY PROPERTY**—at divorce, jointly held property is presumed CP, rebuttable with parol evidence (before 1984) or written evidence (1984 and after)
- G. CONTRIBUTIONS OF SP TO CP**—if not rebutted, any contribution of SP (e.g., down payment, principal payment, improvements) to CP is presumed to be a gift (before 1984), but is reimbursed without interest (1984 and after)
- H. COMMUNITY PROPERTY WITH RIGHT OF SURVIVORSHIP**—treated as CP at divorce but treated like a joint tenancy at death, with an automatic transfer to the surviving spouse (avoids probate)
- I. TENANCY IN COMMON**—at divorce, per the special presumption of CP, it is presumed CP; at death, per the special presumption of title, it is held as tenants in common

- J. REBUT PRESUMPTIONS** with a preponderance of evidence; rebut special presumptions with clear and convincing evidence of contrary intent

III. AGREEMENTS AFFECTING PROPERTY DIVISION

A. PREMARITAL AGREEMENTS

- 1. Statute of Frauds applies**—must be in writing and signed by both parties (no consideration is required); CA follows the Uniform Premarital Agreement Act
- 2. Permissible coverage**
 - The parties may reduce or eliminate property rights and spousal support and opt out of the CP system in whole or part
 - The parties may not contract regarding child support and any attempt to do so is void
- 3. Defenses to Enforcement**
 - **Agreement was not voluntary**—presumed to be involuntary unless:
 - Party was represented by independent counsel or signed a waiver at least seven days before signing;
 - Party had at least seven days to seek independent counsel before signing;
 - If not represented by counsel, party was fully informed of the terms and the legal effect of the agreement and was proficient in the language used;
 - Both parties had capacity;
 - Agreement was not signed under duress, fraud, or undue influence; and
 - Any other factors that the court deems relevant.
 - **Agreement was unconscionable:**
 - Lack of fair, reasonable, and full disclosure of the assets and obligations;
 - Disclosure was not waived in writing; and
 - Could not reasonably have had adequate knowledge of the assets and obligations.

B. AGREEMENTS DURING MARRIAGE—TRANSMUTATIONS—agreements changing the classification of property

- 1. Before 1985:** Oral agreements were sufficient if based on express or implied agreement
- 2. Beginning in 1985:** Agreement must be in writing with an express declaration by the adversely affected spouse, except for personal gifts of insubstantial value
- 3. Statements in a will or trust** will not work as a transmutation unless clear intent shown

C. SEPARATION AGREEMENTS—spouses cannot alter their marital status through a contract but can settle property rights unless there is extrinsic fraud, mistake, or breach of fiduciary duty

IV. CHARACTERIZATION OF PROPERTY

A. PRESUMPTIONS

- 1. General presumptions:** must be rebutted by a preponderance of the evidence
 - General CP presumption
 - General SP presumption
- 2. Special presumptions:** must be rebutted by clear and convincing evidence
 - Married woman's special presumption (pre-1975)
 - Presumption of title (applies at death)

- Special CP presumption (applies at divorce)

B. CHARACTERIZATION OF SPECIAL TYPES OF PROPERTY

1. **Bank Account**—how a bank account is titled does not determine the character of its funds; if an account includes both CP and SP funds, it is presumed the CP funds were withdrawn first to acquire an asset
 - **Direct Tracing**—a spouse may trace the source of funds to prove SP funds were used
 - **Indirect tracing**—family expenses are presumed to be paid from CP funds, and use of SP funds to acquire an asset is presumed only after CP funds are exhausted; SP funds used to pay for family expenses are presumed to be a gift to the community
2. **Goodwill of a Business**—the reputation and future earning potential of a CP business is a CP asset; valuation is calculated through **market sales valuation** or comparing the past **excess earnings** to typical peer businesses
3. **Degrees and Licenses**—not a CP asset even if acquired during marriage
 - **Right of reimbursement**—community estate may be reimbursed for CP contributions to direct educational or training expenses if the earning capacity of the spouse was substantially improved (and the right to reimbursement was not waived)
 - **Defenses**
 - The community has substantially benefitted from the education or training (rebuttably presumed after 10 years);
 - The other spouse also received an education or training paid for with CP funds;
 - The education reduced the need for spousal support upon divorce.
 - **Education loan payments**
 - Any outstanding educational or training loans upon divorce will be assigned to the spouse who incurred the loan
 - Community may be reimbursed for CP funds used to repay education loans when the license or degree was earned before marriage
4. **Retirement Pensions**—vested and unvested pensions are treated as CP; if the spouse is not eligible for retirement upon divorce, the portion attributable to CP must be calculated and a method selected for distribution
 - **Calculation methods:**
 - **Time rule**—allocation depends upon the number of years married versus unmarried
 - **Direct contributions**—how much was contributed while married versus unmarried
 - **Distribution methods:**
 - **Division in kind**—the court reserves jurisdiction to supervise payment upon retirement giving a percentage of each pension check to the other spouse
 - **Cash-out option**—value of non-participant spouse's portion is determined by an expert and cashed out upon divorce by awarding CP assets of equal value
 - **Timing of Retirement:**
 - **Early retirement**—any enhanced benefit offered to retire early is CP property
 - **Delayed retirement**—if a spouse refuses to retire once eligible, the other spouse may not be denied and must be paid the division-in-kind payment that is due
5. **Stock Options**—stock options that are granted during the marriage but which vest after the date of separation are part CP and part SP; the characterization depends upon the type of compensation they are designated to replace (past service or continued employment)

- 6. Disability Pay** (including worker's compensation and severance pay)—characterized depending upon what is intended to replace; pay that replaces compensation or retirement benefits is CP and pay that replaces lost future earnings may be SP depending upon the timing of divorce
- 7. Insurance**
- **Whole life**—community gets pro rata share based upon number of CP premium payments; at death, CP gets one-half the proceeds if SP did not contribute to premium payments
 - **Term life**—at divorce there is no cash value but one court gave CP interest in renewal value when spouse became uninsurable; at death, the last premium paid determines the characterization
- 8. Separate Property Business**
- **Generally:** Courts have discretion to calculate the CP share in a SP business based upon the contribution of labor by the employee spouse; the SP characterization of the business does not change, but the CP is entitled to be paid at divorce for its contribution.
 - **Pereira** (favors CP)
 - $SP = \text{Value of the SP Business at the Time of Marriage} + (\text{Value of the SP Business at the Time of Marriage} \times \text{Fair Rate of Return} \times \text{Years of Marriage})$
 - $CP = \text{Fair market value (FMV) of the business at divorce} - SP$
 - **Van Camp** (favors SP)
 - $CP = (\text{Reasonable Value of Services} - \text{Annual Family Expenses}) \times \text{Years of Marriage}$
 - $SP = \text{FMV of the Business at Divorce} - CP$
 - If the reasonable value of the spouse's services does not exceed the family's deducted living expenses, no community share remains
 - **Reverse Pereira/Van Camp**—if the business appreciates after separation but before divorce, the CP contribution is calculated by applying the formulas in reverse
 - **Reverse Pereira**
 - $CP = \text{Value of the CP Business at Time of Separation} + (\text{Value of the Business at Time of Separation} \times \text{Fair Rate of Return} \times \text{Years of Separation})$
 - $SP = \text{FMV of the Business at Divorce} - CP$
 - **Reverse Van Camp**
 - $SP = \text{Reasonable Value of Services Provided During Separation} - \text{Family Expenses Paid During Separation}$
 - $CP = \text{FMV of the Business at Divorce} - SP$

Tip for analyzing Pereira/Van Camp: Both formulas should be analyzed on the essay, though you should begin with the one most likely to be applied in the event you run short on time. In case you are uncomfortable with math, it is more important you show how the facts apply to the formula by converting the words to numbers, rather than calculating the final dollar value of the CP/SP share.

- 9. Credit Purchases and Loan Proceeds**—during marriage are presumed CP; the presumption can be rebutted with proof of the lender's intent to rely upon SP as collateral (two viewpoints):
- Must show lender relied *primarily* on SP as collateral (*Gudelfj*)
 - Must show lender relied *solely* on SP as collateral (*Grinius*); more recently applied test

10. Capital Improvements—presumptions below may be rebutted with written proof of gift or waiver

- **SP used to improve SP**—any SP used to improve the other spouse's SP must be reimbursed
- **SP used to improve CP**—any traceable SP used to improve CP must be reimbursed
- **CP used to improve spouse's own SP**—community has right to reimbursement or the enhanced value of the property, whichever is greater; before 1975, a gift to CP was presumed if the wife used CP to improve her SP
- **CP used to improve other spouse's SP**—community has right to reimbursement; if the CP enhanced the value of the SP, then the community is entitled to a proportionate interest; before 1975, a gift to wife's SP by husband was presumed if husband used CP to improve his wife's SP

11. Personal Injury Recovery

- **Divorce**
 - Injury before marriage—tort recovery is SP; the injured spouse must reimburse the community if CP is used to pay (or the other spouse, if that spouse's SP is used to pay) any expenses attributable to the injury
 - Injury during marriage—tort recovery is CP; at divorce, at least one-half will be awarded to the injured spouse (more if not commingled with CP and justice requires)
- **Death**—at death of either spouse, recovery is characterized as CP
- **Between spouses**—recovery is the SP of the injured spouse

V. LIABILITY FOR DEBT

A. ALLOCATING RESPONSIBILITY

1. **Liability of the community**—community is liable for debts of either spouse before or during marriage
2. **Liability of a spouse's SP**—liable for her own debts incurred before or during marriage, but not liable for the other spouse's premarital debts; liable for other spouse's debt incurred for necessities of life while living together or common necessities of life while living apart
3. **Pre-existing child and spousal support**—CP liable for premarital debt for child or spousal support but can be reimbursed by the debtor spouse's SP if SP funds existed at the time the payment was made
4. **Tort obligations**—liability for a tort committed during marriage while the spouse was acting for the (economic) benefit of the community is paid first from CP and then from the tortfeasor's SP; if not acting for the community's benefit, it is paid from the tortfeasor's SP first before taking CP

VI. MANAGEMENT AND CONTROL OF COMMUNITY PROPERTY

A. PERSONAL PROPERTY

1. **Rule:** As of 1/1/75, each spouse has equal management and control over CP
2. **Exceptions:**
 - **Bank accounts**—banking law limits access to the party named on the account
 - **Gifts to third parties**—a gift of CP requires the written consent of both spouses; an unauthorized gift can be ratified or revoked by the non-consenting spouse (after donor's death, recovery of a voided gift is limited to one-half its value)

- **Community business**—the managing spouse must give prior written notice before taking major actions (e.g., sale, encumbrance); failure to do so allows the other spouse to pursue a remedy if his CP share was substantially impaired by the action
- B. REAL PROPERTY**—each party has equal management and control, though pursuant to the Statute of Frauds, any transfer must be in writing and signed by both parties
1. **Held in one name**—a bona fide purchaser for value without notice of the marriage can rely on the title if it is in the name of only one spouse; the other spouse may not void the transfer beyond 1 year but may seek an accounting to recover his one-half value
 2. **Encumbrances**—both spouses must consent to a lien, encumbrance or pledge of collateral unless to pay attorney’s fees for annulment, separation or dissolution of marriage
- C. FIDUCIARY DUTY**—a spouse owes a fiduciary duty to disclose, account for, and obtain consent from the other spouse in the management and control of CP; remedies for breach include injunctive relief (TRO) pending divorce, the right to an accounting, adding a name onto title, getting a greater share of CP and payment of attorney’s fees

VII. JOINT DEEDS AND TITLES

- A. JOINT TITLES**—as of 1987, all jointly titled property acquired during marriage is presumed to be community property upon divorce
- B. COMMUNITY PROPERTY WITH RIGHT OF SURVIVORSHIP**—property will be treated as community property during marriage and at divorce, but if a spouse dies before a judgment terminates the marriage, the surviving spouse will own the property through the right of survivorship; must be expressly declared in the deed or title
- C. PROPERTY PURCHASED WITH COMMUNITY PROPERTY AND SEPARATE PROPERTY FUNDS**
1. **Separate property contribution on community property**—presumption of community property controls
 - **If presumption is not rebutted**—separate property is limited to a right of reimbursement after tracing any payments to a separate-property source
 - **If presumption is rebutted**—separate property will acquire a pro-rata interest in the property in the proportion that the down payment bears to the purchase price (*Aufmuth*)
 2. **Community property mortgage payments on separate property**—community acquires an interest in the property to the extent that the equity is enhanced by community-property payments to the principal

VIII. DIVISION OF PROPERTY AT DIVORCE

- A. EQUAL DIVISION RULE**
1. CA is a no-fault state; the only two grounds for divorce are irreconcilable differences or incurable insanity
 2. Absent an agreement, CP and QCP will be divided equally with each spouse receiving one-half of the net community estate (after subtraction of joint obligations)

B. EXCEPTIONS—deliberate misappropriation, personal injury damages, debts exceeding assets, debts for education loans, tort liability, civil judgments for domestic violence against spouse

C. DIVISION OF LIABILITIES—debt is generally allocated equally to each party

1. Consider timing

- Debt incurred before marriage is assigned to the debtor spouse
- Debt incurred during marriage and not for the benefit of the community can be characterized as SP if not an educational loan or tort liability
- After separation, debt for non-necessaries is assigned to the spouse who incurred it

2. If debts > assets—excess debt is divided equally considering each party's ability to pay

IX. DIVISION OF PROPERTY AT DEATH—under the special presumption, the title of property held at death presumes its character; property held in joint tenancy or as CP with right of survivorship automatically becomes the property of the surviving spouse

A. INTESATE

1. Community property—surviving spouse receives **all** CP and QCP

2. Separate property:

INTESTATE SUCCESSION	
Who survived the decedent (D)?	Separate Property Share
Spouse + no issue, parent, sibling or issue of sibling	Spouse takes 100%
Spouse + parent or sibling	Spouse takes 50%
Spouse + one lineal descendant	Spouse takes 50%
Spouse + more than one lineal descendant	Spouse takes one-third

B. TESTATE

1. Community property—only the decedent's half of CP and QCP is subject to disposition by will

2. Joint tenancy property—not subject to the special community-property presumption at death; automatically passes to surviving spouse

C. JOINT TENANCY—special title presumption can be rebutted only by clear and convincing evidence

D. SURVIVING SPOUSE'S ELECTION—through the will, the testator can force the surviving spouse/partner to elect between taking under the will or taking the testator's one-half share of the CP and QCP

ESSAY ROADMAP: CONSTITUTIONAL LAW

Big picture organization and approach:

1. Can the matter be addressed by this court? Judicial Review
2. What type of constitutional issue is presented?
 - a. Scope of Congressional power? Commerce Power, Power to Tax and Spend
 - b. State interference with power? Preemption, Dormant Commerce Clause, P & I Clause
 - c. Individual rights? Due Process, Equal Protection, Takings Clause, First Amendment

I. JUDICIAL REVIEW

1. Can the matter be addressed by this court? Consider facts that trigger the issues:

- Is it in state or federal court?** Case or controversy requirement for federal courts
- What is the timing of the suit?** Is it too soon (not ripe for review) or too late (moot)?
- Who is the plaintiff and what is the injury?** Standing
- Who is the defendant?** The state or a state official? Eleventh Amendment issues

A. JUSTICIABILITY: Under Article III, the jurisdiction of federal courts is limited to cases or controversies. The matter must be justiciable, ripe for adjudication, and capable of being redressed.

1. **Ripeness**—an issue when there is no actual or imminent threat of harm (it is too soon)
2. **Mootness**—an issue when legal proceedings will have no effect (it is too late), unless it is a class action or an issue capable of repetition but evading review (e.g., abortion litigation)
3. **Standing**—the plaintiff must have a concrete stake in the outcome
 - **Injury**—must be both concrete and particularized
 - **Causation**—the injury must be fairly traceable to the challenged action
 - **Redressability**—the requested relief must be likely to redress the injury
 - **Special categories**
 - **Taxpayer**—very limited; cannot challenge government expenditures generally
 - **Third party**—no standing unless 3P is unable to assert her own rights, there is a special relationship between the plaintiff and 3P, and the injury affects that relationship
 - **Organization**—may sue on behalf of its members if the members would have standing and the interests are tied to the organization's purpose
4. **Other limitations**—abstention, political questions, advisory opinions, declaratory judgments

B. ELEVENTH AMENDMENT LIMITATION

1. **Generally**—a federal court cannot hear an action by a private citizen or a foreign country against a state government; local (municipal) governments are not protected
2. **State sovereign immunity**—a state is immune from suit for money damages by its own citizens in state and federal court, absent consent or if Congress expressly abrogates under the remedial provisions of the Thirteenth, Fourteenth, and Fifteenth Amendments
3. **Exceptions** (suit is not barred):
 - **Injunctive relief** against a state official
 - **Money damages** against a state officer personally, not paid by the state treasury

2. What type of constitutional issue is presented?

a. Scope of Congressional power? Consider trigger facts to spot issues:

Do the facts say "Congress" or "Legislature" passed a law or enacted legislation?

Is there a challenge to the legislation? If the facts do not identify the underlying power, continue...

What is the source of the power? Most often commerce power or power to tax and spend

II. POWERS OF CONGRESS

- A. The powers of Congress are limited to those enumerated by the Constitution; powers not granted to the federal government nor prohibited to the states are reserved to the states (Tenth Amendment).

B. COMMERCE POWER (Commerce Clause)

1. **Generally**—Congress can regulate channels, instrumentalities, and any activity that substantially affects interstate commerce, provided that the regulation does not infringe upon any other constitutional right.
2. **Substantial economic effect**—Congress can regulate any activity (intra- or interstate) that has a substantial economic effect on interstate commerce, measured by whether there is a rational basis for concluding the activity in aggregate would affect interstate commerce (presumed for economic activity).
3. **Noneconomic activity**—substantial economic effect not presumed and must be established

C. TAXING AND SPENDING POWER

1. **Taxing:** Congress has the power to tax if it is reasonably related to raising revenue.
2. **Spending:** Congress has the power to spend for the general welfare and can use its spending power to regulate activity by conditioning federal funding on such activity.

- D. **NECESSARY AND PROPER CLAUSE**—enables Congress to legislate to execute its powers

- E. **OTHER POWERS**—War, Property, Elections, Noncitizens and Naturalization

- F. **ENFORCEMENT POWERS**—Congress is empowered to enact legislation to enforce the civil rights guarantees of the Thirteenth, Fourteenth, and Fifteenth Amendments (Civil War Amendments)

III. INTERFERENCE BY STATE REGULATION

2. What type of constitutional issue is presented?

b. State interference with power? Consider trigger facts to spot issues:

Look at the action verbs to identify the issue and characterize the nature of the state interference:

Has the state *enacted* legislation, *issued* a tax, or *created* a licensing scheme?

Issues: Preemption, Dormant Commerce Clause, Privileges and Immunities Clause (Article IV)

A. DORMANT COMMERCE CLAUSE

1. **Rule:** In the absence of federal regulation, state regulation of commerce is valid so long as there is no discrimination against out-of-state commerce or an undue burden on interstate commerce. The clause applies to both out-of-state citizens and corporations (unlike the Comity Clause of Article IV, Section 2).

2. **Discrimination against out-of-state commerce?** Also consider P & I Clause below
 - **Necessary to important state interest?** The regulation will be upheld if an important local interest is being served and no other nondiscriminatory means are available.
 - **Market participant exception?** A state may discriminate if it is acting as a market participant (buyer or seller) as opposed to a market regulator. (Note: This exception does not apply to challenges under the P & I Clause of Article IV. In that case, there still must be a sufficient justification for the discrimination.)
 - **Traditional government function exception?** Regulations may favor state or local government for performance of a traditional government function (e.g., waste disposal).
3. **No discrimination against out-of-state commerce?** Usually upheld
 - **Undue burden on interstate commerce?** Even if non-discriminatory, the regulation must not place an undue burden on interstate commerce.
 - **Balancing test**—are the benefits grossly outweighed by the burdens on commerce?
 - **Is the regulation only impacting out-of-state activity?** A state may not regulate conduct that occurs wholly beyond its borders.

B. PRIVILEGES AND IMMUNITIES CLAUSE OF ARTICLE IV (Comity Clause)

1. **Rule:** No state may deprive a citizen of another state the privileges and immunities it accords its own citizens.
2. **Approach:**
 - **Discrimination against out-of-state citizens?** Corporations are not “citizens”
 - **Does it impact a fundamental right or essential activity?**
 - Private employment (e.g., fee for commercial license, residency requirements)
 - Recreational activities not protected (e.g., higher fee for hunting license)
 - **Does a substantial reason justify the discrimination?**
 - Nonresidents caused, or are part of, the problem
 - The discrimination is substantially related to that problem

C. STATE TAXATION OF COMMERCE

1. **Rule:** If Congress has not already acted in the area, a state may tax interstate commerce if it is nondiscriminatory and does not place an undue burden on interstate commerce.
2. **Discrimination?** Is tax designed to protect local commerce from out-of-state competition?
3. **No discrimination?**
 - **Substantial nexus** between the state and the taxed activity? Significant contact or substantial activity within state?
 - **Fair apportionment** of tax liability? Tax on interstate commerce equal to (not greater than) the tax on local commerce?
 - **Fair relationship to services provided by the state?** State benefits relate to the tax
4. **Related issues**—beyond Commerce Clause, consider P & I and Equal Protection Clauses

D. PREEMPTION: Under the Supremacy Clause, federal law (including regulations) overrides inconsistent state constitutional provisions or law.

1. **Express**—Congress explicitly prohibits state laws in the area or the Constitution gives the federal government exclusive power
2. **Implied**—Congress intended federal law to occupy the field or a state law is in conflict
 - **Direct conflict**—it is impossible (or nearly so) to comply with both laws simultaneously
 - **Indirect conflict**—state law frustrates the federal law’s purpose

Tip: The Supremacy Clause creates a floor—not a ceiling; states may enact more stringent laws and recognize greater rights than those granted by federal law.

IV. INDIVIDUAL RIGHTS

2. What type of constitutional issue is presented?

c. Individual rights? Consider trigger facts to spot issues:

Is there **state action**?

Is there a lack of procedural protection for taking liberty or property? **Procedural Due Process**

Is the law unreasonable and arbitrary, infringing a right for all persons? **Substantive Due Process**

Is the law infringing a right for a class of persons? **Equal Protection**

Is the government taking private property? **Takings Clause**

Is there a law impacting religion, speech, or association? **First Amendment**

A. **STATE ACTION**—private conduct will not trigger constitutional guarantees (except the Thirteenth Amendment’s prohibition of slavery)

1. **Traditional government function** performed by private persons
2. **Significant state involvement** with private conduct, such that the government is pervasively entwined with the private party’s conduct (e.g., facilitating private discrimination)

B. **PROCEDURAL DUE PROCESS (Fifth and Fourteenth Amendments)**

1. **Rule:** An individual may not be deprived of life, liberty, or property without due process of law. Due process requires notice and an opportunity to be heard.
2. **Deprivation of life, liberty, or property?** Requires intentional conduct, not negligence
 - Liberty—significant restraint on physical freedom or exercise of a fundamental right
 - Property—legitimate entitlement to continued receipt of a benefit
3. **What process is due?** Consider the interest of the individual, the ability of additional procedures to increase the accuracy of the fact finding, and the burden in providing such.
4. **When is the process due?** Timing of hearing varies by type of property or liberty at stake.
5. **What is the burden of proof?** Burden varies by type of property or liberty at stake.

C. **SUBSTANTIVE DUE PROCESS (Fifth Amendment)**—law infringes upon a right for all persons

1. **Rule:** Government action that infringes a fundamental right is subject to strict scrutiny; there need only be a rational basis for infringement upon a non-fundamental right.
Note: Intermediate scrutiny is not applied in substantive due process cases.
2. **Fundamental right?** Voting, travel, and privacy (e.g., marriage, child rearing)
 - **Strict scrutiny:** Is it **necessary** to achieve a **compelling** government interest?
 - Implied in the rule is the requirement for the **least restrictive means**
 - Burden is on the government to prove the law is necessary
3. **Not a fundamental right?** Social or economic interest (e.g., taxation, zoning, business)
 - **Rational Basis:** Is it **rationally related** to a **legitimate** state interest?
 - Burden is on the challenger to show the law is arbitrary or irrational

D. **EQUAL PROTECTION (Fourteenth Amendment)**—the law infringes a right for a class of persons

1. **Rule:** The Equal Protection Clause of the Fourteenth Amendment provides that no state shall deprive its citizens the equal protection of the laws. The Fifth Amendment includes the rights guaranteed by the Equal Protection Clause.
2. **Fundamental right or suspect classification?** The suspect classifications are race, ethnicity, national origin (and if analyzing a state law, alienage). The challenger must show a **discriminatory purpose** behind the law.

- **Strict scrutiny** (see above)
3. **Quasi-suspect classification?** Gender or status as a nonmarital child (legitimacy)
 - **Intermediate scrutiny:** Is the law **substantially related** to an **important** government interest? The burden appears to be generally on the government.
 4. **All other cases**—apply rational basis (see above); examine the motivation behind the law

E. TAKINGS (Fifth Amendment)

1. **Rule:** Private property may not be taken for public use without just compensation. The Fourteenth Amendment Due Process clause makes the Takings Clause applicable to the states.
 - **Taking?**
 - Not limited to ownership interests; can also apply to non-possessory interests (e.g., easements)
 - Seizure or destruction of property qualifies.
 - A regulation is a taking if it leaves no economically viable use of the property, but a regulation that merely limits use (e.g. zoning) is not a taking.
 - **Public Use?** Rationally related to conceivable public purpose
 - **Just compensation?** Fair market value at the time of the taking

F. FREEDOM OF RELIGION (First Amendment)

1. Establishment Clause

- **Rule:** The government can make no law respecting the establishment of religion, and laws that discriminate against religious speech or among religions are subject to strict scrutiny (see test above).
- **Test:** Court utilizes a consideration of "historical practices and understandings" (e.g., presumption of constitutionality for longstanding monuments, symbols, and practices)

2. Free Exercise Clause

- **Freedom to believe in a religion** is absolutely protected; the government may not deny benefits or impose burdens based on religious belief.
- **Freedom to act on religious belief** is less protected; the government may not intentionally target religious conduct, but a neutral law of general applicability that impacts religious conduct will be upheld if it is rationally related to a legitimate interest.

G. FREEDOM OF SPEECH (First Amendment)

The First Amendment provides Congress shall make no laws abridging the freedom of speech, and it is applicable to the states through the Fourteenth Amendment.

Freedom of Speech approach:

Is the conduct "speech"?

Is the regulation a prior restraint? Regulation that stops speech before it can occur is not favored

Is the regulation content-based? What category? Determines level of protection

Is the regulation content-neutral? Do the restrictions relate to when and where speech can occur?

Time, place, or manner restriction?

Public or non-public forum?

Is the regulation vague or overbroad? Void for vagueness and/or overbreadth

1. Is the conduct "speech"?

- Communication including activities (expressive conduct)
- The First Amendment protects the freedom of speech as well as the freedom not to speak.

2. **Is the regulation a prior restraint?** Stops speech before it occurs. Presumed unconstitutional with rare exceptions:
 - To prevent particular harm?
 - Procedural safeguards without unfettered discretion?
3. **Is the regulation content-based?** The regulation applies on its face, in application, or in intent to specific speech, conduct (one of the categories below), or viewpoint; strict scrutiny applies.
 - **Symbolic speech** (expressive conduct)—regulation upheld if it furthers an important government interest unrelated to speech suppression and the burden on speech is no greater than necessary
 - **Political speech**—includes political speakers, campaign finance, and contributions
 - **Scope**—protections apply to both individuals and corporations
 - **Campaign contributions**—regulations subject to intermediate scrutiny
 - **Campaign finance**—regulations on expenditures are subject to strict scrutiny
 - **Commercial** (advertising)—can suppress speech if false or misleading
 - **Defamation**—see UBE Torts Essay Roadmap
 - **Obscenity**
 - **Definition**—appeals to prurient interest, is patently offensive (community standard), and lacks serious literary, artistic, political, or scientific value (national standard)
 - **Pornography**—strict scrutiny generally applies to content-based restrictions on pornography
 - **Incitement to violence**—laws that forbid “fighting words” are often vague/overbroad
4. **Is the regulation content and viewpoint neutral?**
 - **Time, place or manner restriction?** Whether lawful depends upon the forum
 - **Type of forum?**
 - **Public forum**—(e.g., streets and parks or designated public forum) must be **content and viewpoint neutral, narrowly tailored** to a significant interest, and leave **open alternative channels** for communication
 - **Nonpublic forum**—(all other public property, e.g., government office or prison) permitted if **viewpoint neutral and reasonably related** to a legitimate governmental interest
5. **Is the regulation vague or overbroad?**
 - **Vagueness**—void if it fails to give sufficient notice as to what is prohibited
 - **Overbreadth**—void if it burdens a substantial amount of speech or other conduct constitutionally protected by the First Amendment; not applicable to commercial speech

H. FREEDOM OF ASSOCIATION (First Amendment)

1. Laws that prohibit participation in a group or require disclosure of participation must meet strict scrutiny
2. Criminal punishment based on political association requires active membership with knowledge of the group’s subversive nature and intent to further the illegal objectives of the group

ESSAY ROADMAP: CONTRACTS AND SALES

The law of contracts can be organized by a timeline of the issue areas ("AFTER"):

Applicable law	What law applies? UCC or Common Law
Formation	Was a contract formed? Mutual assent, terms, defenses
Third-party issues	Is there a third party to the contract? Assignment, delegation
Excused performance	Was it performed or was performance excused? Conditions, breach
Remedies	If there is a breach, what remedy is available?

I. WHAT LAW APPLIES?

- A. SERVICES** or real estate contracts—the common law (C/L) applies
- B. SALE OF GOODS** contracts—the UCC applies
 - 1. Goods—defined as tangible personal property
 - 2. Merchant status—special rules apply if a party regularly deals in goods of the kind involved
- C. MIXED**—apply the predominant purpose test to resolve; can apply both if a divisible contract

Tip: The UCC applies to contracts for the sale of goods of *any dollar amount* and *whether or not* a merchant is involved. Some UCC rules only apply if a party is a merchant. Define and discuss merchant status of a party (if relevant) at the outset after you determine the UCC applies, or before applying a rule for which merchant status matters.

II. WAS A CONTRACT FORMED?

- A. MUTUAL ASSENT** (Meeting of the minds)
 - 1. **Was there an offer?**
 - **Commitment**—manifestation of present intent to be bound
 - **Communicated to a specific offeree**—or under the exception for reward offers
 - **Containing definite and essential terms**
 - C/L—requires parties, subject matter, price, and quantity
 - UCC—only essential term is quantity
 - ◆ Gap fillers allowed for other terms, e.g., price, time/place of delivery
 - ◆ Output and requirements are sufficiently definite under the UCC
 - Missing terms okay if there is intent to contract; court will imply reasonable term
 - Advertisement? Usually treated as an invitation to receive offers from the public
 - Unilateral contract? Terms of offer require an act for acceptance, not a mere promise
 - 2. **Was it terminated?**
 - Revocation by offeror (O'or)—express or constructive retraction; effective upon receipt
 - Irrevocable if detrimental reliance, option contract, or UCC merchant's firm offer
 - Revocation of unilateral offer not available once performance has begun
 - Rejection by offeree (O'ee)—by words, conduct, or counteroffer; effective upon receipt
 - Lapse of time—if no time stated, it lapses after reasonable period of time; reasonableness depends on a variety of factors (e.g., nature of the contract)
 - Operation of law—death, destruction of the subject matter, or supervening illegality

Rejection must be clear. A statement of indecision or mere inquiry (e.g., "Is your price firm?") will not terminate the offer. A counteroffer (e.g., "How about \$500?") functions as a rejection and a new offer.

Revocation language tip: Remember an offeree **rejects**, an offeror **revokes**.

Watch the timing: When the offeror revokes, analyze whether he had the power to revoke.

If the offer is irrevocable, the offeror lacks the power to revoke.

Once the offeree accepts the offer, it is too late and the offeror lacks the power to revoke.

Likewise, once the offeror validly revokes, the offeree's power to accept the offer expires.

3. Was it accepted?

- **C/L—mirror image** rule; any change in terms will be a rejection and counteroffer
 - **Mailbox rule**—acceptance sent by mail is effective when sent unless:
 - ♦ O'ee accepts and later rejects—acceptance controls unless O'or has relied
 - ♦ O'ee rejects and later accepts—first received controls even if O'or hasn't read it
- **UCC**—can accept by promise (know UCC 2-207) or performance
 - **By promise:** Acceptance including a change in terms is valid unless agreement to the changed terms is made a condition of acceptance; if not, terms are a proposal for change to the contract
 - ♦ **Between merchants**, the new or different terms control, unless:
 - a. The original offer limited acceptance to its terms;
 - b. They materially alter the offer; or
 - c. The offeror does not object within a reasonable time.
 - d. Knock-out rule—some states treat different terms as nullifying each other
 - **By performance**—shipment of non-conforming goods is both an acceptance and a breach unless buyer is notified the goods were sent as an accommodation
- **Unilateral**—requires complete performance; O'ee must know of and be motivated by offer; once started, the O'ee is not bound to complete performance

B. IS THERE CONSIDERATION?

1. Bargained-for exchange? Mutuality of promises

- **Gifts**—not bargained for; consider promissory estoppel
- **Past consideration**—not bargained for; modern trend allows if needed to prevent injustice

2. Of legal detriment? Minority look for detriment or benefit

- **Adequacy**—promise to do or not to do something; performing or refraining from performing an act
- **Preexisting legal duty**—insufficient unless giving something new or different
- **Illusory promises**—not valid unless required to act in good faith, e.g., upon satisfaction

3. Or a substitute?

- **Promissory Estoppel/Detrimental Reliance**—foreseeable, reasonable reliance
- **Quasi-Contract**—implied in law to avoid unjust enrichment; get value of benefit conferred

C. IS THERE AN ISSUE WITH THE TERMS?

1. Modification—look for and analyze an offer to modify, acceptance and consideration

- **C/L**—requires additional consideration; must overcome the pre-existing duty rule
- **UCC**—requires good faith but no additional consideration

2. **Parol Evidence Rule**—bars extrinsic evidence of prior or contemporaneous statements that contradict the written agreement (if the agreement is integrated)
 - **Integrated writing**—intended as final expression of the parties' agreement; partial okay
 - Extrinsic evidence allowed to attack validity or explain terms; UCC more lenient
3. **Warranties (UCC)**
 - **Express**—promise, description, or sample (but not opinion) that is a basis of the bargain
 - General disclaimer for an express warranty is not valid
 - **Implied warranty of merchantability**—product fit for ordinary purpose (if merchant seller)
 - "As-is" disclaimer okay if verbal or written so long as "merchantability" term used
 - If in writing, the disclaimer must be CONSPICUOUS
 - **Implied warranty of fitness for a particular purpose**—if seller knows and buyer relies
 - "As-is" disclaimer valid if in conspicuous writing

III. IS THERE A DEFENSE?

A. TO FORMATION?

1. **Mistake**—mutual mistake as to basic assumption that materially affects performance
2. **Misunderstanding**—each party attaches different meanings to the same material term
3. **Misrepresentation/Fraud**—untrue assertion of fact
4. **Duress or Undue influence**—improper threat/influence that deprives meaningful choice
5. **Incapacity**—due to age, mental illness, or intoxication

B. TO ENFORCEMENT?

1. **Illegality**—the consideration or performance is illegal
 - A party unaware of the other party's illegal purpose may still recover
2. **Unconscionability**—shocks the conscience in its unfairness at the time contract was made
3. **Statute of Frauds** (Mr. SOUR)

Approach:

- **Does the statute apply?** Marriage, Sureties, One year, UCC Goods \$500+, Real estate
- If so, has it been **satisfied**? By a writing? Signed by the party to be charged?
- If not, is there an **exception**? Full or part performance (goods delivered and accepted or combination of payment/possession/improvements to land), UCC specially manufactured goods, or merchant's confirmatory memo

IV. IS THERE A THIRD PARTY INVOLVED?

- A. **THIRD-PARTY BENEFICIARY (3PB)**—parties to a contract intend that performance by one party benefits a third party (who is not a party to the contract)
 1. **Identify the 3PB**—as **intended** (can sue) or **incidental** (cannot sue on contract)
 2. **Contract modification** okay until rights vested, otherwise 3PB notice and consent needed
 3. **What are the 3PB rights?**—depends on 3PB status as donee (promise is a gift) or creditor
 - **Donee 3PB**—generally, may only sue promisor; may sue promisee if promisee tells 3PB about the contract and 3PB justifiably relies to his detriment
 - **Creditor 3PB**—may sue either promisor or promisee (only one recovery is allowed)
- B. **ASSIGNMENT**—right to contract benefit transferred to a third party after contract formed
 1. **Was there an assignment?** Look at present intent to assign; no formalities needed
 2. **Was it a proper assignment?** Cannot materially increase a duty
 3. **What are the rights/duties of the parties?** Assignee stands in the shoes of the assignor

- C. DELEGATION**—duty to perform contract transferred to a third party after contract formed
1. **Was there a delegation?** Look at present intent to delegate; no formalities needed
 2. **Was it a proper delegation?** Generally okay unless involving personal judgment or skill
 3. **What are the rights/duties of the parties?** Delegator still liable; delegatee cannot be compelled to perform unless he has assumed the duty (promise + consideration)

V. WAS THERE PERFORMANCE OR WAS IT EXCUSED?

- A. CONDITIONS**—conditions have to be excused or satisfied to obligate both parties to perform
1. **Excuse** conditions by:
 - Anticipatory repudiation (see below)
 - Prospective inability to perform
 - Estoppel
 - Waiver
 2. **Satisfy** conditions by substantial or complete performance or because of a divisible contract
- B. DISCHARGE OF DUTY**—a duty must be discharged or performed to avoid being in breach
1. **Discharge** a duty by:
 - Modification
 - Rescission
 - Impossibility (due to death, incapacity, illegality, or destruction of the subject matter)
 - Impracticability (unanticipated event causes extreme difficulty; proponent not at fault)
 - Frustration of purpose (unforeseeable event frustrates purpose; proponent not at fault)
 - Accord and satisfaction (agreement to resolve disputed amount plus payment)
 - Release/novation (both parties agree to change the obligation or party to the agreement)
 2. **Performance** must be substantial, complete, or perfect (if UCC, see VI.B. below)
- C. ANTICIPATORY REPUDIATION**—if before the time performance is due the party indicates it is unwilling or unable to perform; seek further assurances or, if futile, suspend performance

VI. IS THERE A BREACH?

- A. COMMON LAW** (substantial performance)
1. **Material**—does not receive the substantial benefit of the bargain or is a minor breach with anticipatory repudiation; non-breaching party may suspend performance and pursue remedy
 2. **Minor**—receives substantial benefit of the bargain; must still perform
- B. UCC** (perfect tender)
1. **Perfect tender**—if goods or delivery are defective in any way, buyer can sue for breach
 - If buyer rejects nonconforming goods, seller can cure if time for performance remains
 - Does not apply to installment contracts; apply substantial performance standard instead
 2. **Warranty**—breach occurs when the goods fail to fulfill the terms of the warranty

VII. WHAT REMEDY IS AVAILABLE?

- A. DAMAGES**—choose one of these measures depending upon the facts
1. **Expectation**—put the nonbreaching party in as good a position as performance would have done plus incidental and consequential damages (if reasonably foreseeable at the time of contracting), less mitigation of damages
 - **UCC Buyer**—market price minus contract price, or alternatively, cost to cover
 - **UCC Seller**—full contract price plus incidental damages, or lost profits if lost volume seller
 - **Warranty**—difference in value is measured at time/place of acceptance
 2. **Reliance**—put the nonbreaching in the position as if the contract were never formed

3. **Restitution**—award value of the benefit conferred but not if breach was willful
 4. **Liquidated—damages** to be recovered by one party without proof of actual loss; upheld if damages would be difficult to ascertain and the amount is reasonable
- B. SPECIFIC PERFORMANCE**—an equitable remedy that forces performance if damages not adequate
1. **Inadequate remedy at law**—money damages are inadequate for land, unique goods
 2. **Service contracts**—not available unless enforcing a negative covenant, e.g., non-compete
 3. **Defenses**—equitable defenses of laches, unclean hands; defense to contract enforcement

ESSAY ROADMAP: CORPORATIONS

Approach to Corporations essays:

Categorize the parties in the lawsuit to narrow the list of issues:

Identify plaintiff(s) as shareholder (SH), director/member, third party (3P), or the corporation/LLC (C)

Identify defendant(s) as pre-incorporation promoters, directors/members

Identify whose rights are being vindicated and if for the entity itself, discuss derivative suit

Memorize issues that arise within the most tested areas:

Formation and stock issuance

Fiduciary duties/Management of the corporation

Shareholder rights

I. APPLICABLE LAW—apply the RMBCA unless directed; most states follow a version of the RMBCA

II. CORPORATE FORMATION

Call of the Q: A third party sues a shareholder for breach of contract

Issues: Personal liability of a shareholder and/or promoter liability for pre-incorporation conduct

Analyze:

Promoter Liability for pre-incorporation conduct (promoter always liable unless there is a novation)

De Jure Formation (shareholder not liable for debts of a corporation if validly formed)

Defective Corporation (De Facto, Corporation by Estoppel)

Exception if validly formed: Piercing the Corporate Veil (fraud, undercapitalization or alter ego)

A. Generally: One reason to form a corporation is to protect its owners from personal liability, the other is to promote investment; when all steps are followed, a de jure corporation is formed.

B. Promoter Liability—before formation, a promoter is one who works on behalf of the corporation to create and fund the entity, with knowledge the entity is not yet formed

1. To third parties:

- A promoter is personally liable for a breach of contract, even after the corporation (C) is formed, unless there is a novation or the third party (3P) knew of the pre-formation status and agreed to look only to the C for performance.

2. To the corporation:

- A promoter owes a fiduciary duty to the corporation even before it is formed.
- A secret profit (e.g., undisclosed commission) on a pre-incorporation transaction is a breach.

C. Corporate Liability: The corporation is not liable for pre-formation transactions unless there is a novation or an express (by the board) or implied (accepts benefits) adoption of the contract.

D. Incorporation

1. Procedure—incorporator signs and files the articles with the state and pays the filing fee

- **Articles of Incorporation** (required contents)
 - Name of the corporation (must include Corporation, Company, Limited, etc.);

- Name and address of local agent for service of process;
- Names and addresses of incorporators; and
- Number of authorized shares in each class of stock.
- Unless stated in the articles, RMBCA presumes “any lawful business” purpose
- **Ultra Vires actions**—corporate acts that are beyond what is permitted in the articles
 - Ultra vires acts were void at C/L, but are enforceable under the RMBCA
 - Shareholders or the state can enjoin the acts if equitable; the corporation can sue the directors/officers who committed the acts
 - A 3P cannot assert ultra vires acts as a defense to escape liability
- 2. **Timing**—impacts when the limited liability of the corporation begins
 - **Rule:** If the state accepts the articles, the entity is formed on the date when the articles are filed, or a later (not earlier) date set out in the articles; filing by the state is conclusive proof the entity is formed.
- 3. **Defective Incorporation** (failed to form a de jure corporation)
 - **De Facto**—(not recognized by RMBCA) corporation not formed in spite of good faith effort to comply and acted without knowledge of defects
 - **Corporation by estoppel**—applies in a contract dispute (not in a tort case) to prevent a 3P from denying the existence of the corporation when a de facto corporation exists
- 4. **Bylaws**—after filing, directors adopt bylaws (day-to-day rules), that can be amended or repealed by the SH or directors; in the event of a conflict with the articles, the articles control
- 5. **Piercing the Corporation Veil (PCV)**
 - A plaintiff can “pierce the corporate veil” of limited liability to recover directly from the investor or shareholder on the basis of fraud or unfairness
 - Commonly sought in a contract dispute, but **more likely to be granted in tort case**
 - Grounds:
 - **Alter ego**—failed to observe corporate formalities; C is just the SH’s alter ego
 - **Undercapitalization**—failure to maintain sufficient funds to cover liabilities
 - **Fraud**—the parties engaged in fraud or fraud-like behavior

III. INVESTING IN CORPORATION

A. Types of Stock

1. **Common stock**—a corporation must issue stock that is entitled to vote and stock that represents ownership in the corporation
2. **Preferred stock**—stock given priority with dividends and during liquidation

B. Issuance of Stock (stock sold or traded to an investor)

1. **Authorization**—must be authorized in the articles and by the board of directors; SH approval required to sell more than the authorized maximum
2. **Consideration**—(RMBCA) can be money, tangible or intangible property or future services so long as the value is determined as adequate by the board acting in good faith
 - **Par value stock**—a stock with an assigned value (usually a nominal amount)
 - **Watered stock** (not recognized by RMBCA) — stock sold for under par value; SH will be liable for the amount over par value (the “water”)
3. **Stock Subscriptions**—agreement to buy stock before formation, irrevocable for 6 months
4. **Stock Rights, Options, Warrants**—BOD of C has authority to issue and dictate the terms
5. **Preemptive Rights**—if the board issues new shares, the rights of shareholders to purchase additional shares to maintain proportional ownership; must be authorized in the articles

IV. DISTRIBUTIONS (GETTING MONEY OUT)

- #### A. Methods
- a corporation can declare a cash dividend or buy back shares; a stock dividend or split is not considered a distribution

- B. Authorization**—in its discretion, the board may authorize payment of a dividend; a SH cannot compel the board to authorize a distribution unless it acts in bad faith and abuses its discretion
- C. Insolvency**—a corporation may not make a distribution if it is insolvent or would cause such, determined under either the equity test or balance sheet test at the time a dividend is declared
- D. Liability**—directors personally liable to the C for unlawful distribution beyond lawful amount
- E. Priorities**—in paying distributions to SH: preferred, preferred participating, cumulative, common

V. SHAREHOLDERS

- A. Duties**—Shareholders elect the board of directors and vote on fundamental changes
- B. Meetings**
 - 1. Annual** (mandatory to elect board) **and Special** (to approve fundamental change)
 - 2. Notice** required no fewer than 10 days and no more than 60 days before the meeting
 - **Content** of the notice must include where and when it will be held
 - **Special** meeting notice must include the purpose for the meeting
 - **Failure** to provide proper notice allows SH to challenge actions, absent a waiver
 - **Waiver**—SH will be held to waive defects in notice by a signed writing or by attending the meeting without objecting to the defective notice
 - 3. Unanimous consent** of SH to act without a meeting is allowed if it is in writing
 - 4. Failure** to hold a meeting will not invalidate the entity or its business
- C. Voting**—only a SH who own shares on the record date is entitled to vote
 - 1. Record date**—fixed by directors and can be no more than 70 days before the meeting; a SH who acquires after the record date cannot vote without a proxy from the record owner
 - 2. Proxy**—a third party may be appointed to vote if in a signed writing sent to the corporation
 - Valid for 11 months unless otherwise stated
 - Revocable unless otherwise specified and is coupled with an interest
 - 3. Quorum**
 - To hold a vote requires a quorum of the eligible shares to be present at the meeting
 - A quorum is a majority of votes representing the eligible outstanding shares
 - 4. Number required**—if a quorum is present, a vote will be approved if votes in favor exceed votes against (majority), unless the articles provide for a greater amount (e.g., plurality)
 - 5. Cumulative voting** (an exception to the “one share = one vote” default)—articles may give SH a number of votes equal to the number of shares multiplied by number of directors
 - 6. Class voting**—the articles can create classes of stock that have greater voting power (e.g., one share = five votes) or no power (e.g., nonvoting stock)
 - 7. Voting agreements**—SH can enter a contractual agreement to vote their shares a specific way; agreements are subject to contract law (e.g., SOF applies) and enforceable through specific performance, but need not be filed with the corporation and have no duration limit
- D. Rights**
 - 1. To inspect records**—SH may inspect and copy records with five days’ notice stating a proper purpose (related to financial interest of SH and not to harass or acquire corporate secrets)
 - 2. To sue the corporation**—SH may bring a direct or derivative action against the corporation
 - **Direct**—recover damages for a breach of duty to SH individually, causing direct harm
 - **Derivative** (SH sues on behalf of the C to vindicate rights of the C)

- **Standing**—must be a **SH at the time of the wrong** (or acquire shares from SH who was) and maintain ownership throughout litigation; SH must fairly and **adequately represent** the interests of the corporation
- **Demand**—must make **written demand** to the board, **and wait 90 days** before commencing action unless board rejects it earlier (tested against business judgment rule) or waiting would cause irreparable injury; some states excuse if demand futile
- **Recovery**—any recovery goes to the corporation; SH can seek reimbursement for attorney's fees if the action produced a substantial benefit to the corporation

E. Liabilities

1. **Generally:** Shareholders do not owe a duty to each other or to the corporation, but can be liable to a 3P (if PCV, see II.D.5. above) or if a controlling SH in a close corporation.
2. **Controlling SH**—owns greater than 50% or enough of the shares to enact major changes
 - Cannot use the position of control to cause C to take action that prejudices the minority
 - May owe a fiduciary duty to minority SH for selling stock to a looter without reasonable investigation, seeking to eliminate other SH, receiving a distribution denied to other SH or failing to disclose material information

Tip: Common Areas of Confusion in Corporate Governance

Shareholders select and remove directors; directors select and remove officers

Bylaws may be amended or repealed by majority vote of *either* the directors or shareholders

Articles may be amended by the directors until stock is issued; after issuance of stock, the directors must adopt the amendment *and* submit it to the shareholders for majority approval

If the bylaws and articles are in conflict, the articles control

VI. MANAGEMENT (DIRECTORS & OFFICERS)

- A. Board of Directors**—manages and directs the management of the corporation's business; the board must consist of at least one director who typically serves for a one year term
 1. **Election**—SH elect the directors at the annual meeting
 2. **Removal**—SH can remove a director (D) with or without cause, unless the articles provide
 3. **Action**—the board takes action through a meeting or with unanimous written consent
 4. **Meetings**—two days' notice is required for a **special** meeting unless waived in writing or by D attending; no notice is required for a **regular** meeting; directors cannot vote by proxy
 5. **Voting**
 - **Quorum**—requires a majority of all directors unless articles or bylaws specify otherwise
 - **Presence**—a D can "attend" a meeting by electronic means that allow hearing/speaking
 - **Required number**—if a quorum is present, a majority vote of the directors in attendance can approve a resolution, provided they are present when the vote is taken
 - **No Voting Agreements** are allowed among directors
 6. **Dissenting**—a D may dissent to board action to avoid being liable for its conduct
 - Voting against a resolution will not shield D from liability
 - D must object to the meeting, ensure dissent is in the minutes or file a written dissent during or immediately after the meeting
 7. **Committees**—the board may act through a committee; the Sarbanes-Oxley act requires a publicly traded corporation to have an independent audit committee
 8. **Compensation**—board may set its own compensation; an excess may be a waste of assets
- B. Officers**—run the daily business and are elected and removed by the Board of Directors with or without cause; officers owe a fiduciary duty of care and loyalty to the corporation

C. Duty of Care

1. **Standard**—must act as a prudent person in like circumstances; must use any special skills
2. **Business Judgment Rule:** In the absence of fraud, illegality, or self-dealing, the good faith actions of a director or officer will not be disturbed.

D. Duty of Loyalty

1. **Rule:** A director/officer must act in good faith and in the best interest of the corporation.
2. **Conflict of Interest (self-dealing)**
 - **Rule:** A transaction between the corporation and a director (or her relatives) or a business in which the director has an interest that would normally require approval of the board (e.g., salary) is a breach of duty of loyalty unless:
 - **Ratification**—disclosure of material facts and approval by either a majority of all disinterested directors or majority of all disinterested SH; or
 - **Fair**—transaction was fair to the corporation at the time of the transaction.
 - Some states treat as a partial defense and shift burden to plaintiff to prove unfair
 - **Remedy**—damages to C; transaction may be subject to injunctive relief or rescission
3. **Corporate Opportunity**
 - **Rule:** A director/officer cannot usurp a corporate opportunity unless she first notifies the board and waits for the board to accept or reject before seizing the opportunity.
 - Corporate opportunity is measured by “interest or expectancy” or “line of business” test
 - **Remedy**—damages, constructive trust or corporation gets the opportunity at cost
4. **Competing Venture**
 - **Rule:** A director/officer that engages in a business that competes with the C is in breach of his duty of loyalty.
 - **Remedy**—constructive trust on the profits or injunctive relief

E. Right of Indemnification—a D may seek indemnification for expenses resulting from litigation

1. **Mandatory**—required if D successfully defends an action against him for his role as a D
2. **Prohibited**—not if D is liable for receiving an improper personal benefit
3. **Permissive**—if the D acted in good faith or had no cause to know his acts were unlawful

Call of the Q: Shareholder sues the board of directors alleging wrongful conduct

Typical issues:

Shareholder direct suit (may be vindicating a SH right)

Shareholder derivative suit (on behalf of the corporation based on breach of fiduciary duties)

Directors’ duty of care; business judgment rule defense

Directors’ duty of loyalty; defense of ratification or fairness

Remedies for breach

VII. SALE OF SECURITIES

- A. **Closely Held Corporations:** Reasonable restrictions on selling stock are allowed but not enforceable against a transferee unless the stock certificate includes a conspicuous statement or transferee has actual knowledge; controlling SH has a fiduciary duty when selling to outsiders.

B. Federal Cause of Action

1. **Rule 10b-5**—a buyer or seller using interstate commerce may allege a violation against a defendant who intentionally engaged in fraud or deception causing plaintiff to suffer harm
2. **Section 16(b)**—a corporate insider can be forced to return short-swing profits to the C

VIII. FUNDAMENTAL CHANGES

- A. **Approval**—any fundamental change to the corporation must be approved by the majority of the board of directors and a majority of shareholders entitled to vote.
- B. **Merger**—a merger is the combination of two or more corporations when one survives; a consolidation is when two combine and neither survive but a new entity is created; merger with a corporation in another jurisdiction must be permitted by the law of that other jurisdiction
- C. **Sale of Assets**—a fundamental change when it is a sale or other transfer of substantially all of the corporation's assets outside the regular course of business; approval required by transferor C
- D. **Stock Acquisition**—to gain control of another corporation without a merger, the C may acquire its stock with cash or through a share exchange (RMBCA views it the same as a merger)
- E. **Amending the Articles**—once stock has been issued, the articles may only be amended with approval by the majority of the shareholders entitled to vote
- F. **Dissolution**
 1. **Voluntary**—corporate entity dissolved by approval of the directors and shareholders
 2. **Involuntary**—corporate entity dissolved by the court upon petition by creditors or SH
 - **By creditors**—allowed only if the corporation is insolvent
 - **By shareholders**—allowed if one of the grounds is shown:
 - Waste of corporate assets (e.g., board paying itself excessive salaries)
 - Illegal, oppressive or fraudulent conduct (e.g., blocking dividends to raise salaries)
 - Director deadlock and irreparable injury to C is likely (e.g., C is losing value)
 - Shareholder deadlock over election of new directors
 3. **Distribution**—upon dissolution, the directors must distribute the assets to creditors, and then to SH with preference during liquidation and finally to SH of other stock
- G. **Dissenter's Rights of Appraisal**—forces the C to buy his stock at a fair (appraised) value within 30 days of the demand for payment
 1. **Qualifying SH**—a SH entitled to vote on a fundamental change
 2. **Trigger**—there must be a merger, acquisition, sale of assets or amendment of the articles
 3. **Procedure:**
 - **Notice**—written notice delivered before SH vote on the action
 - **Disapproval**—SH must not vote in favor but must abstain or vote against
 - **Demand**—SH must submit written demand for payment
 - **Payment**—C pays agreed upon fair market value or the court can appoint an appraiser

IX. CLOSE CORPORATIONS

- A. A closely held corporation is one with few shareholders and is not publicly traded
- B. SH often serve as both directors and officers and can enter into voting agreements

- C. Formalities are usually relaxed in many states but controlling SH have special obligations (V.E.2)

X. LIMITED LIABILITY COMPANIES

Tip: Be prepared for the following favored issues:

Duty of Loyalty (apply the rules above regarding fiduciary duties of directors/officers)

Piercing the Veil of limited liability (apply PCV rules but the basis is usually the alter-ego theory)

Dissolution

- A. **Generally:** A limited liability company (LLC) provides its investors (called members) with limited liability (like a corporation) yet flexible management and pass-through taxation (like a partnership).
- B. **Creation**—by filing articles of organization with the state; the name must include “LLC” or words “limited liability company”
- C. **Adding a new member**—to join an LLC, all members must consent; all states permit one-member LLC/s
- D. **Management**—presumed by all members but can be centralized in one or more managers (who need not be members); LLC can adopt an operating agreement that will control over statutory provisions
 - 1. **Member-managed LLC**—members have broad authority to bind the LLC
 - 2. **Manager-managed LLC**—members **do not** have authority to bind the LLC
- E. **Fiduciary Duties** are owed by members to each other (as in a partnership) and to the entity itself (as in a corporation); apply the rules above when analyzing the duties of a member
- F. **Transferability**—transfer of a membership includes right to profit/loss but not right to manage
- G. **Profits and Losses**—are presumed to be allocated according to a member’s contribution unless the operating agreement indicates otherwise
- H. **Termination of membership**—withdrawal by one member does not terminate the LLC and the LLC may elect to liquidate the member’s interest and pay fair market value
- I. **Dissolution**—requires consent of all members or can occur for lack of any members or the grounds for involuntary dissolution; upon dissolution and winding up, the creditors must be notified and instructed how to resolve any outstanding claims

ESSAY ROADMAP: CRIMINAL LAW

I. GENERAL PRINCIPLES

When analyzing whether a crime was committed, consider the required components of a crime:

- **Act** (actus reus)
- **State of mind** (mens rea)
- **Causation**

A. ACT (actus reus)—voluntary act or omission

B. STATE OF MIND (mens rea)

1. **Specific intent** (FIAT) First-degree murder, Inchoate crimes, Assault (attempted battery), Theft; more defenses are available for specific intent crimes than general intent crimes
2. **General intent**—intent to perform the unlawful act; MPC: purposely, knowingly, or recklessly
3. **Malice**—reckless disregard of the high probability of harm; applies to murder and arson
4. **Strict Liability**—does not require any particular state of mind, the act alone will suffice
5. **Transferred intent**—intent to harm intended victim can transfer to unintended victim

C. CAUSATION—the defendant's (D's) act must cause the unlawful result

II. PARTIES TO A CRIME

Tip: Being an accomplice or accessory is not itself a crime. It is instead a theory of liability to link a person (accomplice/accessory) to the crime committed by another (principal).

A. PRINCIPAL—the perpetrator who commits the required act or omission; can be more than one

B. ACCOMPLICE LIABILITY

1. **Rule**—acts with the requisite mens rea to aid the principal before or during the commission of a crime
2. **Liability** is for the planned and other foreseeable crimes; the principal need not be convicted
3. **Defense**—withdrawal (repudiated aid or counteracted prior aid before events unstoppable)

C. ACCESSORY AFTER THE FACT

1. **Rule**—acts with intent to assist the principal to avoid apprehension after a felony is complete
2. **Liability** is for a separate crime (e.g., obstruction of justice) but not the principal's crime

III. INCHOATE CRIMES—"not fully formed" crimes

A. MERGER—solicitation or attempt merge into the target crime if it is completed; one cannot be convicted of both solicitation or attempt and the completed crime

B. SOLICITATION

1. **Rule**—to invite or urge another to commit a crime with the intent the party do so
2. No return agreement is required, but if it happens, they both might be guilty of conspiracy
3. **Defense**—neither the refusal of the one solicited nor factual impossibility is a defense

C. ATTEMPT

1. **Rule**—specific intent to commit a crime + a substantial step beyond mere preparation

2. **Defense**—legal impossibility as well as defenses to formation of specific intent

D. CONSPIRACY

1. **Rule:**

- Agreement (express or implied) between two or more persons (modern trend/MPC: unilateral conspiracy okay);
- Intent to achieve unlawful purpose (to commit a crime); and
- Overt act in furtherance (majority)

2. **Defense**—withdrawal if before overt act; if after, can avoid liability for crime not conspiracy

3. **Liability** is for all foreseeable crimes committed in furtherance of the conspiracy; if the crimes was committed by unknown co-conspirators, liability will depend upon whether it was a chain or hub-spoke relationship

Tip: Look at the language in the interrogatory to help with issue spotting. Does it ask which crimes may the defendant be “charged with” or “convicted of”? Conviction is a higher standard and merger applies.

IV. CRIMES AGAINST THE PERSON

A. **HOMICIDE**—the killing of a living human being by another (includes murder and manslaughter)

1. **Generally:** Murder is the unlawful killing of another living human being with malice (common law); a statute may classify murder as first-degree if it is also deliberate and premeditated, or if committed during an enumerated dangerous felony (FMR)

2. **Causation:** D’s act must be both the actual and proximate cause of the victim’s death.

3. **Malice** is intent to kill, intent to do serious bodily harm, reckless indifference to human life (depraved heart), or intent to commit an enumerated felony (BARRK)

4. **First-degree murder**—specific intent; murder that is deliberate and premeditated or FMR

- **Deliberate and premeditated**

- **Felony Murder Rule (FMR)**

- **Rule:** Felony murder is the unintended but foreseeable death caused by and occurring during the course of a dangerous or enumerated felony.
- **Dangerous felony:** Burglary, Arson, Rape, Robbery, or Kidnapping (BARRK)
- **Enumerated felony** qualifying for the FMR may be set out by state statute
- **Defense arguments:**
 - ♦ Defense to the underlying felony
 - ♦ Felony not independent of the killing (e.g., aggravated battery)
 - ♦ Death not a foreseeable result (no proximate cause)
 - ♦ Death occurred after the felony was complete and D reached a point of safety
- Death of a co-felon caused by resistance by the victim or police is not subject to FMR

5. **Common-law murder** (murder with malice)

- Often classified as second-degree murder
- A death occurring during a felony, other than an enumerated felony, may be classified as second-degree murder (or if during a lesser crime would be misdemeanor manslaughter)

6. **Manslaughter**—unlawful but intentional killing

- **Voluntary**—murder committed in response to adequate provocation (heat of passion)

- **Heat of passion**—would provoke reasonable person and with no chance to cool off
- Provocation must cause fatal act; imperfect self-defense qualifies to mitigate murder to voluntary manslaughter

- **Involuntary**—unintentional killing caused by criminal negligence (recklessness under the MPC) or during unlawful act

B. **BATTERY**—unlawful application of force to another that causes harmful or offensive touching

- C. **ASSAULT**—attempted battery or intentionally placing one in apprehension of imminent bodily harm
- D. **FALSE IMPRISONMENT**—unlawful confinement of another without consent by force or threat
- E. **KIDNAPPING**—unlawful confinement without consent by force/threat + moving or hiding victim

V. **CRIMES AGAINST PROPERTY** (elements changed by modern statutes in *italics*)

- A. **LARCENY**—trespassory taking and carrying away of personal property of another with the intent to permanently deprive (MPC eliminated the carrying away requirement and focuses on D's unlawful control of the property)
- B. **ROBBERY**—larceny from another's person or presence by force or intimidation
- C. **BURGLARY**—*breaking and entering* the *dwelling* of another *at night* with intent to commit a felony; modern rule expands to "entering or remaining in a structure with intent to commit theft"
- D. **EMBEZZLEMENT**—fraudulent conversion of the property of another by one who has lawful possession
- E. **FALSE PRETENSES**—obtaining title to property of another by fraud or deception
- F. **LARCENY BY TRICK**—larceny by fraud or deception resulting in the conversion of another's property (victim delivers possession of, but not title to, the property)
- G. **FORGERY**—making of false writing with apparent legal significance and with intent to defraud
- H. **ARSON**—malicious *burning* of the *dwelling* (now "structure") of another
- I. **PERJURY**—after promise to tell the truth, willfully makes false statement of a material matter
- J. **RECEIVING STOLEN GOODS**—receiving control of stolen property, knowing it is stolen, and with intent to permanently deprive; must know goods are stolen upon receipt

VI. **DEFENSES**

A. **STATE OF MIND DEFENSES** (negate the mens rea)

1. **Mistake**

- **Of fact**—honest and reasonable mistake negates specific or general intent; if unreasonable, it will not negate general intent or malice
- **Of law**—generally no defense unless mistaken about an element that negates intent, reliance on government interpretation that later changes, or lack of notice

2. **Insanity**—four available tests; every test requires D have a mental disease or defect, plus:

- **M'Naghten**—did not know either the nature and quality or the wrongfulness of the act
- **Irresistible impulse**—lacks capacity for self-control to conform her conduct to the law
- **Durham**—would not have committed crime "but for" mental disease/defect; less favored
- **MPC**—lacked substantial capacity to appreciate the wrongfulness or to conform conduct

3. **Intoxication**

- **Voluntary**—applies to negate specific intent only; MPC: negates purposely/knowingly
- **Involuntary**—applies to negate an element, including general or specific intent and malice

- B. SELF DEFENSE**—a victim (V) can use reasonable force to prevent imminent unlawful harm/force
 - 1. Non-deadly force**—(NDF) not likely to cause death or serious bodily injury; may be used to repel NDF
 - 2. Deadly force**—(DF) can be used when reasonably necessary to prevent death or serious injury, or to prevent a serious felony involving a risk to human life
 - 3. Retreat**—not if using NDF; minority requires if using DF if safe to do
- C. DEFENSE OF OTHERS**—one has the right to defend a V to the extent the V possesses the right to defend himself
- D. DEFENSE OF PROPERTY**—may use NDF if reasonably necessary to protect property; DF may be used only to prevent a forcible felony, arson, burglary, or robbery but no mechanical devices
- E. DURESS**—threat of death or serious bodily injury forced D to commit crime (but not murder)
- F. NECESSITY**—natural forces not caused by D forced D to commit crime

ENTRAPMENT—would not have committed crime except for trickery/fraud of law enforcement

ESSAY ROADMAP: CRIMINAL PROCEDURE

How to organize your essay:

Follow the interrogatory and if open-ended, organize by defendant and then by constitutional right.

Identify the remedy (exclusionary rule) **before the right** (constitutional amendment).

Identify the right (constitutional amendment) **before the violation** (e.g., unlawful search).

Tip for finishing on time:

Criminal procedure essays require many rule statements but the issues are predictable. Rehearse the anticipated rules in advance. Memorize an approach for the Fourth, Fifth, and Sixth Amendments.

Exclusionary Rule approach:

When the interrogatory seeks an answer to whether a motion to suppress should be granted or upheld, begin with the exclusionary rule (the remedy) before discussing the constitutional right:

The exclusionary rule will suppress evidence obtained in violation of a defendant's rights under the (Fourth/Fifth/Sixth) Amendment(s), applicable to the states through the Fourteenth Amendment.

Continue with discussion of the constitutional violation.

If the evidence was discovered as a result of unconstitutionally obtained evidence, continue with the **Fruit of the Poisonous Tree (FPT)** doctrine:

Derivative evidence discovered as a result of the primary violation is also excluded as "fruit of the poisonous tree" unless an exception applies.

Explain the connection between the primary violation and the derivative evidence.

If an exclusionary rule exception applies, and after analyzing the rules above, continue:

Evidence, whether primary or derivative may be admitted if an exception applies, such as ... (list the exceptions applicable in the fact pattern) before discussing each one at a time.

I. EXCLUSIONARY RULE—court-created remedy for a violation of the Fourth or Fifth Amendments

A. RULE: The exclusionary rule will suppress evidence obtained in violation of a defendant's rights under the (Fourth/Fifth/Sixth) Amendment(s), applicable to the states through the Fourteenth Amendment.

B. FRUIT OF THE POISONOUS TREE—evidence derived from the primary tainted evidence

1. Rule: Derivative evidence discovered as a result of the primary violation is also excluded as "fruit of the poisonous tree" unless an exception applies.

2. Exceptions—raised by the state to break the link between the violation and evidence

- **Inevitable discovery**—would have discovered whether or not police acted unlawfully
- **Independent source**—discovered in part by source unrelated to tainted evidence
- **Attenuation**—amount of time/events breaks chain of causation from the tainted evidence
- **Good-faith reliance**—on facially valid warrant or law later struck down; objective standard

3. **Inapplicability**—the rule does not apply to isolated negligence by law enforcement, “knock and announce” violations (see II.C.4.), or to a witness’ in-court identification

II. FOURTH AMENDMENT

- A. **RULE:** The Fourth Amendment protects persons from unreasonable search and seizure by the government.

1. **Governmental conduct?** Law enforcement or an agent (e.g., inmate snitch hired by police)
2. **Reasonable expectation of privacy?** In the place searched or item seized
 - Yes at home (+ curtilage), hotel room, if overnight guest or on business premises
 - Not in objects held out to the public (e.g., voice, smell, garbage left on the curb)
 - Unless intruded private property to obtain information (e.g., GPS affixed to car)
3. **Standing?** Must be exerting one’s own rights and not those of another

B. ARRESTS AND SEIZURES

Approach to seizure of a person:

Trigger fact: The officer physically touches a subject or he submits to the officer’s show of authority

Test: Would a reasonable innocent person feel free to decline the officer’s requests or end the encounter?

Type of seizure? Is it a police pursuit, detention, arrest, or traffic stop?

- **Police pursuit?** Not a seizure unless there is an intentional use of force
- **Detention?** Look for reasonable suspicion (RS) to investigate supported by articulable facts
 - For how long?** Must be brief and only long enough to verify or dispel suspicions
 - Frisk?** If officer believes D is armed, the officer may also frisk for weapons (Stop and Frisk)
- **Arrest?** Must be supported by probable cause (PC) at the time of the arrest
 - Where was it? At home?** At D’s home requires a warrant supported by PC
 - In public?** Warrantless arrest in a public place is valid if officer observed the crime
If the officer did not witness the crime, a warrant is required for a misdemeanor, not a felony.
- **Traffic stop?** Look for reasonable suspicion (not full PC) a law was violated
 - Was it at a checkpoint?** If at the border, a random search without reasonable suspicion okay
If not at the border, okay if pursuant to a standard (not random) and the purpose is vehicle-related
 - Were the occupants ordered out of the vehicle?** Okay if lawful stop.
 - Were the occupants searched?** Can frisk for weapons if RS they are armed and dangerous.
 - Was the vehicle searched?** Follow the approach to searches.

1. **Seizure of a person**—the officer physically touches a subject or he submits to the officer’s show of authority

2. **Test**—a reasonable innocent person does not feel free to decline the officer’s requests or end the encounter
 - **Police pursuit?** Not a seizure unless there is an intentional use of force (e.g., forcing driver off the road)
3. **Detention** (*Terry* stop)
 - Officer must have reasonable suspicion (RS) to investigate supported by articulable facts
 - Detention must be brief and only long enough to verify or dispel suspicions
 - For officer safety, the officer may also frisk for weapons if the officer believes D is armed
4. **Arrest**
 - At the time of arrest, the officer must have probable cause (knowledge of reasonably trustworthy facts and circumstances to believe the arrestee has committed a crime)
 - Arrests in a public place do not generally require a warrant
 - If a crime was committed in the officer’s presence, no warrant is required
 - If crime was committed outside officer’s presence, no warrant is required if a felony
 - Arrests at defendant’s home require a warrant
 - Warrant must be issued by neutral magistrate and supported by probable cause
 - Arrest at another’s home requires a warrant, consent, or exigent circumstances
5. **Traffic stop**
 - Officer must have reasonable suspicion a law has been violated
 - A valid but pretextual stop is okay; can have ulterior motive to investigate a crime
 - Checkpoint stops
 - At or near the border? Random search without reasonable suspicion is allowed
 - Not at the border? Okay if conducted pursuant to a standard (not random) and the purpose is vehicle-related
 - Driver and occupants can be ordered out of the vehicle during a lawful stop
 - A frisk of the driver and/or passengers for weapons is permissible if the officer has reasonable suspicion to believe they are carrying a weapon
 - A limited search of the passenger compartment for weapons is allowed (see Stop and Frisk)

Search approach:

Was there a search? Government conduct violates a reasonable expectation of privacy?

Pursuant to a warrant?

If YES, was it supported by probable cause?

Description with particularity?

Issued by neutral and detached magistrate?

Properly executed?

If NO, does it meet an exception? “ESCAPES” (argue all that might apply on the facts):

Exigent circumstances, **Search** incident to arrest, **Consent**, **Auto** exception, **Plain** view,

Evidence from administrative search, **Stop** and frisk

C. SEARCH—when government conduct violates a reasonable expectation of privacy

1. **Rule:** To conduct a search, the government must have a warrant supported by probable cause, or the search must meet an exception.

2. **Probable cause** (PC) exists if there is knowledge of reasonably trustworthy facts and circumstances to believe the items sought are fruit or instruments of crime.
3. **Warrant issuance** requires all three elements:
 - Supported by probable cause;
 - Issued by a detached and neutral magistrate; and
 - Describes with particularity the place to be searched and items to be seized.
4. **Warrant execution**
 - Must be executed by an officer without unreasonable delay
 - Knock and announce—must announce presence before entering, unless exigency
 - Detention, but not search, of other persons okay if they are in immediate vicinity
5. **Warrant exceptions (ESCAPES)**
 - **Exigent circumstances** (hot pursuit) justify based on totality of circumstances
 - **Search incident to lawful arrest**—must be timely search without delay
 - Scope includes immediate area (wingspan) where weapon might be hidden
 - Search of digital information on cell phone okay only if exigent circumstances
 - Vehicle search is okay if D unsecured and within reach of the passenger compartment, or if reasonable belief the vehicle has evidence of this offense
 - After arrest, may do routine inventory search of D and of impounded vehicle
 - **Consent**
 - Voluntary and intelligent based on totality of the circumstances
 - Jointly owned property—co-owner can consent if D not present
 - Third party—okay if person has an apparent authority to consent to search
 - **Automobile exception**
 - Must have PC to believe the vehicle contains evidence of crime
 - Can search anywhere PC supports, including trunk and locked containers
 - **Plain view** (three elements)
 - The officer is lawfully on the premises
 - The incriminating character of the item is immediately apparent
 - The officer has lawful access to the item
 - **Evidence from administrative search**—if search was for non-investigative purpose
 - **Stop and frisk** (*Terry*)
 - Detention based on RS of crime; pat-down for weapons is okay for officer safety
 - Must be brief and only long enough to verify or dispel suspicions; can ask for ID
 - During traffic stop, can search for accessible weapons in passenger compartment if RS the suspect is dangerous; can frisk driver and occupants outside of vehicle

III. FIFTH AMENDMENT (factual trigger: confession)

Confessions approach:

If not already stated, begin with the exclusionary rule (see above).

Set out the rule:

Defendant should object to admission of her confession based on the Fifth Amendment.

The Fifth Amendment, applicable to the states through the Fourteenth Amendment, protects a person against compelled self-incrimination. Statements made during custodial interrogation are inadmissible unless the defendant was apprised of her Miranda rights.

Continue by analyzing the elements of the rule: Analyze both custody and interrogation

1. Was D in **custody**?

2. Was D subject to **interrogation**?

YES to both? D must be given *Miranda* warnings. **NO** to one or both elements? Statement is admissible.

3. Were ***Miranda* warnings** given?

If NO, prosecutor can still use a statement, if voluntary, to impeach D's credibility as a witness

If YES, did D unambiguously invoke her right to silence or right to counsel?

4. Was there a **waiver**? A voluntary and affirmative waiver by D after the warnings were given?

A. PRIVILEGE AGAINST COMPULSORY SELF-INCRIMINATION

1. **Custody**—formal arrest or whether a reasonable person would have believed he could leave (totality of the circumstances)
2. **Interrogation**—words or conduct reasonably likely to elicit an incriminating response
 - Volunteered/spontaneous statements ("blurted out") are not the product of interrogation (but follow up questions to a spontaneous statement can be interrogation)
 - Routine booking questions are not interrogation
3. ***Miranda* warnings**—need not be verbatim; apprise suspect of right to remain silent/get counsel
 - Timing—the warnings must be given before interrogation begins or repeated after an interruption of long duration
 - Suspect must specifically and unambiguously invoke right to silence and/or counsel
 - If right to counsel invoked, all questioning must stop; must wait for requested counsel
 - If right to silence invoked, all questioning must stop; may attempt to question suspect again after substantial period of time has passed and new warnings given
4. **Waiver**—suspect must knowingly and voluntarily waive rights after receiving *Miranda* warnings
5. **Exceptions**
 - **Public safety**—*Miranda* warnings not required when public safety at risk
 - **Routine booking** questions do not invoke *Miranda*
 - **Undercover police**—do not have to *Mirandize* a suspect who is unaware the interrogator is a police officer; officer posing as criminal to elicit confession is allowed

B. STATEMENTS TAKEN IN VIOLATION OF *MIRANDA*

1. **Impeachment okay**—if statement voluntary, can impeach credibility of D who testifies
2. **Involuntary confessions**—statements produced by coercion violate due process
 - If admitted into evidence, "harmless error" test applies; not automatically reversed
 - Harmless error: if the evidence had been excluded, would it change the outcome?

IV. SIXTH AMENDMENT

A. RIGHT TO COUNSEL

1. **Rule:** The Sixth Amendment guarantees a criminal D the right to counsel at all critical stages of the proceedings against him.
2. **Critical stage**—hearings, post-indictment line-up or interrogation, and all of trial process; the right attaches automatically when formal judicial proceedings have begun
3. The right is only available if D faces prospect of jail (not misdemeanors without jail time)
4. **Offense specific**—D may be questioned on an unrelated investigation without counsel
5. If the defendant is **indigent**, the state must appoint counsel to assist him
6. Includes the right to **effective assistance of counsel**; must show deficient performance causing prejudice (i.e., the result of the proceeding would have been different)
7. D has a right to self-representation and can waive right to counsel if knowing and intelligent

B. RIGHT TO CONFRONT WITNESSES (Confrontation Clause)

1. **Rule:** The Sixth Amendment grants a criminal defendant a right to confront adverse witnesses in order to observe their demeanor and have an opportunity to cross-examine.
2. A non-testifying co-defendant's statement or confession is inadmissible
3. Prior testimonial evidence of an unavailable witness offered by the prosecution cannot be admitted unless the D had an opportunity to cross-examine the declarant at the time the statement was made. (see Evidence roadmap, VII.A)

C. RIGHT TO JURY TRIAL

Rule: The Sixth Amendment guarantees a criminal defendant the right to jury trial for serious offenses (for which the punishment is incarceration for more than six months).

D. RIGHT TO SPEEDY TRIAL

1. **Rule:** A criminal defendant is guaranteed the right to speedy trial by the Sixth and Fourteenth Amendments. The time period commences at the time of arrest or formal charge.
2. The court will **balance factors** to determine whether a good faith effort was used:
 - Length of delay;
 - Reason for delay;
 - Defendant's assertion of the right; and
 - Prejudice to the defendant.
3. Remedy for a violation—charges are dismissed with prejudice

V. IDENTIFICATION

A. PHOTO ARRAY—there is no right to counsel nor a right for counsel to be present at a photo array

B. LINEUP

1. **Pre-indictment**—there is no Sixth Amendment right to counsel pre-indictment
2. **Post-indictment**—right to counsel applies; violation will result in exclusion of the evidence
3. **Admissibility:** A lineup violates due process if it was impermissibly suggestive and there was a substantial likelihood of misidentification, making evidence not reliable.
4. **In-court identification**—allowed if the witness had an opportunity to observe D at the time of the crime; state must show independent reliability by clear and convincing evidence

VI. PRETRIAL

A. PROBABLE CAUSE HEARING occurs within 48 hours after arrest to determine if D can be held

B. BAIL—there is no constitutional right to bail, but a denial must not violate Due Process

C. GUILTY PLEAS—must be knowing and voluntary

1. A right to counsel exists for entering a plea; can withdraw if ineffective assistance of counsel
2. Judge must personally apprise D in open court of D's rights and consequences of the plea

VII. DOUBLE JEOPARDY

A. RULE: A defendant has a right to be free of double jeopardy for the same offense under the Fifth Amendment, applicable to the states through the Fourteenth Amendment.

B. PROTECTIONS—D is protected against a second criminal prosecution for the same offense after acquittal or conviction, and protected from multiple punishments for the same offense; does not apply to civil actions

C. APPROACH

1. Has jeopardy attached?

- Once jury is empaneled and sworn in, or, in bench trial after first witness is sworn in

2. For same offense? Each crime must require proof of an element that the other does not

- Offenses with different victims are treated as separate offenses
- Separate sovereign rule: If two different sovereigns have jurisdiction, each can try D for the same offense; can be tried by two states, or by the U.S. and a state
- Statutory scheme can authorize conviction of greater and lesser included offenses

3. Has jeopardy ended?

- Cannot be retried after final verdict of acquittal, even if based on error of law
- Can retry after conviction and reversal unless ground is insufficient evidence
- Can retry after mistrial if based on jury deadlock or misconduct by defense counsel

ESSAY ROADMAP: EVIDENCE

CA distinctions from the FRE are marked as **(CA)**

Approach to evidence essays:

1. Determine applicable law based upon the call of the question – might be FRE, CA or both if silent
2. Organize by item of evidence and discuss in the sequence presented by the interrogatory
3. Label each item* (e.g., 1. W's testimony) before presenting the first issue (e.g., Logical Relevance)
4. When analyzing admissibility of an evidentiary item, begin with logical relevance.

*Trial transcript type essays number each issue to discuss; use numbers (e.g., no. 1) to organize the essay.

I. PRESENTATION

A. JUDICIAL NOTICE

B. FORM OF QUESTIONS (leading or improper, e.g., compound, assumes facts not in evidence)

C. PRESUMPTIONS

Tip: To spot issues related to relevance and character, analyze the following:

1. **Who** is offering the evidence? **Civil** plaintiff or defendant? **Criminal** prosecutor or defendant?
2. **What** is the **purpose** for introducing the evidence? Impeachment or substantive?
3. **How?** In what **form** is the evidence being offered?

II. RELEVANCE

A. LOGICAL—(FRE) probative of a material fact at issue;

(CA) to be probative, evidence must have a tendency to prove or disprove a **disputed** fact

B. LEGAL—FRE Rule 403 excludes evidence if the probative value is **substantially outweighed** by danger of the following:

1. Unfair prejudice;
2. Confusion of the issues;
3. Misleading the jury;
4. Undue delay/waste of time; or
5. Needless presentation of cumulative evidence.

(CA) Relevant evidence shall not be excluded in criminal cases unless an exemption applies

Tip: The federal rule of legal relevance is also known as the Rule 403 balancing test. It is not necessary to use rule numbers on the exam, and if used, the text of the rule is nonetheless required.

C. POLICY EXCLUSIONS

1. Subsequent remedial measures

- Inadmissible to prove liability, fault, or that product was defective
- Admissible to impeach, show feasibility of repair, or prove ownership/control if in dispute
- **(CA)** inadmissible to prove negligence or culpable conduct; ok in products liability

2. Compromise offers or negotiations—inadmissible to prove liability or amount of disputed claim, or to impeach; includes conduct or statements made in conjunction with the offer

3. Offers to pay medical expenses—inadmissible to prove liability; conduct or statements made in conjunction with the offer are admissible; **(CA)** statements not admissible

4. Plea negotiations—no contest and withdrawn guilty pleas are inadmissible; statements made therein are inadmissible unless another statement already admitted and fairness requires

5. Liability insurance

- Whether or not one is insured is inadmissible to prove liability/fault; admissible to show agency, ownership/control, or witness bias
- **(CA)** being fully or partially insured inadmissible to prove negligence/culpable conduct; lack of liability insurance admissible

6. Sexual conduct—evidence of the sexual behavior of the victim (V) is generally inadmissible

- **Criminal case:** Except if to prove consent or another party is source of the evidence
- **Civil case:** Except if probative value substantially outweighs harm to victim/prejudice to a party
- **Conduct of D** admissible in sexual assault/molestation civil case if Rule 403 satisfied; **(CA)** pretrial disclosure usually required

D. CHARACTER EVIDENCE

1. Substantive use

- **Civil case**—inadmissible to prove conduct in conformity with that character trait
 - Except if character is an essential element to a claim or defense (e.g., defamation)
 - **FRE** except if past sexual assault/molestation in a sexual assault/molestation case
 - **(CA)** does not follow FRE and bars past sexual misconduct evidence in a civil case
 - **Specific (bad) acts** evidence admissible if relevant for non-character purpose—MIMIC (FRE)
- **Criminal case**
 - **Character of defendant** inadmissible to prove propensity
 - ◆ Except D may introduce reputation or opinion evidence of her good character **(FRE)** or any relevant or general character trait **(CA)**
 - ◆ Prosecution may rebut D's evidence with character evidence about the same trait
 - **Character of victim (V)** reputation or opinion **(CA)** and specific acts) evidence admissible by D to prove a defense; Prosecution may rebut with reputation, opinion or specific acts evidence
 - **Bad acts**—inadmissible to prove conforming conduct (propensity)
 - ◆ **Admissible** if to show **motive, intent, absence of mistake, identity, common plan (MIMIC)** if prosecutor gives notice; note MIMIC is a partial list
 - ◆ **(CA)** evidence of D's prior commission of sexual assault or domestic violence is **not** admissible in a **civil** case based on a claim that D committed an act of sex assault, child molestation, domestic violence, or elder abuse

- Prior sexual conduct of V is admissible to prove someone else is the source or if with the accused to prove consent
- 2. Impeachment**—allowed to impeach credibility of a witness (W) or defendant (D)
 - **Prior conviction** (look at timing and type)
 - **Timing:** Within 10 years since the date of confinement or release? Not too remote; if > 10 years, probative value must substantially outweigh prejudice + give notice; **CA** does not impose a 10-year time restriction on the conviction
 - **Type:**
 - ♦ Involving dishonesty or false statement? Always relevant; misdemeanor or felony
 - ♦ Other felony? Of a witness? Must meet 403. Of a criminal D? Must meet modified 403 (prosecutor must show probative value outweighs prejudice to D)
 - **(CA)** impeach with felony (or misdemeanor if criminal case) if moral turpitude crime
 - **Character for untruthfulness**—prove with reputation or opinion
 - Can inquire on cross-examination about specific acts but extrinsic evidence not allowed if W denies act
 - **(CA)** specific acts of untruthfulness may be used to impeach only in criminal cases; extrinsic evidence allowed to prove collateral matters

E. HABIT—admissible to prove conforming conduct with a particular habit; habit is a consistent repeated response to a specific situation (more specific than character)

Tip: To spot issues beyond relevance, first determine if it is tangible (documents, real evidence) or witness testimony. Use the (memorized) checklist below for issues specific to each category.

III. TANGIBLE EVIDENCE (documents and physical objects)

- A. AUTHENTICATION**—that the item is genuine and what the proponent claims it to be
 - 1. Physical objects**—authenticate by testimony, distinctive characteristics, or chain of custody
 - Includes weapon, injury, model, photo, X-ray, incident scene, demonstrations
 - 2. Documents**—authenticate by stipulation, testimony, or handwriting verification
 - **Self-authenticating** documents include certified/public/official records, periodicals
 - **Verify handwriting** by comparing to another genuine item or by lay opinion
 - 3. Oral statements**—authenticate identity of the speaker by testimony
- B. BEST EVIDENCE RULE (CA known as Secondary Evidence Rule)**
 - 1. Rule**
 - When attempting to prove the contents of a writing, recording, or photograph
 - The original document or a reliable duplicate must be produced (**CA** handwritten okay)
 - 2. Exceptions:** Original not required if it is unobtainable, lost or destroyed, opposing party refuses to produce it, or it regards a collateral matter
 - 3. Alternative proof** allowed for public records, voluminous records and party admission
- C. PAROL EVIDENCE RULE**
 - 1. Rule:** The parol evidence rule bars extrinsic evidence of prior or contemporaneous statements that contradict the written agreement (if integrated agreement).
 - 4. Integrated writing**—intended as final expression of the parties' agreement; partial okay

5. Extrinsic evidence allowed to attack validity or explain terms

IV. WITNESSES

A. COMPETENCE—to testify a witness must have personal knowledge and take an oath

1. **CA** allows a witness who has been hypnotized to testify in a criminal case only:
 - If testimony is only about pre-hypnosis recall and if there is a written record; and
 - If the hypnosis session was videotaped and conducted by a licensed professional.
 - Restrictions do not apply to criminal defendants

B. IMPEACHMENT—any party may impeach a witness

1. **Character or criminal conviction** (see above)
2. **Prior Inconsistent Statements** of a W may be used to impeach the W if inconsistent with a material part of the W's testimony
 - Extrinsic evidence is admissible only if W given opportunity to explain or deny, unless impeaching a hearsay declarant or if statement qualifies as an opposing party admission
 - If statement was under oath at a prior event (e.g., hearing), it might be admissible for its substance/truth and not limited to impeachment purposes
 - **(CA)** allows as proof of substance/truth; not limited to impeachment use
3. **Bias**—always relevant to show W has motive to lie, (majority) after laying a foundation
4. **Sensory deficiency**—show W is physically or mentally impaired or circumstances interfered
5. **Hearsay declarant**—okay to impeach as if on the stand; no opportunity to explain required
6. **Collateral matter**—cannot use extrinsic evidence to prove; accept W testimony as is
(CA) allowed in criminal case to prove prior bad acts of witness or subject of W's testimony
7. **Rehabilitation**—can rebut impeachment by prior consistent statement, good character of W
(CA) prior consistent statement to rebut charge of lying can be used for its substance/truth

C. REFRESH RECOLLECTION

1. **Present** recollection refreshed—if with a writing, must produce document (it is not admitted)
2. **Past** recollection recorded—admissible as hearsay exception; the document may be admitted

D. OPINION TESTIMONY

1. **Lay**—generally not allowed, unless:
 - To prove common sense impressions e.g., appearance, intoxication, speed, handwriting
 - If based on W's perception and helpful to clarify understanding of the issue
2. **Expert**
 - **Daubert**—allowed if scientific, technical, or specialized testimony will help the trier of fact
 - Qualified by knowledge, skill, training, experience, or education;
 - Based on sufficient facts or data personally observed or made aware of;
 - Product of reliable methods reasonably relied on by experts in the field;
 - Applied the methods and principles reliably to the facts; and
 - Reasonably certain in her opinion (probably true, no guessing).
 - May embrace ultimate issue but not criminal defendant's mental state
 - **(CA) Frye**—requires a preliminary showing the science is generally accepted and reliable

V. PRIVILEGES (applies to confidential communications; common- or CA-law based, not in FRE)

Approach to privileges: (consider these questions to improve issue spotting)

1. What is the privilege and its scope?
2. Is there a confidential communication within the scope of the privilege? Who holds the privilege?
3. Are there any exceptions or waivers?

A. SPOUSAL

1. **Immunity**—spouses may not be required to testify against each other (Fed: if criminal case)
 - Witness spouse is the holder (majority) and may choose to testify
 - Applies to events before or during marriage; expires upon divorce or annulment
2. **Marital communication** during marriage protected in civil or criminal cases
 - Both spouses hold the privilege (majority); only communicating spouse holds (minority)
 - Applies to communications during marriage; does not expire
3. **Exception:** if spouses suing each other, when the crime charged is against the spouse/child or **(CA)** bigamy

B. ATTORNEY-CLIENT—protects communications made during or when seeking professional services

1. Client holds; only the client (or, e.g., a guardian) can waive; lasts indefinitely (Fed), when client dies **(CA)**
2. Attorney's work product is protected
3. Exception if services sought for future crime/fraud or if client in dispute with attorney; or **(CA)** if lawyer reasonably believes necessary to prevent death/substantial bodily harm

C. PHYSICIAN-PATIENT—protects statements made for the purposes of obtaining medical treatment (**CA** or diagnosis from a licensed physician; privilege limited to civil cases); based on state law; does not apply to cases brought in federal court where state law does not apply

- Patient is the holder; if attorney requests the consultation, limited to treatment
- Exceptions:
 - Information revealed does not relate to treatment;
 - Patient's physical condition at issue;
 - Made as part of crime or tort;
 - A dispute exists between physician and patient; or
 - Patient waived by contract.

D. PSYCHOTHERAPIST-PATIENT—protects statements made to psychotherapist/licensed social worker

1. Patient is the holder
2. Exceptions—if result of court order, mental condition at issue, at commitment proceeding, **(CA)** if patient is a danger and disclosure needed to prevent danger or is a crime victim under 16)

E. SELF-INCRIMINATION—Fifth Amendment protects against compelled self-incrimination

F. MISCELLANEOUS—clergy-penitent, accountant-client (not **CA**), professional journalist, government

G. EXCEPTIONS

1. Eavesdropper does not destroy the privilege but some courts allow eavesdropper to testify
2. Waiver by failing to object, voluntary disclosure, or by contractual provision

Hearsay approach:

Out-of-court? Testimony quoting a person or document ("X said he saw him"); not testimony from direct knowledge ("I saw him")

Statement? Oral, written, or non-verbal conduct intended as an assertion (e.g., nodding, pointing)

If the out-of-court statement is a document, look for double hearsay and an exception for each level.

Offered for its truth? Not hearsay if offered for another purpose (e.g., impeachment, state of mind)

Is there an applicable exception? Discuss all that apply; the facts might support more than one.

VI. HEARSAY—an out-of-court statement offered for the truth of the matter asserted

A. NON-HEARSAY (CA exceptions)—prior statements of declarant-witness (consistent, inconsistent, or of identification), or opposing party (admission) including judicial, adoptive, vicarious, or co-conspirator

B. EXCEPTIONS requiring unavailable declarant (discuss why unavailable if not predetermined)

1. **Former testimony**—under oath, opposing party had opportunity/motive to cross-examine; no grand jury
2. **Dying declaration**—about cause or circumstances of death, believing death imminent but need not die; applies in homicide or civil cases (**CA**): must have died; applies in all cases
3. **Statement against interest**—at the time it was made and usually not made unless true
CA: Declaration against interest heightened standard of "against interest"
4. **Statement of personal or family history**
5. **Forfeiture against wrongdoing**—intentional wrongdoing with intent to prevent testimony

C. EXCEPTIONS NOT REQUIRING UNAVAILABLE DECLARANT

1. **Excited utterance**—statement about a startling event made while under stress of event
(**CA**) "spontaneous statement" rule functions similarly to the "excited utterance" rule
2. **Present sense impression**—statement describing event made during or immediately after
(**CA**) **Contemporaneous statement** offered to explain conduct made while declarant was engaged in the conduct
3. **Statement of present mental/physical condition** to prove conduct in conformity; no statements as to cause of physical condition nor past state of mind (**CA**—requires **unavailability**—allows past state of mind)
4. **Statement made for purpose of medical treatment or diagnosis**
(**CA**) this exception applies only if declarant a minor under 12 years of age describing abuse/neglect
 - Need not be made to medical personnel to qualify; statements about cause okay

- Need not be made by patient; statement of close relation favored for reliability
- Might still be barred by physician-patient privilege
- 5. **Recorded recollection**—record used to refresh the W; may be admitted into evidence
- 6. **Business records**—kept in regular course and made during regular practice of business, near or at the time of the event by one with knowledge; not if made in anticipation of lawsuit
(CA) records made in atypical circumstances allowed
 - **Medical records** qualify if they relate to diagnosis/treatment but not if about liability
 - **Police reports** qualify but hearsay statements therein must meet their own exception
- 7. **Public records** about the agency activities, observations by one with a duty to report or findings from a legal investigation; not admissible for use against a criminal defendant
- 8. **Catch-all**—if indicia of trustworthiness and serves the interest of justice; notice required
(CA) does not recognize the “catch-all” exception

VII. CONSTITUTIONAL LIMITS

A. CONFRONTATION CLAUSE (Sixth Amendment)

1. **Rule:** To admit hearsay evidence (testimonial statement) against a criminal defendant, he must have had an opportunity to confront and cross-examine the declarant.
2. **Testimonial statement?** Determine primary purpose; statements to police during an emergency or interrogation are not testimonial.
3. **Unavailable declarant?** If Forfeiture by Wrongdoing hearsay exception applies, defendant must have acted with the purpose to make the witness unavailable to testify.
4. **Face-to-face confrontation** between a defendant and witness is favored but not absolute; exception allowed for the public interest, e.g. child accuser allowed to testify remotely

B. DUE PROCESS CLAUSE (Fourteenth Amendment)—right to fair trial may prevent applicable of hearsay rules

ESSAY ROADMAP: PARTNERSHIPS

I. APPLICABLE LAW—the governing law to apply on the exam is RUPA

II. FORMATION OF GENERAL PARTNERSHIP (no formalities required)

A. ELEMENTS:

1. **Association**—can be express or implied, no writing is required
2. **Of two or more “persons”**—can be an individual with capacity to contract or a legal entity
3. **To carry on a for-profit business**
 - **Intent** required to carry on a business; intent to form a partnership (P) is not required
 - **Sharing of profits** (not merely gross returns) presumes a partnership;
 - **Exceptions:**
 - ♦ Payments for a debt (contrast a loan vs. a partnership)
 - ♦ Interest on a loan
 - ♦ Rent
 - ♦ Wages
 - ♦ Goodwill payments from sale of a business
 - ♦ Retirement or health benefits paid to a deceased or retired partner’s beneficiary

B. CONSEQUENCES OF A VALID PARTNERSHIP

1. **Creates separate legal entity**—can hold property, sue, and be sued
2. **No limited liability**—partners are personally liable for P obligations

C. PARTNERSHIP AGREEMENT—not required but if made is subject to the Statute of Frauds; an agreement will control over RUPA to the extent allowed by law (e.g., cannot rid of fiduciary duty)

D. PARTNERSHIP BY ESTOPPEL—third party (3P) can recover as if a valid P were formed if one is held out as a partner with consent, and a 3P relies and suffers damages (agency principles)

III. PARTNER DUTIES

A. TO THE PARTNERSHIP—agency principles apply (see UBE Agency Essay Roadmap)

B. TO EACH OTHER

1. **Fiduciary Duties**—owed to the partnership (P) and current partners
 - **Duty of Loyalty**—a partner has a duty not to compete, advance an adverse interest, or self-deal (just as with corporations) unless approved per P agreement after full disclosure; the P agreement cannot eliminate the duty of loyalty
 - **Duty of Care**—a partner must not knowingly violate the law or engage in reckless or grossly negligent conduct or intentional misconduct

C. TO THIRD PARTIES

1. **Agency principles** apply (see UBE Agency Essay Roadmap)
2. **Joint and several liability**—a partner is jointly and severally liable for all P obligations
 - An incoming partner’s liability for pre-existing P obligations is limited to his capital contribution
 - A dissociated partner is liable for obligations incurred before dissociation, and after dissociation if the 3P was without notice of the dissociation

IV. PARTNER RIGHTS IN MANAGEMENT

- A. MANAGEMENT AND CONTROL**—unless provided in the agreement, each partner has an equal right to manage and control
- B. ORDINARY BUSINESS**—requires **approval by a majority** of the partners
- C. SPECIAL BUSINESS**—requires **approval by all** of the partners
- D. INSPECT AND COPY**—access to the records must be provided to a partner or his agent
- E. INDEMNIFICATION** required if a partner incurs liability while preserving P property or business

V. PROPERTY OF THE PARTNERSHIP

- A. PROFITS AND LOSSES**—absent an agreement, profits and losses are shared equally (regardless of unequal status or contribution); losses follow (shared like) profits if agreement is silent
- B. DISTRIBUTIONS**—no right to demand a distribution unless provided in the P agreement
- C. TRANSFER**
 - 1. Partnership interest:** A partner has a partnership interest (i.e., the right to share of profits, losses, and distributions); a transfer of a partnership interest does not cause a dissolution or dissociation.
 - 2. Partnership property:** A partner may have apparent authority to transfer P property on behalf of the P; property transferred without authority can be recovered unless the P's interest was not indicated and transferee was without notice
- D. OWNERSHIP**—whether property belongs to a partner or the P is determined by how it is titled, the type of funds used, and in whose name it is held; untitled property ownership is determined by intent of the partners and presumed P property if acquired with P funds or credit
- E. USE**—a partner does not have a right to use or possess P property for personal use and must compensate the P for any resulting personal gain

VI. CHANGES

- A. ADDITION**—a partner can be added only through unanimous consent of the other partners
- B. DISSOCIATION** (voluntary or involuntary withdrawal of a partner)
 - 1.** A partner may withdraw by providing notice; if in breach, she will be liable for damages
 - 2.** The P may expel a partner per the agreement, by unanimous vote if it is unlawful to carry on business with the partner, or it may occur due to death, bankruptcy, incapacity, court decree, or by termination of an entity partner
 - 3. Consequences:**
 - The P must purchase the partner's interest and indemnify her against liabilities
 - Dissociation will not necessarily trigger dissolution and winding up, except in an at-will P
 - If dissociation wrongful, the remaining partners may vote to dissolve the business
 - The partner has the power to bind the P unless notice filed with the state + 90 days
- C. PARTNERSHIP CHANGES**—a general P can convert to or merge with a limited P and vice versa; approval of partners is required unless otherwise provided in the P agreement or state law

VII. TERMINATION (2 steps—dissolution and winding up)

A. DISSOLUTION

1. According to type

- **At-will**—if no fixed term or undertaking, the P dissolves when any partner dissociates
 - **For a specific term or undertaking**—may dissolve by its terms, with unanimous consent, or after a partner is dissociated if at least half of remaining partners consent
- 2. Triggering events**—any P may dissolve per the P agreement, due to an event that causes unresolved illegality, or by judicial determination

B. WINDING UP—liquidate assets, pay creditors, and distribute remainder to the partners

- 1. Status until complete**—a P continues after dissolution until the winding up is complete
- 2. Who**—a partner who has not wrongfully dissociated may wind up the P business
- 3. Power**—to wind up one may dispose of and transfer P property and discharge P liabilities
- 4. Binding**—the appropriate acts of a partner while winding up will bind the P
- 5. Statement of dissolution**—filed with the state; after 90 days serves as notice to creditors
- 6. Priority**—creditors (including partners who are creditors) are paid before partners

VIII. LIMITED PARTNERSHIPS

A. LIMITED LIABILITY PARTNERSHIP (LLP) no personal liability for partnership obligations

1. Formation

- Created by filing a statement of qualification with the state, effective on the date filed
 - Name must end with abbreviation of LLP or RLLP or words describing such status
 - Transforming a P into an LLP requires approval by all partners or per the P agreement
- 2. Liabilities**—a partner is only liable for her own personal misconduct not for LLP obligations
- 3. Termination**—cancelling statement will transform LLP into a general P

B. LIMITED PARTNERSHIP (LP)—reduces a limited partner's liability to his capital contribution

1. Formation (an LP consists of at least one general and one limited partner)

- Created by filing a certificate of LP with the state, effective on the date filed
- Certificate must be signed by all general partners and include LP name, address, local agent for service of process, name and address of each general partner, and the duration

2. Limited Partners

- **Admission** after formation requires unanimous written consent or per the agreement
- **Voting**—a limited partner may vote only to extent allowed under the P agreement
- **Inspect and copy**—a limited partner has the right to inspect/copy records and demand information from the general partners about the financial condition and affairs of the P
- **Liabilities**—a limited partner is liable only if she participates in the control of the business and the 3P reasonably believes she is a general partner based on conduct, or if she also serves as a general partner
- **Withdrawal** requires six months' advance written notice to each general partner or per the agreement

3. General Partners

- **Admission** after formation requires unanimous written consent or per the P agreement
- **Rights**—a general partner in an LP has the same rights/limitations as in a general P
- **Liabilities**—a general partner is personally liable for the LP obligations; a general partner is often a corporation to provide a shield from liability
- **Withdrawal** requires written notice and if in breach, the partner will be liable for damages; the partner may withdraw per the agreement, by transferring his interest, or in the event of death, bankruptcy, incapacity, court decree, or upon termination of an entity partner

4. **Profits and losses**—absent a written agreement, profits, losses, and distributions are allocated based upon each partner's contributions
5. **Assignment**—upon assignment, the assignee is entitled to receive any distribution and will not become a limited partner unless the P agreement provides or all partners consent
6. **Derivative suit**—a limited partner may sue on behalf of the P against the general partners
7. **Termination** (requires dissolution and winding up)
 - Dissolution may occur per the P agreement, unanimous written consent, after withdrawal of the only general partner, or by judicial decree
 - General partners who have not wrongfully dissolved the P may perform the wind up
8. **Priority of distribution**—creditors (including partners who are creditors) are paid before partners with accrued distributions before other partners

ESSAY ROADMAP: PROFESSIONAL RESPONSIBILITY

Professional Responsibility is tested alone but also in combination with other subjects. The call of the question will seek a discussion of the “ethical violations” and will direct you to “answer according to California and ABA authorities” (meaning the ABA Model Rules of Professional Conduct).

How to avoid common mistakes when writing Professional Responsibility essays:

Issue spotting: Identify the duty implicated by the lawyer’s conduct

The heading should be the duty (e.g., duty of competence) rather than a fact or behavior (e.g., representing Charlie, failing to file the claim)

Rule: State the rule with the specific elements the same as with any other subject

Example: “A lawyer has a duty to communicate” is a starting point, not the whole rule.

Focus on when a rule is permissive/discretionary (“may”) versus mandatory (“must”)

Focus on CA distinctions from the Model Rules (MR)

Analysis: Discuss whether the duty was violated (e.g., breached) with specific facts

Be prepared to discuss any policy behind the rules to boost the analysis

Understand and identify what the lawyer should have done to be in compliance

Conclusion: Be clear in stating whether the rule was violated

Example: “Lawyer will/will not be subject to discipline.”

I. IS THERE AN ATTORNEY-CLIENT RELATIONSHIP?

- A. ACCEPTANCE**—absent a court appointment, a lawyer (L) does not have a duty to accept a client
- B. REJECTION:** The Model Rules (**MR**) require a lawyer to reject representation if it would violate a rule of ethics or law or if her physical or mental condition would impair her representation; **CA** prohibits representation when the client seeks to pursue a frivolous claim or one not warranted under existing law nor a good faith argument for modification of such law.
- C. INCEPTION:** A lawyer-client relationship begins when the client reasonably believes that it does based upon the words and actions of the lawyer.
- D. SCOPE OF REPRESENTATION:** The client decides the objectives and goals (ends) of representation whereas the lawyer determines the means used to achieve the objectives.
 - 1. Settlement offers**—the lawyer must communicate offers and cannot accept a settlement offer without the client’s consent
 - 2. Criminal cases**—the client decides whether to testify, waive a jury trial or enter a plea
- E. CLIENT UNDER DISABILITY: MR:** A lawyer representing a client with diminished capacity must maintain an ordinary relationship but may need to take reasonable measures to protect the

client (e.g., seeking appointment of a guardian) and if required, reveal client information to do so. (**CA**: No provision regarding clients with diminished capacity)

- F. COUNSELING ON CRIMES:** A lawyer may not counsel or assist the client in criminal conduct but may discuss the legal consequences of a proposed course of conduct; a lawyer may (**MR**: “must”) withdraw if the client persists in pursuing conduct the lawyer knows to be a crime or fraud.

G. WITHDRAWAL

- 1. Mandatory**—L must withdraw when he knows or should know his representation:
 - Is to pursue a claim or defense without probable cause
 - Will result in a violation of the rules of professional conduct (**MR**: “or other law”)
 - Will be unreasonably difficult due to the lawyer’s mental or physical condition (**MR**: the lawyer’s mental or physical condition “materially impairs” his ability to represent the client)
- 2. Permissive**—L may withdraw for the following reasons:
 - Client’s conduct makes representation unreasonably difficult
 - Client insists the lawyer take action contrary to the lawyer’s judgment
 - Client fails to pay the lawyer’s fee
 - Other good cause exists
 - **MR** additional grounds: When the lawyer can do so without material harm, it would cause a financial burden on L, or the client used L’s services to commit a past crime or fraud
- 3. Procedure**—a lawyer must give the client reasonable notice before withdrawing to give the client reasonable time to obtain a new lawyer; court approval required if litigation is pending
- 4. Duties**—L must take all steps to mitigate the consequences to the client upon termination
 - **Return client papers and property** reasonably necessary for representation
 - **Return unearned fees** (exempts a true retainer fee)
 - The lawyer may recover fees for the value of services rendered

II. HAS A DUTY TO THE CLIENT BEEN VIOLATED?

A. FEE AGREEMENTS

- 1. Generally:** Any fee must be set forth in writing, be reasonable and not unconscionable.
 - **Reasonable**—a lawyer must charge a reasonable (**CA**: not unconscionable) fee
Factors to consider:
 - Time and labor required;
 - Novelty and difficulty of the case;
 - Likelihood that other employment will be precluded;
 - The amount involved and the results obtained;
 - Time limitations imposed;
 - Nature and length of the relationship with the client;
 - Experience, reputation and ability of the lawyer;
 - Sophistication of the client and the lawyer (**CA** only); and
 - The fee amount in proportion to the value of the services performed (**CA** only).
 - **In writing**—**CA** requires a written contract for services that will exceed \$1,000 unless:
 - The services were provided in an emergency;

- Similar services were provided by L to the client in the past;
 - The client waives her right in writing; or
 - The client is a corporation.
- 2. Contingent fees**—allowed except in cases of divorce and criminal cases; the agreement must be in writing and signed by the client (**CA:** and lawyer) and include:
- The fee, including how costs and expenses will be paid;
 - Whether and to what extent client will pay other costs not covered by the contract; and
 - The fact the fee is negotiable.
- 3. Property as payment**—a lawyer may accept property as payment so long as it is not a proprietary interest in the cause of action nor a violation of the conflict of interest rules
- 4. Fee splitting**
- **Nonlawyers:** A lawyer cannot share fees with a nonlawyer, unless paid as a death benefit, through compensation agreements to law firm staff, or per court order to a nonprofit entity.
 - **Lawyers:** A lawyer may not share fees with a lawyer from a different firm unless (i) the lawyer enters a written agreement to divide the fee; (ii) the client consents in writing after full disclosure, and (iii) the total fee is not increased solely by reason of the agreement to divide fees.
- 5. Referral fees**
- **MR:** Generally prohibit payment to anyone for recommending a lawyer's services (unless paying the fees of a legal services plan or approved lawyer-referral service), but allow for formalized referral agreements
 - **CA:** A lawyer generally must not compensate, promise, or give anything of value to a person for the purpose of recommending or securing the services of the lawyer or the lawyer's law firm (but gifts are permitted); lawyer referral services approved by the State Bar of CA are permitted
- 6. Client fund accounts**—a lawyer who holds funds for the benefit of a client is required to:
- Keep them in a separate account labeled as "client trust" or "client's funds" or the like (flat fees can be deposited in the lawyer's account if notice requirements are met);
 - Avoid commingling the client's funds with her own;
 - Retain account records for five years; and
 - Not withdraw any funds in the event of a dispute, until the dispute is resolved.
- B. CONFIDENTIALITY:** A lawyer's obligation to keep client information confidential may arise from the rules of professional conduct, protection of the lawyer-client privilege, or work-product doctrine.

Issue spotting tip: Of the confidentiality protections, the ethical rule is the most broad. To identify when the other rules are implicated, consider if the court is attempting to compel the lawyer to disclose client information (lawyer-client privilege) or if an opposing party is seeking the information (work-product doctrine).

- 1. Duty of Confidentiality**—prohibits a lawyer from disclosing any information related to representation of a client absent informed consent
- **Informed consent** (oral or written)—client agrees after full disclosure of material risks
 - **Prospective clients**—duty attaches when discussing the possibility of representation

- **CA:** Duty does not attach if (i) no good-faith intention to retain the lawyer, (ii) lawyer is unwilling to represent, or (iii) no reasonable expectation of retention
- **Exceptions:** L reasonably believes disclosure is necessary
 - To prevent death or substantial bodily harm...
 - ♦ **MR:** ...“reasonably certain” to occur; need not be preventing a criminal act
 - ♦ **CA:** ...L reasonably believes is likely to result from a **criminal act**
 - To prevent a crime or fraud reasonably certain to result in substantial financial harm (**MR** only);
 - To secure advice about L’s compliance with the rules (**MR** only);
 - To establish a claim or defense in a dispute with the client (**MR** only); or
 - To comply with other laws or a court order (**MR** only).
- 2. **Lawyer-Client Privilege**—confidential information between a lawyer and client is privileged
 - **Elements:**
 - **Confidential**—intended by client as confidential; presumed even if heard by a secret eavesdropper but not when made in the presence of a known 3P
 - **Communication** made for the purpose of seeking legal advice or representation
 - **Holder**—client holds the privilege
 - **Duration**—the privilege continues past the client’s death (**CA:** until estate is settled)
 - **Exceptions:**
 - Client (**CA:** or anyone) seeks L’s services to enable a future crime or fraud
 - During dispute between the lawyer and client, or between co-clients
 - During dispute between heirs over a deceased client’s estate
- 3. **Work Product Doctrine**—**CA** protects a writing from discovery if it reflects the lawyer’s impressions, conclusions, opinions or legal research or theories
 - **Exceptions:**
 - Lawyer is not protected if being investigated for participating in a crime or fraud
 - Other work product of L is discoverable if necessary to prevent unfair prejudice

C. DUTY TO AVOID CONFLICT OF INTEREST

1. Between Lawyer and Client

- Cannot be **related to opposing counsel**
 - **CA:** applies even when there is not a significant risk that the lawyer’s representation of a client will be materially limited
- Cannot start **sexual relations** with a client
- Cannot be both **lawyer and witness** (unless uncontested issue or dispute with client, or...)
 - **MR:** ... if disqualification of the lawyer would work substantial hardship on the client
 - **CA:** ...if the lawyer has obtained the client’s informed written consent
- **CA:** Lawyer cannot have a legal, business, financial, professional, or personal relationship with or responsibility to a party or witness in the same matter, unless the lawyer first informs the client in writing of the relationship
- Financial relations:
 - Cannot obtain **proprietary interest** in the action (except contingency fees)
 - Cannot provide **financial assistance** (unless to advance litigation and court costs)
 - Cannot be both a lawyer and party to a **business transaction** with the client
 - ♦ Unless terms are fair and reasonable;

- ♦ Written in a way the client understands;
 - ♦ With reasonable opportunity to consult independent counsel; and
 - ♦ The client gives informed consent in writing.
- Cannot **solicit gifts** unless the client is related to the lawyer (**CA:** or unless the client has been advised by an independent lawyer)

2. Between Clients

- **Current clients:** Cannot represent a client, if representation would be **materially limited by or directly adverse to** another client, unless:
 - The lawyer **reasonably believes** she can provide competent and diligent representation, and
 - Obtains (**MR:** "informed consent, confirmed in writing; **CA:** "informed written consent") from both clients.
 - A lawyer cannot represent opposing parties in the same matter
- **Current and former client:** Cannot represent a client whose interests are materially adverse to a former client in the **same or substantially related matter** without (**MR:** "informed consent, confirmed in writing; **CA:** "informed written consent") from the former client
 - **Switching firms:** A lawyer who joins a new firm cannot represent a client whose interests are materially adverse to a client at the old firm, in the **same or substantially related matter** and **during which he obtained confidential information**, without (**MR:** "informed consent, confirmed in writing; **CA:** "informed written consent") from the former client.
 - **Government lawyers:** A former government lawyer cannot represent a client in a matter (need not be adverse) in which she personally and substantially participated, without (**MR:** "informed consent, confirmed in writing; **CA:** "informed written consent") from the government agency.
 - **Screening**
 - ♦ **MR:** a lawyer who is disqualified may be screened off, if given no part of the fee and if the client is given written notice as well as certification of screening compliance procedures at reasonable intervals upon client's request
 - ♦ **CA:** more restrictive; permit screening only in limited circumstances (i.e., the lawyer did not substantially participate in the same or a substantially related matter at the old firm)

3. Imputed Disqualification—when one lawyer is disqualified, it extends to the rest of the firm, unless waived by the client or it is based on the personal interest of L and without risk of affecting representation; a conflicted non-lawyer (e.g., paralegal) can be screened off

4. Between Lawyer and Third Party (e.g., a parent paying L to represent child)

- A 3P may pay for a client's representation if:
 - The client gives informed consent (**CA:** in writing);
 - There is no interference with the lawyer's judgment; and
 - Client confidentiality is protected.

5. When Client is an Organization

- **Duties**—the lawyer owes his duty of loyalty and confidentiality to the entity and not to the individual members, e.g., employees
- **Joint representation** of both the organization and its members is allowed if the lawyer complies with the conflict of interest rules for current clients

- **Reporting misconduct**
 - If the lawyer knows of a member's planned or actual conduct that is a violation of a legal obligation or a violation of the law and that will cause substantial injury to the entity, he must report it to the highest authority within the entity if that would be in the best interests of the organization
 - If a clear violation of law is reported but not addressed, L is allowed to report it outside the entity to prevent it from substantial injury (**MR**); **CA** only allows the lawyer to withdraw
- D. DUTY OF COMPETENCE**—competent representation means using the necessary diligence, learning, skill and ability (mental, emotional and physical); if not competent, the lawyer must decline representation, associate with competent counsel, or become competent without delay
- E. DUTY OF DILIGENCE**—a lawyer must act with reasonable diligence and promptness
- F. DUTY OF COMMUNICATION**—a lawyer must keep a client reasonably informed and promptly respond to reasonable requests for information so the client can make informed decisions

III. HAS A DUTY TO THE PROFESSION BEEN VIOLATED?

- A. CONSEQUENCES FOR RULE VIOLATIONS:** California has the power to regulate all aspects of the practice of law. For misconduct, a lawyer is subject to discipline and may also incur civil penalties and/or criminal punishment.
- 1. Lawyer Misconduct**—includes violations of ethics rules, criminal acts, dishonesty, etc.
 - 2. Discipline**
 - **MR:** do not set forth particular sanctions
 - **CA:** sanctions include permanent disbarment, suspension, public and private censure, and reprimand
 - 3. Malpractice**—an injured client may opt to sue a lawyer for malpractice, the basis of which might be breach of contract, breach of fiduciary duty, or tortious conduct
- B. UNAUTHORIZED PRACTICE OF LAW (UPL)**
- 1.** A lawyer must not practice law in a jurisdiction in which she is not admitted to the bar, unless in association with a local lawyer on a temporary basis or to appear pro hac vice.
 - 2.** A lawyer must not assist a person in the unauthorized practice of law.
 - 3.** A lawyer who engages or assists in UPL is subject to discipline and civil and criminal penalties; the nonlawyer is subject to civil and criminal (misdemeanor) penalties.
- C. ASSOCIATION WITH NONLAWYER**—a lawyer cannot form a partnership with a nonlawyer if any part of the activities constitute the practice of law, or practice in a professional corporation or for-profit association if a nonlawyer is a part owner, director, officer or has the right to control the lawyer's professional judgment
- D. PROVIDING LAW-RELATED SERVICES** will subject a lawyer to the rules of professional conduct if the lawyer serves a client as both lawyer and provider of nonlegal services (e.g., financial planning, real-estate counseling, tax planning), (**MR**) where the services are not distinct

E. SOLICITATION

1. **Generally:** Solicitation in person, by live telephone or real-time electronic contact initiated by the lawyer is prohibited if a significant motive is for pecuniary gain, unless the contacted person is a lawyer or has a family, close personal or prior professional relationship with the soliciting lawyer.
2. **Not for pecuniary gain**—solicitation is allowed for pro-bono service
3. **Unwanted contact**—a lawyer may not solicit a prospective client if the target has communicated a desire not to be contacted or it involves coercion, duress or harassment
4. **Targeted solicitation**—must be labeled as “advertisement” on the envelope and inside, and at the beginning and end of recorded or electronic messages
5. **CA** prohibits using a runner or capper to monitor events likely to produce legal work and to solicit business from public places (courts, hospitals, prisons); subjects L to criminal liability

F. ADVERTISING—protected by the First Amendment as commercial speech

1. **Generally:** A lawyer may not make any false or misleading statement about herself or her services.
 - **Name of responsible lawyer**—an ad must include the responsible lawyer’s name and office address, and may include her name, firm name, practice area, routine fees, date/state of admission and degrees or professional licenses
 - **Claiming a specialty** is allowed if not deceptive; claiming to be certified specialist requires certification by an approved authority and disclosure in the ad of the authority
2. **CA:** the following are considered false or misleading:
 - An **express guarantee** or warranty of the result
 - Truthful reports that lead a reasonable person to form an **unjustified expectation** that the same results could be obtained for other clients
 - “No fee without recovery,” unless such communications also expressly disclose whether or not the client will be liable for costs
 - Communications that state or imply that a lawyer can provide legal services in a language other than English (unless true)
3. **CA**, by statute, prohibits advertisements containing:
 - **Guaranteed outcomes;**
 - **Promise of quick settlements;**
 - **Impersonations** of the lawyer or the client without a disclaimer;
 - **Dramatizations of events** without a disclaimer;
 - **Use of a spokesperson** absent disclosure of their function; and
 - **Contingent fee** offers unless it says if client will pay for litigation costs if unsuccessful
4. **CA** requires the lawyer retain a copy of the ad for two years after the last publication
5. **Firm Names and Trade Names**—cannot be misleading

G. DUTY TO SUPERVISE SUBORDINATES

1. A lawyer with **managerial duties** must make reasonable effort to ensure the firm’s lawyers and nonlawyers (e.g., paralegals) comply with the rules of professional conduct by instituting reasonable policies and procedures.
2. A lawyer with direct **supervisory authority** over another lawyer or nonlawyer must make reasonable efforts to ensure compliance with the applicable ethical rules.

3. If a **partner or the like with direct supervisory authority** over a lawyer or nonlawyer knows of misconduct when its consequences can be avoided or mitigated, the partner must take reasonable remedial action.
4. A **subordinate lawyer** is bound by the rules of professional conduct notwithstanding a directive from a supervising attorney, however the lawyer will not be subject to discipline for obeying a reasonable resolution of an arguable question of professional duty.

Tip: Whenever more than one lawyer is named in the fact pattern:

Look for a supervisor/subordinate relationship to spot the issue of a **breach of duty to supervise** (even if the supervising lawyer is not active in or does not know of the subordinate's misconduct).

Whenever the facts include a nonlawyer staff member, consider the policies and procedures in place and whether the partner made **reasonable efforts to ensure staff compliance** with the ethical rules.

H. DUTY TO REPORT MISCONDUCT

1. **Of others:** Subject to the applicable rules of confidentiality, if L has actual knowledge of a lawyer's misconduct that raises a substantial question of honesty or professional fitness, L must report it to the State Bar; **CA** does not have an equivalent rule.
2. **Self-reporting:** **CA** requires L report herself to the State Bar within 30 days of the following:
 - Filing of three or more lawsuits against the lawyer for malpractice within one year period;
 - Filing of a felony charge against the lawyer;
 - Conviction for felony or misdemeanor committed in the course of practicing law involving dishonesty or moral turpitude;
 - Final judgment for fraud, misrepresentation, breach of duty or gross negligence; or
 - Discipline by a professional agency or licensing board in CA or elsewhere.

I. SALE OF A LAW PRACTICE—a lawyer may sell his practice or area of practice if he:

1. Exercises competence in finding a buyer;
2. Ceases to practice within the area or jurisdiction (**not CA**);
3. Provides proper notice to the clients;
4. Sells the entire practice or area of practice (**CA** does not allow sale of a practice area); and
5. The client fees are not increased as a result of the sale.

J. RESTRICTIONS ON PRACTICE—a lawyer may not participate in offering or making an agreement that would restrict the right to practice law after termination of the relationship (except retirement), including as part of a settlement of a client's case

IV. HAS A DUTY TO THE OPPOSING PARTY BEEN VIOLATED?

A. DUTY OF FAIRNESS

1. A lawyer may not suppress evidence she is legally obligated to produce.
2. A lawyer may not pay a witness to induce specific testimony but can pay reasonable expenses; a lawyer may not encourage a witness to testify falsely.
3. A lawyer cannot violate discovery rules nor allude to inadmissible facts in court.
4. A lawyer who receives a communication relating to a client and reasonably knows it was inadvertently sent (intended for another) must promptly notify the sender of the mistake.

B. DUTY NOT TO CONTACT REPRESENTED PARTY

1. A lawyer may not communicate about the subject matter of the representation with a person he knows to be represented by counsel, unless he has the other lawyer's consent.
2. When the client is an organization, a lawyer may not communicate with a current member (e.g., employee) if that person:
 - Has legal authority to bind the organization; or
 - Is one whose conduct may be imputed to the organization.
3. Represented parties may directly communicate with one another.

V. HAS A DUTY TO THE COURT BEEN VIOLATED?

A. DUTY OF CANDOR—extends through when the final judgment is affirmed on appeal or the time for appeal has passed

1. **Statements of fact**—a lawyer must not offer false statements, and must correct statements made by the lawyer or by others; a lawyer is not under a duty to reveal facts unfavorable to the client unless in an ex parte proceeding or to prevent assisting the client commit a crime/fraud
2. **Statements of law**—a lawyer must not offer false statements, and must correct false statements of law previously made by the lawyer
3. **Controlling legal authority**—a lawyer must disclose adverse controlling legal authority;
CA: L must not knowingly misquote a book, statute, decision, or other authority

B. DUTY OF HONESTY (to avoid perjury)

1. **Falsifying evidence**—a lawyer may not introduce evidence she *knows* to be false nor assist a witness in testifying falsely; in a civil case (not with a criminal defendant), a lawyer has the discretion to refuse to introduce evidence she *reasonably believes* to be false
 - **Before a client testifies** the lawyer must take remedial measures and counsel the client not to testify falsely, and if that fails withdraw if possible;
 - **If withdrawal is not possible or is denied:**
 - ♦ **MR**—L must notify the court even if it would reveal client confidences
 - ♦ **CA**—L may not disclose confidential information but may use the narrative-statement approach (the client testifies without lawyer input or questioning)
 - **After a client testifies** the lawyer must take remedial measures and counsel the client to recant and if that fails withdraw;
 - **If withdrawal is not possible or is denied:**
 - ♦ **MR**—L must disclose the client perjury even if it would reveal client confidences
 - ♦ **CA**—L may not disclose the client perjury without client consent

C. TRIAL PUBLICITY

1. **Generally:** A lawyer may not make an extrajudicial statement he knows or should know will be publicly communicated if there is a substantial likelihood it will materially prejudice a proceeding (e.g., in a criminal case heighten public condemnation of an accused).
 - **Exception:** A lawyer may make a statement reasonably required to protect his client from substantial due prejudicial effect of publicity not initiated by the lawyer or client.
2. **Permissible statements**—a lawyer may state basic information including the claim, public record information, status of the investigation and steps in litigation, identity of criminal D

- 3. Prohibited statements**—a lawyer may not refer to the character or criminal record of a party, potential for guilty plea, results of tests or opinion about guilt/innocence

D. DUTY TO JURORS

1. During a proceeding, a lawyer may not directly or indirectly communicate with a juror.
2. After a proceeding, a lawyer may contact a juror unless the juror expressed a desire not to talk with the lawyer, or the communication involves misrepresentation, coercion, duress, or harassment.

E. DUTY TO JUDGE—a lawyer may not communicate ex-parte with the judge unless authorized

F. DUTIES OF A PROSECUTOR—a prosecutor has special duties, including:

1. May not prosecute without probable cause
2. Must ensure the defendant is advised of the right to counsel
3. Must timely disclose exculpatory evidence
4. After conviction, must timely disclose to the court and to the D any new, credible, and material evidence creating a reasonable likelihood of D's innocence, and investigate whether D was wrongly convicted

ESSAY ROADMAP: REAL PROPERTY

The subject of Real Property consists of pocket areas that may be combined within one essay.

The roadmap below is organized to help illustrate how to organize and approach each issue. Memorize each pocket area to improve issue spotting and organization on the essays.

Pocket areas:

Types of Ownership

Landlord/Tenant

Disputes about Title

Disputes about Use

Issue spotting tip:

- Find issues by analyzing the action verbs, e.g., drafted, recorded, destroyed, etc.
- When analyzing a fact pattern, draw a picture, diagram, or timeline to help you visualize the problem and better understand the issues.

Complicated facts? A typical exam testing possessory and/or non-possessory interests in land will present facts related to the following basic issues:

- **Identify** the interest (How was it created?)
- **Characterize** the interest (What is its nature and when was it acquired?)
- Identify the **rights and duties** of the holder (as they relate to the facts)
- Identify whether the interest has **terminated** and what **remedies** are available

I. OWNERSHIP

A. GENERAL APPROACH

1. **Creation** (by sale, gift, devise, or intestate succession)
2. **Characterization** (describe the nature of the interest; look at the timing of possession)
3. **Rights and Duties** of the estate holder (analyze rights and duties of all claimants)
4. **Termination** (look for circumstances that destroy the interest)
5. **Remedies** (what do the parties seek? Might be a remedy at law or in equity or both)

B. PRESENT ESTATES

1. Fee simple absolute ("fee simple")
2. Defeasible fees
3. Life estate

Present Estate	Language To Create	Related Future Interest
Fee simple determinable	"so long as," "while," "during," "until"	Possibility of reverter (goes to grantor); executory interest (goes to third party)
Fee simple subject to a condition subsequent	"but if," "provided that," "on the condition that"	Right of entry (goes to grantor)
Fee simple subject to an executory interest	"but if," "provided that"	Executory interest (automatically goes to someone other than the grantor)
Life estate	"for life"	Remainder

C. FUTURE INTERESTS—if a grantor retains a future interest, it is a reversion, possibility of reverter, or a right of entry; if a third party is given a future interest, it is a remainder or an executory interest

1. Types

- **Reversion**—held by the grantor who grants a life estate or estate for years without conveying the remaining future interest to a third party (3P)
- **Possibility of reverter**—follows a fee simple determinable
- **Right of entry**—follows a fee simple subject to a condition subsequent
- **Remainder**—if possession goes to a 3P after a life estate, the 3P takes a remainder
 - **Vested** (preferred)—ascertainable grantee with no condition precedent
 - **Vested subject to open** (class gifts)—full class unknown but one or more member(s) is vested
 - (i) Subject to RAP
 - (ii) Rule of convenience—closes the class when any member is entitled to possess
 - **Contingent**—unascertainable grantee or subject to a condition precedent
 - (i) Vests once condition precedent satisfied
 - (ii) Destructibility—at C/L destroyed if it failed to vest before or at the time the prior estate ended; most jurisdictions: not destroyed and it converts to springing executory interest
- **Executory interest**—a future interest in a 3P that is not a remainder and that generally cuts the prior estate short upon the occurrence of a specified condition

2. Rule Against Perpetuities (RAP)

- Applies to vested remainders subject to open, contingent remainders, executory interests, and powers of appointment
- **Rule:** No interest in property is valid unless it must vest, if at all, within 21 years after some life in being at the creation of the interest
- **Majority of jurisdictions:** Courts will "wait and see" if it actually vests within 90 years after its creation

D. CONCURRENT ESTATES

1. Types

- **Tenancy in Common** (favored; presumed estate if not otherwise clear)
- **Joint Tenancy**
 - **Creation**—four unities of PITT; look for intent and words of survivorship
 - **Severance**—inter vivos transfer, mortgage (only in a title theory state (minority))

- **Effect of severance**—identify who now has a tenancy in common
- **Tenancy by the Entirety** (joint tenancy between spouses)
- 2. **Rights and Obligations**
 - **Possession and use**—equal right to possess all of the property absent agreement
 - **Third-party rent**—right to pro rata share of net rent from a third party
 - **Necessary property related expenses**—equal obligation to pay, e.g., taxes or mortgage interest; can get reimbursed for paying excess
 - **Improvements and repairs**—no right to reimbursement; seek credit during partition
 - **Partition**—equitable remedy to divide property (partition in kind); can force partition by sale if partition in kind not feasible

E. SPECIAL REAL PROPERTY ISSUES

1. Fair housing and discrimination

- **Protected classes**—race, color, religion, national origin, sex, disability, and familial status
- **Prohibited practices**—actions related to housing based on a protected class (e.g., refusing to rent or sell, providing different terms, etc.)
- **Proof**—must show **disparate racial impact** (not racial intent or purpose)

2. Conflict of Laws

- **General rule**—the law applied by the forum court should be determined by the conflict-of-laws rule that would be applied by the courts of the state where the property is located (i.e., the situs)
- **Exceptions**—the instrument or will designates the applicable law; spouses acquire property during marriage (spouses' domicile determines whether the property is marital or separate property); collateral issues

II. LANDLORD/TENANT

General Approach to Landlord/Tenant issues:

Has the interest been **CREATED?** (Consider the Statute of Frauds.)

CHARACTERIZE the interest. (Describe the nature of the leasehold.)

Has there been a **TRANSFER** to a third party? (Assignment or sublease?)

What are the **RIGHTS AND DUTIES** of the tenant and landlord?

Has the interest been **TERMINATED?** (Look for circumstances that destroy the interest.)

What are the available **REMEDIES?** (What do the parties seek?)

A. TYPES OF TENANCIES

1. Tenancy for years (fixed amount of time)
2. Periodic (ongoing and renews automatically, e.g., month-to-month)
3. Tenancy at will (may be terminated by either party at any time)
4. Tenancy at sufferance (result of holdover tenant)

B. DUTIES OF THE TENANT

1. Pay rent unless an exception applies (e.g., quiet enjoyment, warranty of habitability); L's remedies include an action for damages or terminate lease and evict T
2. Avoid waste; residential tenant may be required to notify landlord of necessary repairs

Spot the issue of Waste: Waste is easy to miss because the word will be absent from the fact pattern.

- Is there a tenant or other party in possession who **shares the interest in land**?
- Is there **conduct affecting value**? Look for verbs related to adding or removing a feature or inaction.

3. If T remains in possession after lease ends, T becomes a holdover T
 - L may sue for eviction or bind T to a new tenancy
 - Accepting rent creates a periodic tenancy with terms of the prior lease but in a residential lease, the new tenancy cannot be implied for more than month-to-month
 - Not a holdover if T stays a few extra hours, leaves a few articles of property behind, or circumstances out of T's control prevent T from leaving

C. DUTIES OF THE LANDLORD

1. Deliver possession
2. Duty to repair (residential)—T's remedy for breach may be under implied warranty of habitability
3. Implied Warranty of Habitability
 - Implied in residential leases only
 - T's remedy for breach, if L put on notice, is to withhold rent or repair and deduct
4. Covenant of Quiet Enjoyment (implied right not to have possession disrupted by L)
 - Look for action of L or failure of L to control common areas or nuisance on premises
 - Action by L that breaches covenant is considered an actual or constructive eviction
5. Security deposit—some states set a maximum amount; some states allow a larger deposit from tenants with pets

D. TORT LIABILITY (for negligence; consider special duty of L as landowner if recognized)

E. ASSIGNMENT AND SUBLETTING

1. Assignment is a complete transfer of the remaining lease term; sublease is a partial transfer
2. Both L and T can assign their interest without consent of the other
 - If a lease prohibits T from assigning or subletting, L may terminate the lease for breach of one of its covenants
3. L can collect rent from T who is in privity of contract or privity of estate with L

III. THE LAND SALE CONTRACT

A. FORMATION

1. **Real Estate Broker**—typically, a seller's agent but may be a buyer's agent or a dual agent
2. **Statute of Frauds**—the land sales contract must be in writing unless an **exception** applies (e.g., part performance, full performance, detrimental reliance, admission)

B. PERFORMANCE

1. **Marketable title**—implied covenant that title is free from defects that create an unreasonable risk of litigation
 - Defects making title unmarketable include a future interest, encumbrance, violation of zoning ordinance, significant physical defect, or if title held by AP but not yet quieted
 - Remedies available if the defect remains at closing include rescission with recovery of costs and payments, suing for breach, or specific performance with abatement of purchase price
2. **Time of the essence**—not presumed and must be stated in the contract; parties must perform within a reasonable time and late performance can trigger incidental damages
3. **Disclosures** (majority requires residential seller to disclose material defects)

C. REMEDIES (available before deed delivered, otherwise terms merge with deed)

1. Damages (contract price less market value)
2. Specific performance and abatement of the purchase price if applicable

- D. EQUITABLE CONVERSION**—converts the seller’s interest to personal property (right to collect payment) once the contract is signed, giving buyer the real property interest and placing the risk of loss on buyer (majority view) if the property is destroyed before closing.
- E. OPTIONS AND RIGHTS OF FIRST REFUSAL**—subject to the Statute of Frauds (must be in writing)
1. **Option**—one party acquires the right to purchase property in exchange for consideration
 2. **Right of first refusal**—a preemptive right that gives its holder the opportunity to acquire property prior to its transfer to another

IV. TITLES

Tip: Look for a fact pattern testing deeds, adverse possession, and a recording statute. The facts might set up a claim for title based upon a deed that is likely invalid, leading to a back-up claim for title by adverse possession, countered by defendant’s assertion of a BFP protected by a recording statute. Remember, adverse possession falls outside of the protections of a recording statute.

A. ADVERSE POSSESSION

1. Continuous for statutory period (uninterrupted use; can tack use of prior possessor in privity)
2. Actual possession is required, though use of the entire parcel may not be required
3. Open and notorious (visible and apparent use the same way as true owner would)
4. Hostile (without permission and inconsistent with true owner’s rights)
5. Exclusive (not shared with the true owner; can share with another adverse possessor)

Tip: Adverse possession involves title to land whereas a claim for easement involves the right to use land of another. The element of exclusive use distinguishes adverse possession from a prescriptive easement.

B. DELIVERY AND RECORDING OF A DEED

1. **Contents** in writing (named parties, words of transfer, description, grantor’s signature)
2. **Delivery** (intent to transfer the property and acceptance by the grantee; transfer to agent not treated as delivery unless the agent is independent and grantor cannot revoke deed)
3. No consideration is required; a deed need not be recorded to be valid
4. **Recording act**
 - Applies to nearly all interests in land
 - **Protects bona fide purchaser** (BFP)—subsequent purchaser for value who takes without notice (actual, constructive, or inquiry)
 - **Types of statutes**
 - **Notice** (“in good faith” or “without notice”)
 - **Race** (“first to record”)
 - **Race-notice** (“first to record” and “without notice”)
 - **Shelter rule** (one who takes title from BFP is protected by that status)
5. **Types of deeds**
 - **General warranty** (six implied covenants; protects against defects arising at any time)
 - Present covenants (seisin, right to convey, against encumbrances)
 - Future covenants (quiet enjoyment, warranty, further assurances)
 - **Special warranty** (six implied covenants; protects against defects only if they arose during time grantor has title)
 - **Quitclaim** (no covenants of title)
 - Remedy for breach depends upon whether breach of present or future covenant

C. CONVEYANCE BY WILL, TRUST, AND OPERATION OF LAW

1. **By will**—real property can pass by a specific devise or a residuary clause; if a person dies without a valid will, her property passes by intestacy; if a person dies without heirs, her property escheats to the state
 - **Ademption**—a specific devise fails if the testator does not own the property at the time of his death
 - **Lapse**—when the beneficiary dies before the testator; all states have anti-lapse statutes (prevents a gift from lapsing if the gift is made to an immediate relative of the testator)
2. **By trust**—a valid private trust requires intent to make a trust, a valid purpose, res, and identifiable beneficiaries; can be created during life (*inter vivos*) or upon death (testamentary); charitable trusts

D. RESTRAINTS ON ALIENATION

1. **Restraints on legal interests**—generally void as against public policy, but permissible if the restraint is limited in time and purpose

Tip: If the exam presents an adverse possessor going against one with title (even a BFP), **the recording statute will not protect against the adverse possessor** because a recording statute does not protect against interests arising by operation of law, e.g., adverse possession and implied easements.

V. MORTGAGES AND SECURITY INTERESTS

A. MORTGAGE—mortgagor is the borrower; mortgagee is the lender/holder of security interest

B. MORTGAGE ALTERNATIVES

1. **Deed of trust**—borrower delivers note to third-party trustee as security for payment to lender
2. **Installment land contract**—seller retains title until the buyer makes the final payment
3. **Absolute deed**—a deed free of all liens and encumbrances; if an obligation is created prior to or contemporaneously with the deed transfer, the grantor may prove that the transfer is a disguised mortgage
4. **Conditional sale and repurchase**—can create a disguised mortgage, depending on the terms

C. TRANSFER

1. **By mortgagor**—will not release obligation without a release or modification by the lender; consider due-on-sale clause
 - Transferee who assumes the mortgage is liable but mortgagor also remains liable
 - Transferee who takes subject to the mortgage is not liable (assumed if deed silent)
2. **By mortgagee**—does not affect liability of mortgagor

D. PRE-FORECLOSURE RIGHTS AND DUTIES

1. Depends on whether lien, title, or intermediate title theory state
2. Equity of redemption—prior to foreclosure, right to pay debt with interest to avoid foreclosure

E. FORECLOSURE

1. Sale after default and notice; sue the borrower on the note or foreclose the mortgage
2. Priorities—foreclosure destroys junior interests; “first in time, first in right” with exceptions

F. DISCHARGE

1. **Prepayment**—presumption in favor of permitting mortgagor’s prepayment
2. **Merger**—when a mortgagee’s interest and the mortgagor’s interest are acquired by the same person, courts treat the mortgage as having merged into fee ownership

VI. DISPUTES ABOUT USE OF LAND (RELATES TO RIGHTS IN ANOTHER'S LAND)

Tip: Look for a fact pattern combining covenants and easements. There might be a sale of a portion of property later followed by a deed for the remainder. Only the earlier deed contains a restriction on use (covenant or servitude) and the buyer of the remaining portion cannot get access without going through the other portion (easement). Analyze an easement separately from a covenant.

Issue Spotting Approach:

Has the interest been **CREATED?** (Consider the Statute of Frauds.)

CHARACTERIZE the interest. (Describe the nature of the interest.)

What are the **RIGHTS AND DUTIES** of the grantor and grantee?

Has the interest been **TERMINATED?** (Look for circumstances that destroy the interest.)

What are the available **REMEDIES?** (What is sought? Could be at law, in equity, or both.)

A. EASEMENTS

1. **Generally**—non-possessory interest in land that allows a person to use another's land for a specific, limited purpose
 - Servient estate—land subject to easement
 - Dominant estate—land benefited by the easement
 - Presumed to be appurtenant (i.e., tied to the land)
2. **Creation**—express or implied
 - **Express**—must be in writing (subject to the Statute of Frauds)
 - **Implied**—(remember "PINE" for the four ways to create an implied easement)
 - **Prescription**—arises when use is made that is continuous, actual, open, and hostile for the statutory period; exclusive use is not required (unlike adverse possession)
 - **Implication**—arises on a servient parcel when, prior to division of the tract, the owner used one part of the land to benefit another part and the parties intended to continue the use after severance; use must be continuous, apparent or known, and reasonably necessary to dominant parcel's use and enjoyment
 - **Necessity**—generally created only when property is virtually useless (e.g., landlocked) without the benefit of an easement across neighboring property; dominant and servient estates must have been under common ownership in the past
 - **Estoppel**—permissive use granted but later revoked; good-faith, reasonable detrimental reliance may allow the easement to be enforced through estoppel
3. **Transfer**—easement appurtenant is transferred with the land to which it relates; most courts now allow transfer of an easement in gross if for commercial use or parties intend to transfer
4. **Scope**—the nature of allowable use depends upon the type of easement and use; look for unforeseeable changes in use, unreasonable expansion or misuse
5. **Termination**
 - **Release**—written release from the easement holder
 - **Merger**—owner of the dominant or servient estate acquires title to the other estate
 - **Severance**—an attempt to transfer an appurtenant easement separate from the land it benefits terminates the easement
 - **Abandonment**—mere nonuse is insufficient without conduct or words showing clear intent to relinquish the easement
 - **Necessity ends**—an easement by necessity will end when the necessity ends
 - **Prescription**—if the holder fails to protect against a trespasser for the statutory period
 - **Estoppel**—if statements or conduct indicating abandonment are revoked after reasonable detrimental reliance by the servient estate, the holder may be estopped from reclaiming
 - **Sale to a BFP**

- B. COVENANTS**—a restriction on use of the land; runs with the land and binds successive owners
- 1. Real Covenants**—when damages sought for breach; requirements:
 - **Writing**
 - **Intent** by the parties for the covenant to run with the land
 - **Touch and concern**—the benefit or burden affects both the promisee and the promisor as owners of land and not merely as individuals; modern trend presumes covenant is valid
 - **Notice** (burden only)
 - **Privity**
 - Horizontal (burden only)—original parties must have privity of estate (i.e., some shared property interest apart from the covenant) at the time the covenant is made
 - Vertical—the relationship between the original party and the successors to the property interest; successor must hold an estate of the same duration as the original party for burden to run
 - 2. Equitable Servitudes**—when injunctive relief is sought to enforce a covenant; requirements:
 - **Writing**
 - **Intent** for the restriction to be enforceable
 - **Touch and concern**
 - **Notice** (actual, constructive, or inquiry) by the person against whom enforcement is sought (if the person is a purchaser)
 - 3. Implied reciprocal servitude**—implied from common plan; remedy is an injunction; requires:
 - **Intent** to create a servitude on all plots
 - The servitude must be **negative** (i.e., a promise to refrain from doing something)
 - **Notice** (actual, constructive, or inquiry) by the party against whom enforcement is sought
 - 4. Defenses to equitable servitudes**
 - Changed circumstances
 - Laches
 - Unclean hands
 - Acquiescence
 - Estoppel
 - 5. Transfer**—covenants, equitable servitudes, and implied reciprocal servitudes transfer with the real property interest
 - 6. Termination**—similar to easements (release, merger, abandonment, waiver, estoppel, condemnation, sale to BFP who can assert the protection of a recording act)
 - 7. Common-interest ownership communities**
 - **Types**
 - **Property owners' association**—owners are required to belong and pay dues
 - **Condominiums**—created by filing (recording) a declaration (or master deed) and a plat; can have bylaws
 - **Cooperatives**—land and building owned by a corporation; units are leased to shareholders; prohibited from transferring interest separately from lease
 - **Governance**
 - **Declaration and governing documents**—determine the rights and obligations of the members
 - **Association**—typically a corporation, but can also be a trust, partnership, or unincorporated association; manages affairs and enforces covenants and easements
 - **Board**—elected by members of the association; day-to-day control over maintenance
 - **Developer**—generally responsible for creating the association and transferring common property to it
 - **Powers of the community**—levy assessments and charge fees; manage, acquire, and improve common property; adopt rules governing use of property; enforce governing documents and rules; litigate in its own name; amend the declaration
 - **Duties associated with the community**

- **Duties of the community to members**—use ordinary care and prudence, treat members fairly, act reasonably, etc.
- **Duties of directors and officers of an association**—act in good faith, use ordinary care and prudence
- **Liability of members for association torts**—members are NOT jointly and severally liable for torts that occur on or caused by commonly held property

C. FIXTURES

1. **Defined**—tangible personal property that is attached to real property in a manner that it is treated as part of the real property
2. **Attachment and removal**—a fee simple owner may generally attach or remove fixtures; other possessors may have the right to attach or remove fixtures under certain conditions

D. EMBLEMENTS (CROPS)

1. **Definitions**
 - **Fructus industriales**—crops produced through cultivation; considered personalty
 - **Fructus naturales**—crops produced by nature alone; considered real property
2. **Conveyance**—generally, both fructus industriales and fructus naturales are conveyed along with the land; crops severed from the land are not conveyed with the land

E. ZONING—governmental regulation of land use subject to variance (exemption)

1. **Authority**
 - **Federal**—no specific constitutional authority for Congress to pass zoning laws
 - **State**—falls within a state's power to enact laws for the general welfare (i.e., police power); mostly delegated to local governments
 - **Local**—enabling acts allow local governments to enact zoning laws; zoning laws that are unauthorized or that exceed the authority of the local government are void (*ultra vires*)
2. **Types of zoning laws**—traditionally residential, commercial, and industrial
3. **Challenges to restrictive zoning**
 - **Fifth Amendment Takings Clause**—zoning laws generally do not rise to the level of a taking
 - **Fourteenth Amendment Substantive Due Process**—rational basis scrutiny applies (unless a fundamental right is at issue); the right of family members to live together is a fundamental right
 - **Fourteenth Amendment Equal Protection Clause**—zoning laws that discriminate based on a suspect classification (e.g., race, national origin) are subject to strict scrutiny; must show discriminatory purpose or intent (discriminatory effect is not enough)
 - **First Amendment Free Speech Clause**—the government has a substantial interest in regulating the secondary effects that result from adult entertainment businesses; zoning laws that restrict their location but do not outright ban them are permitted
 - **Federal Fair Housing Act**—prohibits discrimination on the basis of race, color, religion, national origin, sex, disability, and familial status
 - **Federal Religious Land Use and Institutionalized Persons Act**—prohibits a land-use regulation that imposes a substantial burden on the exercise of religion unless the government passes the strict scrutiny test
 - **State constitutional and statutory challenges**—a state constitution may provide a property owner with greater protection than the federal constitution does; a property owner may challenge a zoning ordinance for violating a state statute
4. **Treatment of existing nonconforming property** (e.g., when the zoning laws are modified)
 - **Time for testing**—the date the zoning ordinance (or modification) takes effect
 - **Time limit on nonconformity**—often subject to a reasonable amortization period but some states do not permit the imposition of a time limit on an existing nonconformity

- **Subsequent events**—a property owner is generally not permitted to expand a nonconforming use, but repair of an existing structure is permitted; the property owner may lose the right to use the property in a nonconforming manner if the property owner voluntarily abandons the nonconforming use; the right to use the property in a nonconforming way may be transferred along with the property
5. **Treatment of a post-ordinance nonconformity**
 - **By ordinance or administrative action** (variance)—to obtain a variance, the property owner must show: unnecessary hardship not created by the owner, unique circumstances, and that granting the variance would be in keeping with the overall purpose of the ordinance and would not result in substantial harm to the general welfare
 - **Types**—use variance (less likely to be granted); area variance (more likely to be granted)
 6. **Procedural due process rights**—an owner who is denied a permit or variance may appeal to a review entity (e.g., board of zoning appeals); the owner has the right to an impartial decision maker, to present evidence, and to receive an explanation of the decision
 7. **Alternative forms of zoning**—contract zoning, floating zones, cluster zoning, planned-unit development
 8. **Zoning and comprehensive plan**—a comprehensive plan is required; it has no legal effect by itself but zoning ordinances must conform to the plan
 9. **Zoning changes**
 - **Burden of proof**—generally on the property owner challenging the validity of a zoning ordinance
 - **Spot zoning**—not permitted; arbitrary discrimination
 10. **Subdivision development**—subject to special governmental controls (e.g., must submit a development plan with a plat, must construct streets and sidewalks, etc.)
 11. **Relationship to covenants**—compliance with a zoning restriction does not protect an owner from a suit for breach of a covenant; compliance with a covenant does not protect an owner from a zoning violation action
- F. DEDICATION**—giving land to the government for use by the public; the landowner retains the fee and the public get an easement in trust
- G. NUISANCE**
1. **Private nuisance**—a substantial, unreasonable interference with another’s use or enjoyment of property
 2. **Public nuisance**—an unreasonable interference with the health, safety, or property rights of the community; for private action for public nuisance, the plaintiff must show that he suffered a different kind of harm than that suffered by the rest of the community
 3. **Remedies**—damages, injunction
- H. LICENSE**—revocable non-possessory right to enter or use another’s land; similar to easement but it is revocable unless coupled with an interest or detrimentally relied upon
- I. OTHER PROPERTY RIGHTS—WATER, AIR, SUPPORT**
1. **Water rights**
 - **Reasonable use**—bordering landowner has a right to reasonable use
 - **Prior appropriation**—“first in time, first in right” to put water to beneficial use
 2. **Support rights**
 - **Lateral**—neighboring landowner cannot cause land to subside/cave in
 - **Subjacent**—surface owner has right to support from underground owners
 3. **Air Rights**—a landowner has the right to reasonable use and enjoyment of the airspace above his land as long as it does not interfere with another’s reasonable use and enjoyment of land

ESSAY ROADMAP: REMEDIES

ASK is the goal to:

1. Compensate or restore plaintiff's position or punish defendant? DAMAGES

- Before considering an equitable remedy, the legal remedy must be inadequate.
- Analyze plaintiff's (P's) right to damages (legal remedy) before discussing any equitable remedy.

2. Force or prevent conduct? EQUITABLE RELIEF (injunction or specific performance)

3. Remedy unjust enrichment? RESTITUTION (constructive trust, equitable lien)

I. DAMAGES

A. TORT

1. Compensatory: Put the plaintiff (P) in the same position he was in before the tort was committed.

- Compensate for past, present and future harms that will be suffered (e.g., lost wages)
- **General** (noneconomic) damages (i.e., **pain and suffering**) are recoverable if physical harm was suffered
- **Special** damages (economic) damages are awarded for out of pocket expenses such as medical expenses, lost wages and property loss
- **Hedonic loss** damages are recoverable for loss of enjoyment of life
- **Emotional distress** damages are allowed for intentional or outrageous conduct or if ancillary to physical harm; recovery in negligence solely for emotional distress is limited

2. Nominal—alternative if little or no harm suffered; awarded to allow recovery of costs

3. Punitive—to punish and make an example of the defendant (D)

- When D acted with reckless disregard or malice, or committed fraud or oppression
- Due process considerations to avoid grossly excessive damages:
 - Reprehensibility of D's conduct
 - Ratio between compensatory and punitive damages
 - Availability of other civil penalties

B. CONTRACTS

1. Compensatory: Put the plaintiff in as good a position as performance would have done.

- **General** damages: **Benefit of the bargain** (expectation damages)
 - If goods are **rejected or not delivered**: Market price minus contract price (at the time buyer learns of the breach)
 - If goods are **defective**: Cost of substitute goods (i.e., cover) and the contract price
- **Special** damages:
 - **Incidental**—reliance-type damages e.g., delivery, transportation, storage expenses
 - **Consequential**—arising as a consequence and are reasonably foreseeable at the time of contracting; typical damages include lost profits and out of pocket expenses
 - **Punitive**—not awarded unless the conduct rises to the level of a tort (e.g., fraud)

2. Alternative damages to compensatory damages—either compensatory OR these:

- **Reliance**—alternative damages if P cannot prove profit or would have suffered loss
 - P can recover expenditures made in preparation and for performing the contract
 - Reliance damages cannot exceed the contract price
- **Restitution**—alternative damages measured by the value of the benefit conferred
- **Nominal**—alternative if little or no harm suffered; awarded to allow recovery of costs

- **Liquidated**—the contract terms dictate the damages in the event of a breach; the amount must be reasonable and not excessive

C. LIMITATIONS TO CONSIDER

1. **Causation**—D must be the actual (“but for”) cause; in tort, proximate cause is also required
2. **Certainty**—damages must be established with reasonable certainty
3. **Avoidable consequences (mitigation)**—P denied recovery for any avoidable harm or loss
4. **Reduction for benefits**—P’s recovery reduced by any savings stemming from D’s wrong; recovery not reduced if P had a collateral source of benefits (e.g., insurance)

II. INJUNCTIVE RELIEF (equitable relief for injury usually based in tort)

A. GENERALLY—an equitable remedy to command the defendant to do or not to do something

B. TEMPORARY RESTRAINING ORDER

1. To preserve the status quo pending a preliminary injunction hearing; payment of security bond is required.
2. Urgent order to stop conduct for short time (usually 10 days maximum); can be issued ex parte.
3. **Elements:**
 - **Immediate irreparable harm** for which there is no legal remedy
 - **Balance of the hardships** facing P, D and the public interest favors P
 - **Likelihood P will succeed on the merits**

C. PRELIMINARY INJUNCTION

1. To preserve the status quo pending trial; payment of security bond required
2. D is entitled to notice and an opportunity to be heard
3. **Elements:**
 - **Irreparable harm** for which there is no legal remedy (inadequate remedy at law)
 - **Balance of the hardships** facing P, D and the public interest favors P
 - **Likelihood P will succeed on the merits**

D. PERMANENT INJUNCTION

1. After P has achieved success on the merits, the court can award a permanent injunction; no bond is required
2. **Elements:**
 - **Substantive right worthy of protection** (P has succeeded on the merits)
 - **Irreparable harm** for which there is no legal remedy (inadequate remedy at law)
 - **Balance of the hardships** facing P, D and the public interest favors P
 - Consider the feasibility of enforcement and the difficulty of supervision; a negative injunction (an order to refrain from conduct) is easier to enforce
3. **Defenses:**
 - **First Amendment**—enjoining speech may violate the constitution
 - **Laches**—P’s claim may be time barred if the delay in asserting P’s rights has caused prejudice to the defendant
 - **Unclean hands**—P is not entitled to equitable relief because P has acted in bad faith

III. SPECIFIC PERFORMANCE (equitable relief to enforce a contract)

A. GENERALLY: Specific performance is an equitable contract remedy by which a party is forced to perform; P may seek the remedy after a breach by nonperformance or a repudiation of contract

B. ELEMENTS:

1. **Valid contract with certain terms** capable of being specifically enforced
2. **Inadequate remedy at law** (damages are inadequate with land or a unique good)
3. **Conditions have been satisfied**—P must be ready, willing, and able to perform
4. **Relief must be equitable (fair)**—facts that do not rise to a defense but fall short might nonetheless create an unfair hardship on the party against whom enforcement is sought
5. **Enforcement is feasible**—enforcement cannot require lengthy or detailed supervision or subjective interpretation

C. DEFENSES (laches and unclean hands per above)

Tip: Rescission vs. Reformation

With **rescission**, there is no meeting of the minds and the contract will be undone to reflect that fact

With **reformation**, there is a meeting of the minds and the contract will be corrected to reflect that fact

IV. RESCISSION (can be either a legal or equitable remedy)

A. GENERALLY: Rescission will undo a contract for both sides, and is usually followed by an action for restitution or replevin.

B. GROUNDS: Fraud, mistake, duress, undue influence

C. TYPES:

1. **Legal**—notice to D and return of any benefits by P, unless excused; followed by restitution
2. **Equitable**—requires inadequate remedy at law coupled with return of any benefits

D. RESTITUTION OR REPLEVIN—to get money or property returned after rescission is granted

E. DEFENSES

1. **Laches** (same as above)
2. **Unclean Hands** (same as above)
3. **Negligence is not a defense**

V. REFORMATION—correct the contract so that it reflects the meeting of the minds

A. ELEMENTS:

1. **Agreement**—the parties have an agreement without grounds for misrepresentation
2. **Grounds for mutual mistake** (unilateral mistake if the other P induces or fails to correct it)

B. DEFENSES

1. **Laches** (same as above)
2. **Unclean Hands** (same as above)

3. **Third party**—a bona fide purchaser for value may prevent reformation
4. **Not defenses:** Negligence, Statute of Frauds, Parol Evidence

VI. RESTITUTION (can be a cause of action at law or an equitable remedy)

- A. **GENERALLY:** Restitution is both a cause of action and a remedy used to correct unjust enrichment; the remedies may be a money judgment, constructive trust or equitable lien
- B. **CAUSE OF ACTION** (e.g., quasi-contract or quantum meruit)—produces a money judgment
 1. **Rule:** P confers a benefit upon D and it would be unjust for the D to keep the benefit; P may recover the value of the benefit conferred in restitution.
 2. **Measure of recovery**—if D enriched by payment of money, P will recover the payment amount; if D enriched by goods or services, options include:
 - **Value to the defendant;**
 - **Cost to the plaintiff;**
 - **Market value** (use when defendant is without fault or intent); or
 - **Stipulated price** (use when there is an agreement with a fixed amount).
 3. **Conscious wrongdoer**—D's level of intent or knowledge is relevant when measuring P's recovery; P may pursue an accounting for profits when the D knew or should have known of the wrong, recovering the greater of either the value to D or the current market value
- C. **CONSTRUCTIVE TRUST**—a judicial remedy that imposes a duty to convey property to P if D would be unjustly enriched by retaining the property; D holds the property "in trust" for P
 1. **When to pursue:** A constructive trust is preferable over an equitable lien if the value of the property has increased, because P will not be required to account to D for the excess value.
 2. **Elements:**
 - D unjustly acquires legal title to specifically identifiable property at P's expense or in violation of P's rights
 - Retention of the property would unjustly enrich D
 - Inadequate remedy at law (unique property, damages speculative, D insolvent)
 3. **Effect**—D must transfer the property if held or the substitute property or proceeds; if not; P becomes a secured creditor with priority in a bankruptcy proceeding
 4. **Changes in value**—any change in value is not charged to either party
 5. **Tracing**—if the property has been sold and/or used to acquire new property, P may get a constructive trust on its proceeds if specifically identified or the newly acquired property
 6. **Limitations:**
 - **Bona fide purchaser**—P may not recover property transferred to a BFP for value
 - **Thief**—a thief does not obtain title; P may seek replevin or go after the thief's cash
 - **Improvements**—P may not recover property because it was improved by P's property
 7. **Defenses:**
 - **Laches** (same as above)
 - **Unclean hands** (same as above)
- D. **EQUITABLE LIEN**—a judicial remedy that imposes a lien on D's property if D would be unjustly enriched by retaining the property
 1. **When to pursue:** An equitable lien is preferable over a constructive trust if the value of the property has decreased, because D will be held to account to P for the deficiency in value.

2. Elements:

- D holds legal title to the property (that was wrongfully obtained)
- Retention of the property would unjustly enrich D
- Inadequate remedy at law (unique property, damages speculative, D insolvent)

3. Effect—P may force a sale, collect proceeds and sue D for any deficit in the balance due; P becomes a secured creditor with priority in a bankruptcy proceeding

4. Changes in value—P may recover for a decrease in value

5. Improvements—an equitable lien may be placed on property improved by P's property

6. Limitations

- **Innocent D** has changed position in reliance on the benefit.
- **Bona fide purchaser**—P may not recover property transferred to a BFP for value
- **Discharge of Third Party's (3P) debt** owed to D
- **Unsolicited benefit** *unless* conferred to protect 3P life, health, property, or perform duty to 3P

7. Defenses:

- **Laches** (same as above)
- **Unclean hands** (same as above)

VII. REPLEVIN—tort action to recover personal property and damages for loss of use

A. RULE: When D wrongfully takes or retains control of P's personal property, P may pursue a writ of replevin to recover both possession of the property and damages for loss of use.

B. DEFENSE—P may not recover against a D who is a bona fide purchaser for value

C. PROCEDURE—P files a writ of replevin and posts a bond to get property returned pending trial

VIII. EJECTMENT—tort action to restore possession of land to P and award damages for its use

A. RULE: To regain possession to land, P may seek an ejectment so long as P has lawful title and a right to immediate possession.

B. MEASURE OF RECOVERY—in addition to return of possession, P may recover damages for loss of use (fair rental value, including D's profits from its use) and any harm caused to the land

ESSAY ROADMAP: TORTS

Tip: The subject of Torts consists of unrelated pocket areas that may be combined within one essay.

Trouble spotting issues? With open-ended questions or if the interrogatory does not identify which theory of recovery is sought by the plaintiff (P), consider the following to help spot the relevant issues:

- Identify the **relationship** between the parties; look for a special duty or liability
- Categorize **plaintiff's harm** as physical, property, emotional, economic, or damage to reputation
- Identify the **mental state of the defendant** (D) as malicious, intentional, reckless, or negligent

I. IS THERE AN INTENTIONAL TORT?

A. GENERAL APPROACH

1. Set out the **Prima Facie Case**
2. To find liability, all three must be present:
 - **Voluntary Act**
 - **Tortious Intent**
 - Purposeful or done with knowledge to a substantial certainty, or
 - Transferred intent (except with IIED or Conversion)
 - **Causation**
3. Look for **Defenses**
4. Consider **Special Situations/Limitations** (vicarious liability, wrongful death, immunity)

Tip: Memorize a complete rule statement instead of solely the elements: "To establish (name the intentional tort), the plaintiff must prove (set out elements)..." and always include the intent element in your definition.

B. INTENTIONAL TORTS INVOLVING PERSONAL INJURY

1. **Battery**—D causes harmful or offensive contact with the P's person and acts with intent to cause such contact or apprehension of such contact
2. **Assault**—P's reasonable apprehension of harmful or offensive contact caused by D's intentional act
3. **False Imprisonment**—intentional act causing P to be confined to a bounded area and P was aware of the confinement or suffered actual harm
4. **IIED**—intentionally or recklessly acting with extreme and outrageous conduct that caused P severe emotional distress

C. INTENTIONAL TORTS AFFECTING PROPERTY

1. **Trespass to Chattels**—intentional interference with the tangible personal property of another by using, intermeddling, or taking possession
2. **Conversion**—intentional act depriving the P of tangible personal property (to a greater degree than a trespass as determined by extent of dispossession); transferred intent does not apply
3. **Trespass to Land**—intentional act causes physical entry onto the land of another
4. **Nuisance**—a type of harm for which recovery is generally based on intentional conduct
 - **Private**—substantial, unreasonable interference with use or enjoyment of land
 - **Public**—unreasonable interference with a right common to the general public (e.g., road blocked), but P suffers harm different in kind from the public (e.g., trips on barricade)

D. TRANSFERRED INTENT

1. Transfer between victims (e.g., aims at Victim 1 but hits Victim 2)
2. Transfer between torts (e.g., intends to scare Victim but strikes Victim)

3. Transfer between victims and torts
4. Does not apply to: Conversion; IIED (when D intended to commit a **different** intentional tort, e.g., battery, against a different victim)

Tip: Introduce a defense separately from the prima facie case: "Defendant may assert the defense of (name the defense) requiring proof of (set out the elements)..."

E. DEFENSES TO INTENTIONAL TORTS

1. General Analytical Approach

- **Analyze** whether the privilege to assert the defense is available
- **Determine** whether D acted within the scope of that privilege
- **Identify** any limitations (duty to retreat, D was original aggressor)

2. Consent

- Is the privilege available? (P has capacity; no fraud by D)
- Determine the type of consent:
 - Express (words or actions authorize)
 - Implied (by silence, e.g., emergency)
- Was the scope of consent exceeded?

3. Self-Defense

- Is the privilege available? (reasonable belief tort is about to be committed)
- Was reasonable force used? (proportionate to threat; majority: no duty to retreat)
- Not the original aggressor? (except when non-deadly force met with deadly force)

4. Defense of Others

- Is the privilege available? (reasonable belief the victim has a right to self-defense)
- Was reasonable force used? (may use the same force as the victim could use)

5. Defense of Property

- Is the privilege available? (reasonable belief tort is about to be committed, but not if a result of necessity; must request D cease and desist if reasonable to do so)
- Was reasonable force used? (no deadly force to defend property)

II. IS THERE NEGLIGENCE?

A. GENERAL APPROACH

1. Set out the **Prima Facie Case** (Duty, Breach, Causation, Damages)
2. Look for **Defenses**
3. Identify **Special Liability/Limitations** (NIED, vicarious liability, multiple Ds, Immunity)

Tip: Be prepared to define each element before applying the facts. Isolate each element of the prima facie case into its own paragraph to make it easier to grade (unless your exam has a character/line limit).

B. PRIMA FACIE CASE

1. Duty

- One has a general duty to prevent foreseeable risks of harm to foreseeable Ps
 - Majority (Cardozo)—liable only to those within foreseeable zone of harm
 - Minority (Andrews)—liable to anyone injured from breach of duty to another
- One has an affirmative duty to act only if there is a special relationship, the duty is assumed, D created the peril, or it is created by contract or statute

2. Standard of Care (choose the one that applies)

- Reasonably prudent person
- Custom of the community or industry (Professionals)
- Special status (e.g., Landowners, Common Carriers)
- From a statute: Negligence Per Se

- If P is in the class of plaintiffs to be protected;
 - The harm is of the type to be prevented; and
 - The harm was caused by the violation of the statute (breach).
- 3. Breach** (choose the one that applies)
- D's conduct fell below the standard of care (prove how with specific facts)
 - Unexcused violation of statute (Negligence Per Se)
 - Res Ipsa Loquitor—apply if the facts are unclear whether D was negligent
 - Accident would not normally occur absent negligent conduct;
 - Instrumentality was in D's exclusive control (modern trend: generously interpreted); and
 - Not due to any action on the part of P
- 4. Causation** (analyze both actual and legal cause)
- Cause in Fact/Actual—"But for" test or, if multiple Ds, "substantial factor" test
 - Proximate/Legal—foreseeable injury in a foreseeable manner
 - Direct cause (uninterrupted chain of events)
 - Indirect cause (D liable unless unforeseeable or extraordinary event)
 - Eggshell plaintiff (extent of damages need not be foreseeable)

Tip: Confused by proximate cause?

The analysis will focus on direct vs. indirect and foreseeable vs. unforeseeable force. When in doubt, a foreseeable injury will support a finding of proximate cause.

Envision a timeline starting with D's conduct and ending with P's injury.

Inquiry: Is there conduct or action of another (i.e., an intervening force) between the two?

If NO, D is the direct cause and is liable for foreseeable harm.

If YES, D is an indirect cause. Continue...

Inquiry: Is the intervening force foreseeable?

If YES, it is not superseding, and D will be liable.

If NO, D will not be liable unless the harm is foreseeable.

5. Damages

- **Type**—physical harm or property damage required (pure economic loss insufficient)
- **Measure of damages**
 - **Personal injury**—past and future economic (medical costs, lost income) and noneconomic (pain and suffering) even if unforeseeable (eggshell plaintiff)
 - **Property damage**—fair market value loss or cost of repair if more reasonable
- **Mitigation**—P's recovery limited when failure to mitigate causes aggravation of P's harm

C. DEFENSES TO NEGLIGENCE

- 1. Contributory Negligence** (common law)—P's own negligence is a bar to recovery
 - **Last Clear Chance**—P alleges D had the last clear chance to prevent the harm
- 2. Comparative Fault** (modern rule)
 - **Pure**—P's damages reduced by proportion that P's fault bears to total harm
 - **Partial**—P recovers damages unless P is more at fault than D; if so, P recovers nothing
- 3. Assumption of the Risk**
 - **Implied**—knowledge of a specific risk and unreasonably proceeding in the face of the risk
 - Bars recovery in contributory negligence and minority of comparative fault states
 - Merges into the analysis of fault in a majority of comparative fault jurisdictions
 - **Express**—risk assumed by agreement though exculpatory provisions (disfavored)

Tip: When analyzing "Defenses" discuss affirmative defenses only; do not confuse a defense argument against proof of an element ("D will assert she is not in breach") with an affirmative defense ("D will assert P assumed the risk"). In this example, if D asserts she did not breach her duty, the argument should be presented when analyzing the element of breach.

III. IS THERE A SPECIAL LIABILITY OR CONSIDERATION?

A. NEGLIGENT INFLICTION OF EMOTIONAL DISTRESS (NIED)

1. P is in the zone of danger and the threat of physical impact caused emotional distress
2. P is outside the zone of danger but on scene and witnessed an injury to a close relative
3. Physical symptoms required, unless misinformed about family death or a corpse mishandled

B. WRONGFUL DEATH/SURVIVAL ACTIONS

1. **Trigger fact:** If a surviving spouse or family member of the victim is the P
2. **Wrongful death**—P recovers for loss of decedent but not P's pain and suffering
3. **Survival action**—P recovers decedent's claim for harm between time of injury and death

C. LOSS ARISING FROM INJURY TO FAMILY RELATION—loss of consortium or support

D. VICARIOUS LIABILITY

1. **Trigger fact:** Defendant did not directly commit the tortious act
2. Is there a **qualifying relationship**?
 - Employer-employee
 - Business partners and joint enterprise participants with mutual right of control
 - Automobile owner-driver
 - Parent-child
 - Dram shop-patron
3. Was D **acting within the scope** of that relationship? (rules below match relations above)
 - Employee acting for benefit of employer and not on a frolic or major detour
 - Business partner/participant acting for business purpose of the partnership/enterprise
 - Driver is family member who had permission of owner; minority—driver can be anyone
 - Child is acting as agent for parents
 - Dram shop serves alcohol to patron causing intoxication and P is injured by patron
4. Alternatively, look for direct action based upon negligent entrustment, supervision, or hiring

E. IMMUNITIES

1. Governmental Immunity (limited)
2. Intra-Family Immunity (not for spouses; parents protected for core parenting activities)

F. SHARING LIABILITY (Multiple Defendants)

1. **Joint and several liability** (D liable for single indivisible harm is liable for the entire harm)
2. **Contribution** (D who paid more than fair share can recover excess from a joint D)
3. **Several liability** (many states follow; D only pays for proportionate share of liability)
4. **Indemnity** (shifts liability to third party, e.g., employer pays judgment for tort of employee)

IV. IS THERE STRICT LIABILITY?

A. GENERAL APPROACH

1. **Categorize** the situation (remember DAD: **D**angerous activity, **A**nimal, or **D**efective Product)
2. Set out the **Prima Facie Case** (absolute duty to make safe, causation, damages)
3. Look for **Defenses**

B. ABNORMALLY DANGEROUS ACTIVITIES (focus not on D's conduct but whether this activity is uncommon with a high risk of foreseeable harm of the type that injured P)

C. ANIMALS

1. Owner of a wild animal or abnormally dangerous domestic animal (pets and farm animals) with reason to know of a dangerous propensity is strictly liable for injuries
2. Also strictly liable for P's fearful reaction to sight of unrestrained wild animal
3. Owner of a trespassing animal (other than household pet) is strictly liable for reasonably foreseeable damage caused by the animal

D. DEFENSES

1. Contributory Negligence/Comparative fault—not available (majority)
2. **Assumption of the Risk** bars liability if P aware of the danger and taunts the animal

V. IS THERE PRODUCTS LIABILITY?

A. POSSIBLE THEORIES:

1. **Strict Liability**
2. **Negligence**
3. **Breach of Warranty**

Tip: Unless otherwise directed, consider all theories. Analyze strict liability first, as that would be P's preferred theory and because the analysis will take longer to write. If you find strict liability, the negligence analysis will be straightforward.

B. STRICT PRODUCTS LIABILITY

1. **Proper Defendant:** D must be a commercial supplier, manufacturer, retailer, or in the chain of distribution; a casual seller should be analyzed under a negligence theory
2. **Defective Product**
 - Three types: manufacturing defect, design defect, or failure to warn
 - Defect must exist when product left D's control (D need not know or inspect to be liable)
3. **Causation:** Actual and proximate cause are required.
4. **Damages:** A foreseeable plaintiff may recover for personal injury or property damage.

Tip: Pursue a warranty claim for pure economic loss.

5. Defenses

- **Contributory Negligence**—only if P unreasonably proceeded in the face of known defect
- **Comparative Fault**—P's conduct considered to apportion fault
- **Assumption of the Risk**—bars recovery in contributory-negligence jurisdictions; reduces recovery in comparative-fault jurisdictions
- **Misuse or alteration**—will bar recovery if not reasonably foreseeable

C. NEGLIGENCE

1. **Duty:** Foreseeable plaintiff? Commercial suppliers of a product?
2. **Breach:** Failure by this D to use reasonable care in inspecting/selling? Or res ipsa loquitur?
3. **Causation:** Actual and proximate cause?
4. **Damages:** A foreseeable plaintiff may recover for personal injury or property damage.

Tip: Pursue a warranty claim for pure economic loss.

- 5. Defenses**—standard defenses to negligence apply

D. WARRANTY

1. **Generally:** Did product fail to meet warranty standard? Who is the plaintiff? Some states restrict recovery to the buyer, member of buyer's family/household, or a guest.
2. **Implied**
 - **Merchantability**—Merchant? Goods fit for the ordinary purposes for which intended?
 - **Fitness for Particular Purpose**—Seller knows of particular purpose? Buyer relied on Seller?
 - **Damages**—personal injury, property damage, and/or economic loss?
3. **Express**—affirmation of fact or promise about the goods that is the basis of the bargain

VI. IS THERE DEFAMATION OR INVASION OF PRIVACY?

A. DEFAMATION

1. Set out **prima facie case** (common law)
2. Consider **constitutional protections** for public figures or matter of public concern
3. Look for **defenses**

Tip: Isolate each element into its own paragraph to make it easier to grade (unless your exam has a character/line limit). Be prepared to define each element of the prima facie case.

4. Prima Facie Case

- **Defamatory statement**
- **Of or concerning the plaintiff**
- **Published to a third party who understands its defamatory nature**
- **Causing damages**
 - Libel
 - Slander—special damages required
 - Slander per se—special damages presumed
- **Defenses**
 - Truth is a constitutionally protected defense
 - Privileges (absolute or qualified)
 - Consent

5. Constitutional protections

- **Fault**—for public concern, P must show at least negligence; public figure P must prove malice, i.e., D knows statement is false or acts with reckless disregard of the truth
- **Falsity**—if either a public concern or public figure, P must prove falsity
- **Damages**—for a public figure, P must prove actual damages; if a private P but matter of public concern, presumed or punitive damages are allowed if P proves malice

B. INVASION OF PRIVACY (Tip: Always consider invasion of privacy if defamation is an issue)

1. Possible theories

- **Misappropriation**—unauthorized use of P's picture or name for D's advantage
- **Intrusion upon seclusion**—intrusion into P's private affairs, objectionable to a reasonable person (no publication required)
- **False light**—publication of facts about P or attributing views/actions to P that place him in false light objectionable to a reasonable person under the circumstances
- **Public disclosure of private facts**—highly offensive to a reasonable person and are not of legitimate concern to the public; disfavored tort because of First Amendment tension

2. Damages—no special damages required; proof of emotional distress is sufficient

3. Defenses

- Truth is **not a defense**
- Privileges—to false light and public disclosure theories only

- Consent—so long as not based upon mistake

VII. IS THERE A FRAUD OR BUSINESS TORT?

- A. INTENTIONAL MISREPRESENTATION**—false misrepresentation of material fact made with knowledge and intent to induce reliance, causing P to justifiably rely and suffer pecuniary harm
- B. NEGLIGENT MISREPRESENTATION**—providing false information in a commercial setting with intent to influence this P (breach of duty) causing P to justifiably rely and suffer pecuniary harm
- C. INTENTIONAL INTERFERENCE WITH BUSINESS RELATIONS**—interference with a valid contract or business expectancy by one with knowledge, causing breach resulting in damages
- D. INJURIOUS FALSEHOODS**—trade libel is publication of a derogatory statement relating to P's business, causing interference with or damage to P's business, causing special damages
- E. WRONGFUL USE OF LEGAL PROCESS** (malicious prosecution)—intentional and malicious pursuit of legal action for an improper purpose without probable cause, dismissed in P's favor

ESSAY ROADMAP: TRUSTS

The topic of Trusts can be divided into the following areas:

Creation (Validity)—know the elements of a valid trust

Characterization—know the types of trusts and their characteristics

Interpretation—know how to interpret trust terms (children as beneficiaries, beneficiary protection from creditors, and future interests)

Modification and Termination—know how and when a trust may be modified or terminated

Trust Administration—know how principal and income are allocated, the duties of a trustee, and the remedies for a breach

Note on applicable law: The MEE recognizes answers applying the Uniform Trust Code (UTC), adopted in a majority of states; the UTC position is noted below if it differs from the traditional rule.

I. GENERALLY: A trust is a fiduciary relationship wherein one (trustee) is given legal title/interest by the creator (settlor) to hold and protect the property for the benefit of another (beneficiary) who takes the equitable title/interest and therefore possesses the power to enforce the trust.

A. TYPES: Express trusts are private or charitable; implied trusts are resulting or constructive.

B. REVOCABILITY

1. **UTC (majority)**—trusts are presumed to be revocable

2. **Traditional rule (minority)**—trusts are presumed to be irrevocable

II. ELEMENTS OF A PRIVATE EXPRESS TRUST

A. SETTLOR (S)—creator of the trust; must have capacity the same as for making a will

B. TRUSTEE (T)—must have capacity to acquire and hold property as well as administer the trust

1. **Designation:** The court will appoint a trustee if one is not designated, or if the trustee dies, resigns, etc.

2. **Merger:** If the same person is both the sole trustee and sole beneficiary, then the trust will terminate; a settlor can make himself the trustee, however

3. **Removal:** A trustee can be removed by the court (VII.F.) or by the settlor on several grounds (conflict of interest, breach of trust); the beneficiaries can remove T only if the trust provides

C. INTENT—S must intend to make a gift in trust; look for words of trust, e.g., “for the benefit of”

1. **Manifestation** of intent may be oral, in writing, or through conduct (delivery); a writing is required if created in a will (Statute of Wills) or the subject matter is land (Statute of Frauds)

2. **Ambiguous language**—precatory words such as “hope” or “desire” are insufficient; precatory language will suffice if accompanied by specific instructions to another, and failure to impose a trust would result in an unnatural disposition of donor’s property or enforcing a trust would be consistent with a history of support between the donor and beneficiary

- **Example:** S’ will leaves \$50,000 to X with the “wish he will take care of my sister Y.” Treat as precatory language with no trust created (outright gift to X), unless facts show S left nothing to Y (an heir), and S had been supporting Y (history).

3. **Timing**

- **Present intent** required to create a trust, manifested before or during the transfer of property
 - **For an immediate trust**—a promise to create a trust in the future is unenforceable unless it is supported by consideration or the intent is manifested anew upon transfer
- D. TRUST PROPERTY** (“corpus” or “res”)—presently identifiable and not a mere expectancy, unless it qualifies as a pour-over devise from a will (see III.A.2.)
- E. VALID TRUST PURPOSE**—cannot be illegal or against public policy; must be possible to achieve
- F. ASCERTAINABLE BENEFICIARIES**
1. **Identifiable**—must be presently identifiable or (UTC) capable of being identified by the time the beneficiaries receive their interest
 2. **Exceptions**—class gifts, unborn children, and charitable trusts

III. TYPES

A. EXPRESS

1. **Inter Vivos (living trust)**—lifetime transfers in trust
 - **Declaration of trust**—S declares herself trustee and is paid income during her life with the property going to the beneficiaries at her death; if real property, it must be in writing
 - **Deed of trust**—S creates a trust and is not the trustee; delivery of the deed and transfer of the deed or property to T is required; must always be in writing
 - **Revocable**—can be revocable or irrevocable
2. **Pour-over gift from will**—a will directs property be distributed to a trust upon the happening of an event; allows probate to be avoided because it is funded by the will
 - The trust must be in writing and identified in the will
 - The trust may be revocable but if it is revoked, the pour-over provision fails
3. **Testamentary**—created according to the terms of a will; funded independently of the will
 - **In the terms of the will**—the terms of the will can include language creating a trust
 - **Incorporation by reference**—trust terms are in a separate document that is properly incorporated by reference into a will (see Essay Roadmap for Wills)
 - **Secret Trust**—what appears to be an outright gift in a will is actually based upon a promise by the devisee (trustee) to the testator (settlor) to hold the property for another’s benefit
 - **Burden of proof** is clear and convincing evidence
 - **Remedy** is a constructive trust to avoid unjust enrichment to the secret trustee
 - **Semi-Secret Trust**—a will directs a gift be held in trust without naming a beneficiary
 - **Common law**—prevents extrinsic evidence to prove the trust so the gift fails
 - **Remedy** is a resulting trust in favor of the testator’s heirs; modern trend would impose a constructive trust in favor of the intended beneficiary, if known

B. CHARITABLE—a trust created for a charitable purpose benefiting the community

1. **Elements:**
 - **Charitable purpose**—advancement of health, education, religion, government, relief of poverty, or other purpose benefiting the community at large or a particular segment
 - **Large class of unidentifiable beneficiaries**—the beneficiaries must *not* be ascertainable, such as the community at large or a segment of unidentifiable members
2. **Not subject to RAP**—the rule against perpetuities does not apply to charitable trusts
3. **Cy Pres Doctrine** (“as near as possible”)—always tested when charitable trust is an issue
 - Allows the court to modify the terms of a charitable trust when it cannot be performed as written, so long as consistent with settlor’s intent; UTC allows even if intent unknown

- The court will seek a similar charitable purpose if the original purpose becomes illegal, impracticable or impossible to perform
4. **Enforced** by the Attorney General; UTC also allows the settlor to enforce

C. **HONORARY**—an honorary trust is one without a charitable purpose and without a definite human beneficiary to enforce the trust (e.g., to care for a pet or tend to a grave)

1. **Animal trusts** (all jurisdictions)

- Terminates on the death of the last surviving animal

2. **Noncharitable purpose trusts** (most jurisdictions)

- Typically limited by statute or RAP (UTC limits honorary trusts to 21 years)

IV. TRUST SUBSTITUTES (not true trusts but function in a similar manner)

A. **TOTTEN TRUST**—a fully revocable designation on a bank account where the depositor is named “trustee” for one or more named beneficiaries and retains control through her lifetime

B. **UTMA (Uniform Transfers to Minors Act)**—account for a minor managed by custodian

C. **LIFE INSURANCE TRUST**—policy paid at death; okay even though not funded until settlor dies

V. PROTECTION OF BENEFICIARY’S INTEREST (Trigger fact: A creditor of the beneficiary is attempting to reach the beneficiary’s interest)

A. **GENERALLY:** The beneficiary’s interest (right to receive income or principal) is freely transferable unless limited by law or the trust. Certain devices put a restraint on alienation. Once the property is distributed to the beneficiary however, there can be no restraint on alienability.

1. **Two types of distribution:**

- **Mandatory** (the terms dictate payments); or
- **Discretionary** (T controls whether or when to apply payments of income/principal).

2. **When and who to pay:**

- Until the T exercises her discretion, the beneficiary’s interest cannot be reached;
- Once T makes payment, if she has notice of a creditor assignment/attachment, T must pay the creditor (absent a spendthrift provision).

B. **SUPPORT TRUST**—directs the trustee to use his discretion pay income/principal as necessary to support the beneficiary; creditors who provide necessities (health, education, support) can reach the assets

C. **SPENDTHRIFT TRUST**—restricts the beneficiary’s power to transfer his equitable interest; creditors cannot reach the assets until the property has been paid out to the beneficiary

1. **Exceptions**—claims for child/spousal support or holders of tax liens (in some jurisdictions, also creditors providing necessities)

2. **Limitation**—cannot be reached in bankruptcy proceedings or if an employee pension

VI. FUTURE INTERESTS—If a grantor retains a future interest, it is a reversion, possibility of reverter, or a right of entry; if a beneficiary is given a future interest, it is a remainder or an executory interest

A. TYPES

1. **Remainders**—if possession goes to a 3P after a life estate, the 3P takes a remainder

- **Vested** (preferred)—ascertained grantee with no condition precedent; can possess as soon as the preceding estate ends (e.g., disclaimer, see below)

- **Class Gifts** (vested subject to open)—full class unknown but one or more members are vested
 - Subject to RAP
 - **Rule of Convenience**—closes the class when any member is entitled to possess
 - **Contingent**—unascertained grantee or is subject to a condition precedent
 - Vests once conditions precedent satisfied
 - **Destructibility**—at C/L, destroyed if it failed to vest before or at the time the prior estate ended; modern trend: not destroyed and it converts to executory interest
 - 2. **Possibility of reverter**—follows a fee simple determinable
 - 3. **Right of entry**—follows a fee simple subject to a condition subsequent
 - 4. **Executory interest**—when someone other than grantor holds an interest preceded by a vested remainder subject to divestment or a fee simple subject to an executory limitation
- B. DISCLAIMER**—a beneficiary may disclaim his interest (usually for tax purposes)
1. C/L (renunciation) allowed anytime
 2. By statute in most states, a disclaimer is valid if it is in writing and executed within nine months after the future interest would become indefeasibly vested (e.g., for a revocable or testamentary trust, when the settlor dies)
 - The beneficiary will be treated as having predeceased
 - When the income beneficiary disclaims, the principal becomes immediately distributable to the remainder beneficiaries
- C. RULE AGAINST PERPETUITIES (RAP)**
1. Applies to class gifts (not yet closed), contingent remainders, and executory interests
 2. **Rule:** No interest in property is valid unless it must vest, if at all, within 21 years after some life in being at the creation of the interest
 3. **Modern trend:** Courts will “wait and see” if it actually vests within perpetuities period
- D. CHILDREN AS TRUST BENEFICIARIES**
1. **Gifts to surviving children (Trigger fact:** Inter vivos trust specifies beneficiaries as the settlor’s “surviving children” after an intermediary interest in another for a term of years)
 - C/L—“surviving” is measured at settlor’s death
 - UPC/majority—“surviving” is measured at the end of the prior intermediary interest; if a child who survives the settlor but then predeceases the time of distribution has surviving issue, that issue receives the share to which the parent would have been entitled had the parent been alive at the time of distribution (i.e., a substitute gift)
 2. **Gifts to issue/descendants (Trigger fact:** Gift to issue but issue predeceases grantor)
 - Traditional rule—anti-lapse statutes do not apply to nonprobate gifts, so the gift fails
 - UPC (modern rule)—has an anti-lapse provision for trusts creating a substitute gift in the descendants of the deceased issue, even if there is language to the contrary, e.g., “to my issue who are living”
 3. **Adopted children**—treated the same as a biological child for purpose of a trust
 - C/L—adopted children do not qualify as beneficiaries in written instruments
 - UPC—presumes “children” includes adopted children absent contrary intent; adopted person is included in a class gift per rules for intestate succession

VII. MODIFICATION OR TERMINATION

- A. GENERALLY**—A trust will automatically terminate when (i) the trust is revoked or expires pursuant to its terms; (ii) it has no remaining unfulfilled purpose; or (iii) its purpose becomes unlawful, contrary to public policy, or impossible to achieve.
1. **Revocable trust**—can be amended or terminated by the **settlor**:
 - By substantial compliance with the terms of the trust; or

- If no exclusive method is provided, by (i) a later will or codicil or (ii) any other method manifesting clear and convincing evidence of the settlor's intent
- 2. Noncharitable irrevocable trust**—can be amended or terminated by:
 - Consent of **all beneficiaries**—permitted if (i) continuance is not necessary to achieve any material purpose of the trust, or (ii) modification is not inconsistent with a material purpose of the trust
 - Consent of **all beneficiaries and the settlor**—permitted even if inconsistent with a material purpose of the trust
- B. UNFULFILLED MATERIAL PURPOSE (*Claflin doctrine*)**—if the settlor dies and all beneficiaries agree to terminate, the trustee can block termination if contrary to a material trust purpose (e.g., support trust, spendthrift trust, age-dependent trust, trust with a future interest)
- C. BY THE COURT**—the court can modify or terminate (i) if unanticipated changes prevent trust's purpose of create an inability administer the trust effectively, (ii) if the trust is uneconomic, (iii) to correct mistakes of fact or law, or (iv) to achieve the settlor's tax objectives
- D. BY THE TRUSTEE**—acting alone, T cannot modify or terminate unless the trust terms provide
- E. RESIGNATION OR REMOVAL OF TRUSTEE (Trigger fact: beneficiaries don't get along with T or T doesn't get along with co-Ts)**
 - 1. Resignation**
 - A T may resign on 30 days' notice to the beneficiaries, S (if living), and any co-Ts, or with court approval
 - 2. Removal**
 - Unless the terms otherwise provide, neither S nor the beneficiaries have the right to remove T
 - The court can remove T if the trustee becomes incapable or materially breaches a duty, a conflict of interest or serious conflict with the beneficiaries arises, or for poor performance
 - The trustee can resign if the settlor is still alive with written notice to beneficiaries (and co-trustees)

VIII. PRINCIPAL AND INCOME ALLOCATIONS—assets must be allocated as principal or income

- A. C/L** gave income to the lifetime beneficiary and the principal to the remainder holder
- B. MODERN RULE (UPAIA)**—focus is on total return; T may re-characterize and re-allocate between principal and income to fulfill trust purposes, so long as allocations are fair and reasonable
 - 1. Factors to balance:**
 - Intent of settlor and terms of trust;
 - Nature, duration, and purpose of the trust;
 - Identities and circumstances of the beneficiaries;
 - Anticipated effect of economic conditions; and
 - Anticipated tax consequences.
 - 2. Income** examples: Interest from a loan or bank account, stock dividends, rent from a lease
 - 3. Principal** examples: Capital gains, life insurance proceeds, stock split, sale of trust asset
- C. ALLOCATION OF RECEIPTS**—traditional accounting rules apply; generally, amounts received in exchange for trust property = **principal**, amounts received for the use of trust property = **income**.
- D. ALLOCATION OF EXPENSES**—accounting costs, compensation to T and to advisors split 50-50
 - 1. Income expenses**—ordinary expenses and insurance premiums
 - 2. Principal expenses**—payments on debt going to the principal, estate taxes

IX. TRUST ADMINISTRATION AND DUTIES

Approach:

Spot issues by looking at the **action verbs** (e.g., T deposited, T invested, T borrowed)

Was the conduct of T **authorized by the trust or law**?

If YES, did T perform with the required **standard of care?** (e.g., prudently, in good faith, special skills)

- A. GENERALLY:** A trustee has a fiduciary duty to administer the trust in the best interests of the beneficiaries; a breach might result in personal liability for the trustee.
- 1. Multiple trustees**—two trustees must agree, but if there are three or more trustees, a majority agreement will suffice
 - 2. Third Party liability**—a 3P who deals with a T in breach of her duty is protected from liability if the 3P had no knowledge, acted in good faith, and gave valuable consideration
- B. POWERS**
- 1. Express**—T has the powers set forth in the trust and often a power to revoke or modify
 - 2. Implied**—T has the implied power to contract, sell, lease, or transfer trust property and those powers necessary to act as a reasonably prudent person in managing the trust
- C. DUTIES**
- 1. Duty of care** (subjective standard)—T must administer the trust in good faith, in accordance with its terms, and in the best interests of the beneficiaries
 - Discretion limited**—T's discretionary decisions may be challenged if T failed to exercise good judgment; decisions based solely on personal reasons may be set aside
 - Special skills**—T held to a heightened standard and must use his special skills
 - 2. Duty of loyalty** (objective standard)—no fraud or bad faith is required for a breach
 - Self-dealing**—T cannot do the following:
 - Buy or sell trust assets for himself;
 - Transfer property between trusts;
 - Borrow funds from or make loans to the trust;
 - Use trust assets to secure a personal loan;
 - Engage in prohibited transactions with friends or relatives; or
 - Otherwise act for personal gain through the trustee position
 - **No further inquiry**—if T engages in self-dealing, the court will not inquire further into T's motives because it is a per se breach of duty
 - ◆ **Exception**—even if the terms or the beneficiaries authorize self-dealing, the transaction must be fair and reasonable; otherwise T will be in breach
 - Conflict of interest**—a conflict that is not self-dealing will be reviewed to analyze if T acted reasonably and in good faith
 - 3. Delegation**—Modern law allows T to delegate duties if it is unreasonable to expect T to perform the task (e.g., investment strategies) but T must oversee the decision-making
 - 4. Investments**—most states follow the Uniform Prudent Investor Act
 - Prudent Investor Rule**—T has a duty to invest and manage as a prudent investor would when investing his own property, including utilizing any special skills or expertise he possesses.
 - Success is measured by looking at the entire portfolio and its overall return
 - Breach is determined by many factors based upon facts at the time of the investment
 - Duty to diversify** unless the costs would outweigh the benefits

- Duty to make property productive (e.g., pursue claims, act timely, get insurance, etc.)
 - Duty to earmark funds and not commingle with other trust funds and T's own property
- 5. Duty of Impartiality**—T must balance the interests of the present and future beneficiaries by investing property so it produces income while preserving the principal
 - C/L gave income to the lifetime beneficiary and the principal to the remainder holder
 - Modern rule requires allocation between principal and income to be balanced and fair
 - T must sell property and reallocate proceeds as necessary to maintain balance
 - 6. Duty to Inform**—T must keep the beneficiaries informed about the trust property (including any plan to sell a large portion of the assets) and allow access to records and accounts
 - 7. Duty to Account**—T must periodically account to the beneficiaries unless waived by S

D. REMEDY FOR BREACH

1. Beneficiaries rights:

- **Remove the trustee**
 - **Damages**—sue T for lost profits or interests; gains from a breach may not offset loss
 - **Ratify**—beneficiaries may consent to T's actions, waive the breach and keep the profits
 - **Tracing**—may force T to sue 3P to trace and recover property in the hands of a 3P who is not a bona fide purchaser
- 2. Third-party rights:** T may be personally liable in contract or tort to a 3P but can seek indemnity if T was acting within the course of and scope of her duties
 - 3. Co-trustee liability:** Liable unless no knowledge and could not have prevented the breach
 - 4. Successor trustee liability:** A successor trustee is not liable unless she knew or should have known of the prior trustee's breach and did nothing to correct the problem

X. REMEDIAL TRUSTS—imposed by law; requires the trustee to convey the property

A. RESULTING—to avoid unjust enrichment, the trustee is required to convey the property to the settlor under one of the following circumstances:

- 1. Failure of an express trust**—presumes intent of S is for T to convey back to S
- 2. Incomplete disposition of trust assets**—leftover after trust fulfilled goes back to S

B. CONSTRUCTIVE—an equitable remedy to avoid unjust enrichment caused by wrongful conduct

1. Defendant must **hold title** to property to be subject to the constructive trust
- 2. Wrongful conduct** caused settlor to convey property:
 - Homicide, theft, conversion
 - Fraud, undue influence
 - Breach of fiduciary duty
- 3. Must prove by clear and convincing evidence**
- 4. If the subject matter has been transferred to a third party (not a BFP), the beneficiary may trace the property and recover** the property, its proceeds, or other property received
- 5. Defenses:** unclean hands; laches

ESSAY ROADMAP: WILLS

General approach:

Step 1: Determine whether there is any non-probate property (e.g., will substitute) such as a deed, trust, joint tenancy property, or payable on death (POD) account or policy.

Step 2: Determine whether there is a valid will to distribute the remaining (probate) property.

Step 3: If there is no will, the will is invalid, or the will does not dispose of all property, apply the rules of intestate succession

I. COMMUNITY PROPERTY

A. COMMUNITY PROPERTY (CP) is all property acquired during marriage while living in CA

B. SEPARATE PROPERTY (SP) is property acquired before or after marriage, or by gift or inheritance

C. QUASI-COMMUNITY PROPERTY (QCP) is property acquired during marriage while living outside of CA that would be CP were it acquired in CA, except out of state real property is subject to the other state's law

II. INTESTACY

Vocabulary: Heirs (person entitled to property) take by descent (inherit) from the intestate decedent (the one who dies without a will); the issue (also called descendants) are the lineal descendants (children, grandchildren, great-grandchildren) of the decedent.

A. SPOUSE—must be legally married to decedent at death, be in a registered domestic partnership or qualify as a putative spouse (good faith belief); separation insufficient to change status

1. Share of CP (100% of the CP and QCP)—the surviving spouse automatically gets her half of the CP and QCP, and if D dies intestate, she gets D's half of the CP and QCP.

2. Share of SP (see chart)

Who survived the decedent (D)?	Separate Property Share
Spouse + no issue, parent, sibling, or issue of sibling	Spouse takes 100%
Spouse + parent or sibling	Spouse takes 50%
Spouse + one lineal descendant	Spouse takes 50%
Spouse + more than one lineal descendant	Spouse takes 1/3

B. ISSUE

1. **Defined:** Issue is based upon a parent-child relationship and includes the lineal descendants (e.g., children, grandchildren, and great-grandchildren)
2. **Adopted children**—including stepchildren, are treated the same as biological children; CA also allows adoptee to inherit from the other natural parent if married to the adoptive parent
3. **After-born children**—conceived before but born within 300 days of husband's death are presumed to be the issue of the husband
4. **Children born out of wedlock**—inherit if paternity is proven or adjudicated, the father married or attempted to marry the mother, or the father held the child out as his own
5. **Calculating their share** (know all methods; a testator could elect any method via her will)
 - **Per capita with representation (CA)**—divide the property equally at the first generation with a living member who survived D; for those at that level who did not survive D, their share goes to their issue who survived D (only if there are issue)
 - **Per stirpes**—divide the property into the total number of children who survive or leave issue who survive; the issue take in equal portions the share their deceased ancestor would have taken if living
 - **Per capita at each generation (UPC)**—divide the property at the first generation with a living member who survived D; combine the shares of the deceased members of that generation with issue who survive D and divide the shares equally at the next generation

C. **NO SPOUSE OR ISSUE**—the estate will pass to parents who survive, or if none, to issue of D's parents who survive, or if none, to grandparents who survive, or if none, to issue of grandparents who survive, or if none, to issue of a predeceased spouse, or if none, to D's next of kin

D. **NO HEIRS**—if the D dies without heirs (very rare), the property will escheat to the state

E. **SURVIVAL (Trigger fact:** an heir dies at or near the same time as the testator)

CA requires clear and convincing evidence the heir survived D by 120 hours (does not apply if there is a will); without sufficient proof, the heir will be treated as having predeceased D

III. EXECUTION

Vocabulary tip: A decedent who dies with a will is the testator (T) who devises (disposes of real property) to a devisee (recipient of real property) and who bequests (disposes of personal property) to a legatee (recipient of money or personal property). In modern usage, a "devise" can be of real or personal property.

A. **FORMALITIES** (intent + writing + signature + witnesses = attested will)

1. Signed writing

- Signed with intent by the testator (T) or someone in his presence and at his direction; need not be formal (e.g., "X" is okay) so long as the mark is intended as a signature
- Signature need not be at the end but can be anywhere on the will

2. **Intent**—testator must intend the instrument to function as her will

3. **Capacity**—testator must be 18 or older and of sound mind

4. **Witnessed**—the will must be attested to by and signed in the joint presence of at least two witnesses present at the same time; each witness must understand they are signing a will

- **Presence** means "conscious presence" (need not watch each other sign)

- **Interested witness (Trigger fact:** one of the witnesses is also a beneficiary)
 - **Effect on validity**—at C/L, the will was invalid; in **CA**/majority, the will is valid
 - **Witness' share** (analyze the validity of the gift to the witness)
 - ♦ If there is a third disinterested witness, the gift is not affected
 - ♦ If there is no third disinterested witness, a rebuttable presumption of duress, menace, fraud, or undue influence arises and if not rebutted the witness takes as if T died intestate
- B. HOLOGRAPHIC WILLS** (intent + handwritten + signature = holographic will)
1. **Requirements**—material provisions must be in the handwriting of the testator and signed; a date is not required but if undated, it will be presumed to have pre-dated any other will
 2. **Intent**—it must be clear the document was intended as T's will (e.g., "I bequeath"); words of intent need not be in T's handwriting (a printed will form is okay)
- C. CA STATUTORY WILL**—must use a CA will form, fill in the blanks by hand and formally execute
- D. CODICILS**—a testamentary addition to a will, executed with the same formalities as a will
1. **Effect**—a valid codicil republishes the will as of the date of the codicil
 2. **Holographic codicil** to an attested will is valid as is an attested codicil to a holographic will
- E. SUBSTANTIAL COMPLIANCE**—CA recognizes a "harmless error" exception to formal execution and will recognize as valid a document that substantially complies with the formality requirements, if shown by clear and convincing evidence at the time T signed the will, he intended it to constitute his will or codicil
- F. SUBSTITUTES (Nonprobate Transfers)**
1. **Rule:** An inter vivos transfer of property will avoid probate and is therefore a will substitute.
 2. **Types**—joint tenancy property, revocable trust, insurance policy, payable on death (POD) account
- G. WILL CONTESTS (Trigger fact:** Claimant attacks the will's validity as not reflecting the testator's intent)
1. **Time limit**—a will contest must be filed within 120 days after a will is admitted to probate
 2. **Standing**
 - **Yes:** Beneficiaries under the current or prior will have standing to contest the will
 - **No:** Creditors, spouses of beneficiaries under prior wills, and pretermitted heirs cannot contest a will
 3. **No contest clause**—enforceable but subject to strict construction
 4. **Grounds:**
 - **Lacked capacity**—claimant must show, **at the time** T made the will:
 - **T lacked the mental capacity** to:
 - ♦ Understand the nature of the act;
 - ♦ Understand and recollect the nature and character of his property; or
 - ♦ Remember and understand his relationship to spouse and descendants; **or**
 - **T suffered from a mental disorder** causing T to devise property in a way he would not have done but for the delusions caused by the disorder

- **Proof of incapacity** may be shown by a deficit in alertness, information processing, thought processes or (significant lack of) ability to modulate mood
- **Insane delusion**—operated under a belief not based in fact or reason
 - ♦ **Test**—a rational person in T’s situation could not have reached the same conclusion
 - ♦ **Causation required**—but for the insane delusion, T would not have disposed of the property in the same manner
- **Undue influence**—all or part of the will may be invalidated if subject to undue influence
 - **CA** invalidates any provision in a will in favor of the person who drafted or transcribed the will or a care custodian if T is a dependent adult (including drafter/transcriber/custodian’s relatives, cohabitants, partners, and employees)
 - **Factors**—the court considers all of the following:
 - ♦ Victim’s vulnerability
 - ♦ Influencer’s apparent authority
 - ♦ Influencer’s actions or tactics
 - ♦ Equity of the result
 - **Traditional doctrine**—under the majority view, all four of the following must be shown:
 - ♦ **Susceptibility** (T susceptible to influence)
 - ♦ **Motive** (the influencer had reason to benefit)
 - ♦ **Opportunity** (the influencer had the opportunity to influence)
 - ♦ **Causation** (the will would not have been executed but for the influence)
 - **Presumption** arises when one who is in a **confidential relationship** with T participates in the will’s execution and receives an unnatural gift; recipient must overcome presumption by proving the will was not a product of his influence
 - **Effect if proven**—the influencer will be treated as having predeceased T
- **Fraud**—all or part of the will may be invalidated if T subject to fraud
 - **Elements:** the claimant must prove they existed at the time the will was executed:
 - ♦ **Misrepresentation**—by the beneficiary with intent to deceive T and with a purpose to influence T’s will
 - ♦ **Types**—in the **inducement** (makes a different will than she would have had she known the facts) or in the **execution** (as to the character or contents of the will)

IV. REVOCATION

A. GENERALLY: A will may be revoked in whole or in part; revocation of a will revokes its codicils, however revocation of a codicil does not revoke the underlying will.

B. METHODS

1. **Subsequent instrument**—a later will can expressly revoke a prior will or impliedly revoke a prior will by inconsistent terms
 - **Multiple wills**—the later will controls; read the two wills together to the extent possible, however the later will controls to the extent it is inconsistent with the prior will

Tip: To distinguish a codicil from a new will, look for a residuary clause. A will typically has a residuary clause whereas a mere codicil will not.

2. **Physical act**—T commits a physical act (canceling, tearing, obliterating, destroying) with intent to revoke, or a third party acting on behalf of T does so at T's direction and in T's presence
 - **Lost Wills**—a will not found at T's death will create a presumption it was revoked by physical act
 - **Burden** is on the proponent to establish the existence of a will by clear and convincing evidence
 - **Evidence**—duplicate originals may be used, however duplicate copies will not be admitted
 - **Destruction of a copy**—revocation of a duplicate original revokes all copies, but destruction of an unexecuted copy does not serve as a revocation of all copies
3. **Operation of law**—a subsequent divorce or dissolution of a domestic partnership revokes any provision of a will in favor of the prior spouse or domestic partner

C. **REVIVAL BY REPUBLICATION**—when a second will is revoked, the first will is not automatically revived; **CA**/majority requires proof of T's intent to revive

D. DEPENDENT RELATIVE REVOCATION (DRR)

1. **Rule:** A will or portion that is revoked on a mistaken basis of law or fact can be revived
2. **Test:** But for the mistake would T have revoked? If no, revive the revoked will or provision
3. **Partial**—can apply to a partial revocation so long as reviving the revoked gift honors T's intent because of the similarity between the new and revoked gift

Interlineation example: T creates a valid attested will giving "\$1,000 to X" but subsequently decides to amend the will by lining out "\$1,000" and writing in "\$5,000, signed T." Possible issues:

Revocation by physical act (lining out with intent to revoke the gift of \$1000)

Holographic codicil (attempted by writing in new gift, but it is not valid—lacks material terms)

Substantial compliance—harmless error doctrine will validate the codicil if there is clear and convincing evidence T intended it to be a valid codicil; if no such intent, continue...

DRR (new gift of \$5,000 was made based on a mistake of law regarding how to modify the will, and but for the mistake T would not have revoked the original gift)

Conclusion: The original gift can be revived under DRR because it would honor T's intent more to give X \$1,000 instead of nothing (key fact of intent: T attempted to *increase* the gift to X).

V. INTERPRETATION

- A. **TESTATOR'S INTENT**—give the words their plain meaning unless the will states otherwise; the will consists of all pages present at the time of execution that are intended to make up the will
- B. **INCORPORATION BY REFERENCE**—a will may incorporate an extrinsic document
 1. **Rule:** The document must have existed at the time the will was executed, was intended by T to be incorporated, and is sufficiently described in the will to permit its identification.
 2. **CA exception:** A signed writing disposing of personal property can be made after the will

C. ACTS OF INDEPENDENT SIGNIFICANCE—T disposes of property according to an act or event unrelated to the will (including a future event), e.g., “to my niece’s spouse at my death”

D. RESIDUE

1. **Common Law:** A failed gift will fall to the residue; if the residue is left to two or more persons, one of whom predeceases T, the deceased beneficiary’s portion will pass by intestate succession
2. **CA:** If the residue is left to two or more persons, one or more of whom predeceases T and anti-lapse will not save it, the remaining beneficiaries take in their proportionate shares

E. AMBIGUITY—courts are reluctant to disturb the **plain meaning** of a will regardless of mistake (but an unambiguous will may be reformed to correct a mistake in the expression of T’s intent); in the event of an ambiguity, CA allows extrinsic evidence to clarify testator’s intent

VI. CHANGES IN PEOPLE OR PROPERTY

A. LAPSE AND ANTI-LAPSE (Trigger fact: a beneficiary dies before the testator)

1. **Common Law**—a gift in the will to a beneficiary who predeceases T will lapse and fall to the residue; if there is no residuary clause, the gift will pass through intestate succession
2. **Anti-Lapse Statute**—operates to save the gift if the predeceasing beneficiary is a relative of T or T’s spouse who leaves issue; the issue will take the predeceased beneficiary’s share
3. **Class Gift**—if there is a gift to a class and a class member predeceases the testator, the surviving class members will take unless the anti-lapse statute applies to save the share for the issue of the deceased class member

TYPES OF DEVISES:

Specific—a gift of a specific item of property satisfied only with the specific item of property (e.g., “my coin collection to A”)

General—a gift of property (usually cash) satisfied from general assets (e.g., “\$10,000 to A”)

Demonstrative—a gift of property or money to be paid from a designated fund (e.g., “\$10,000 to be paid from the USA bank account”)

Residuary—a gift of the leftover assets in the estate (e.g., “...and the rest and residue of my property to A”)

B. ADEMPTION (Trigger fact: the subject matter of a specific bequest no longer exists at death)

1. **Rule:** A specific bequest of property that is **no longer part of T’s estate** at death adeems; in **CA**, a **substantial change** to the bequest will also cause an ademption
 - **Intent theory**—in **CA**, a specific bequest will adeem only if consistent with T’s intent
 - **Beneficiary entitlement**—if a gift adeems, the beneficiary is entitled to (i) any balance of the purchase price owing from the purchaser, (ii) any amount of unpaid eminent domain award for taking, (iii) any unpaid fire or property insurance proceeds for injury to the property, or (iv) property acquired from the foreclosure of a security interest on a specifically devised note

2. **No exoneration of liens**—the specific devisee of encumbered property takes subject to the mortgage unless T specifically directs otherwise; a general directive to pay debts will not suffice to exonerate a lien

C. SATISFACTION—T satisfies a devise in whole or part by an inter vivos transfer

1. **Intent**—T must intend for the gift to adeem and be satisfied prior to his death
2. **In writing**—T's intent must be evidenced in a contemporaneous writing signed by T
3. Comparable to the doctrine of advancements under intestate succession

D. INCREASE IN SECURITIES

1. **Trigger fact:** stock split, cash or stock dividend)
2. Whether the beneficiary is entitled to the increase depends upon the jurisdiction:
 - **Common Law**—beneficiary of a specific bequest (number of shares is specified) owned at the time the will was executed is entitled to additional shares of that security or of another security acquired from a stock split or merger
 - **CA**—beneficiary of a specific bequest of a security not owned by T at the time the will was executed is deemed *not* to include any additional shares

VII. PROTECTION OF FAMILY

A. RIGHTS OF SURVIVING SPOUSE

1. **Spousal support**—spouse is entitled to Social Security, pension plans, personal property, homestead exemption, and family allowance
 - **Community Property (CP)**—surviving spouse automatically gets her ½ CP and ½ QCP; the decedent's ½ CP, ½ QCP plus all of his separate property passes per the terms of the will; property held in joint tenancy or as CP with right of survivorship automatically becomes the property of the surviving spouse
 - **Election clause**—through the will, T can force the surviving spouse/partner to elect between taking under the will or taking the testator's ½ share of the CP and QCP
2. **Right to set aside transfers**—CA allows the spouse to set aside qualifying inter vivos transfers of QCP made without spousal consent
3. **Omitted spouse**—marriage or formation of a domestic partnership after execution of a will does not invalidate the will; the spouse or domestic partner will receive their intestate share unless (i) the terms of the will indicate the omission was intentional, (ii) the spouse was provided for outside of the will, (iii) the spouse is a party to a valid prenuptial agreement, or (iv) the spouse was a care custodian of the dependent decedent who died less than six months after marriage

B. GIFTS TO CHILDREN

1. **Advancements**—D advances intestate share in whole or part by a lifetime gift
 - **C/L**—lifetime gift is treated as satisfying all or part of the child's intestate share
 - **CA**—requires a contemporaneous writing by decedent or an acknowledgment by the donee, indicating the gift was to be considered when determining the heir's intestate share
2. **Omitted Children (Pretermitted Heir)** statute applies to accidentally omitted heirs

- **Presumption**—if T fails to provide for a child born or adopted after the will is executed, the omitted child may take an intestate share because the omission is presumed accidental; CA includes children believed deceased or about whose birth T was unaware
- **Exceptions** for when the omitted child statute does not apply:
 - It appears from the will the omission was intentional;
 - The testator had other children when the will was executed and left most or all of the estate to the other parent; or
 - The testator otherwise provided for the child outside the will with intent it be in lieu of a testamentary gift.

C. BARS TO SUCCESSION

1. **Homicide**—one who commits an intentional and felonious killing is treated as having predeceased the testator, and **(CA)** the killer's issue are also barred from taking
2. **Disclaimer**—one who disclaims a gift will be treated as having predeceased the testator; the disclaimer must be in a signed writing and filed within nine months of D's death

VIII. WILL CONTRACTS (contract law governs unless the contract is within the will itself)

- GENERALLY:** Contracts to make a will, make a particular gift, or to revoke a will are recognized.
- REQUIRED PROOF** to establish the existence of a contract:
 1. The will states the material provisions of the contract;
 2. The terms are contained in a signed written contract; or
 3. The will refers to the contract and extrinsic evidence proves the terms.
- JOINT WILLS**—a single will intended to serve as the will for two or more; a contract to revoke is not presumed and must be proved in writing
- RECIPROCAL WILLS**—separate wills with identical provisions; not bound by contract
- REVOCATION** of a will subject to a contract not to revoke will be denied probate; the interested parties may bring an action for breach of contract against the estate of the decedent

IX. PROBATE—to provide an orderly administration of a decedent's estate

- JURISDICTION**—the county in which D was domiciled at death has jurisdiction over probate
- PERSONAL REPRESENTATIVE**—either named in the will (executor) or appointed by the court (administrator)
 1. **Qualifications**—must have capacity to contract and act as a fiduciary
 2. **Duties**—notify interested parties, appraise and inventory the assets, satisfy the debts and distribute the assets/close the estate
- ADMINISTRATION**—after the personal representative is appointed, the court issues "letters testamentary" or "letters of administration" authorizing the performance of duties to begin

D. ABATEMENT

- 1. Rule:** When the assets of an estate are insufficient to pay its debts and satisfy the devises, the gifts abate in a specified order, unless the testator otherwise indicates.
- 2. Order in which to abate assets:**
 - Intestate property
 - Residuary bequests
 - General bequests
 - Specific bequests
- 3. Priorities:**
 - Abatement within a category is pro-rata
 - Favor the spouse and relatives over other gifts in the same category
 - Nonprobate property (e.g., insurance policy, payable on death account) does not abate